Chapter 1

Role of Financial Markets and Institutions

1. Financial market participants who provide funds are called **Người tham gia thị trường tài chính mà cung cấp vốn được gọi là:**
   A) deficit units. **Đơn vị thiếu hụt (thiếu vốn)**
   B) **surplus units**. **Đơn vị thặng dư (dư vốn)**
   C) primary units. **Đơn vị sơ cấp**
   D) secondary units. **Đơn vị thứ cấp**

2. The main provider(s) of funds to the U.S. Treasury is (are) **Những đơn vị cung cấp vốn cho Kho bạc Hoa Kỳ là**
   A) households and businesses. **Doanh nghiệp và hộ gia đình**
   B) foreign financial institutions. **Định chế tài chính nước ngoài**
   C) the Federal Reserve System. **Hệ thống dự trữ liên bang**
   D) foreign nonfinancial sectors. **Khu vực phi tài chính nước ngoài**

3. The largest deficit unit is (are) **Đơn vị thâm hụt lớn nhất là**
   A) households and businesses. **Doanh nghiệp và hộ gia đình**
   B) foreign financial institutions. **Định chế tài chính nước ngoài**
   C) the U.S. Treasury. **Kho bạc Hoa Kỳ**
   D) foreign nonfinancial sectors. **Khu vực phi tài chính nước ngoài**

4. Those financial markets that facilitate the flow of short-term funds are known as **Thị trường tài chính mà tạo điều kiện cho dòng vốn ngắn hạn được gọi là**
   A) money markets. **Thị trường tiền tệ**
   B) capital markets. **Thị trường vốn**
   C) primary markets. **Thị trường sơ cấp**
   D) secondary markets. **Thị trường thứ cấp**

5. Funds are provided to the initial issuer of securities in the **Vốn được cung cấp cho những nhà phát hành chứng khoán ở**
   A) secondary market. **Thị trường thứ cấp**
   B) primary market. **Thị trường sơ cấp**
   C) deficit market. **Thị trường thâm hụt**
   D) surplus market. **Thị trường thặng dư**

6. Which of the following is a capital market instrument? **Cái nào dưới đây là công cụ thị trường vốn**
   A) a six-month CD **Chứng chỉ tiền gửi 6 tháng**
   B) a three-month Treasury bill **Tín phiếu Kho bạc 3 tháng**
   C) a ten-year bond **Trái phiếu 10 năm**
   D) an agreement for a bank to loan funds directly to a company for nine months.
   Hợp đồng mà ngân hàng cho vay vốn trực tiếp tới một công ty trong 9 tháng

7. Which of the following is a money market security? **Cái nào dưới đây là chứng khoán thị trường tiền tệ?**
   A) Treasury note **Trái phiếu Kho bạc**
   B) municipal bond **Trái phiếu địa phương**
   C) mortgage **Khoản thế chấp**
   D) commercial paper **Thương phiếu**

8. The most common investors in Federal funds are **Nhà đầu tư phổ biến nhất của vốn liên bang là**

A) households. Hộ gia đình
B) depository institutions. Tổ chức lưu ký
C) firms. Doanh nghiệp
D) government agencies. Cơ quan Chính phủ

9. Equity securities have a _________ expected return than most long-term debt securities, and they exhibit a __________ degree of risk. Chứng khoán vốn có kỳ vọng hoàn trả ... hơn so với đa số chứng khoán nợ dài hạn, và chúng có mức độ rủi ro ...
A) higher; higher cao ; cao
B) lower; lower thấp ; thấp
C) lower; higher thấp ; cao
D) higher; lower cao ; thấp

Chứng khoán thị trường tiền tệ thường ... Chứng khoán thị trường vốn thường được kỳ vọng có...

10. Money market securities generally have _______. Capital market securities are typically expected to have a _______.
A) less liquidity; higher annualized return ít tính thanh khoản ; hoàn trả hàng năm cao
B) more liquidity; lower annualized return tính thanh khoản cao ; hoàn trả hàng năm thấp
C) less liquidity; lower annualized return ít tính thanh khoản ; hoàn trả hàng năm thấp
D) more liquidity; higher annualized return tính thanh khoản cao ; hoàn trả hàng năm cao

11. If security prices fully reflect all available information, the markets for these securities are Nếu giá chưng khoán phản ánh hoàn toàn các thông tin có sẵn, các thị trường của các chứng khoán đó sẽ
A) efficient. có hiệu quả
B) primary. cơ bản
C) overvalued. được đánh giá quá cao
D) undervalued. được đánh giá quá thấp

12. If markets are _______, investors could use available information ignored by the market to earn abnormally high returns. Nếu các thị trường ..., các nhà đầu tư có thể dùng các thông tin có sẵn mà bị lờ đi bởi các thị trường để kiếm hoàn trả cao bất thường
A) perfect hoàn hảo
B) active năng động
C) inefficient không hiệu quả
D) in equilibrium cân bằng

13. If financial markets are efficient, this implies that investors can ignore the various investment instruments available. Nếu thị trường tài chính hiệu quả, điều này ngụ ý rằng nhà đầu tư có thể lờ đi các công cụ đầu tư có sẵn -- Sai
➔ False

14. The Securities Act of 1933 Đạo luật Chứng khoán 1993
A) required complete disclosure of relevant financial information for publicly offered securities in the primary market.
B) declared trading strategies to manipulate the prices of public secondary securities illegal.
C) declared misleading financial statements for public primary securities illegal.
D) required complete disclosure of relevant financial information for securities traded in the secondary market.
E) all of the above

Yêu cầu công bố đầy đủ thông tin tài chính liên quan đối với chứng khoán chào bán công khai trên thị trường sơ cấp

15. The Securities Exchange Commission (SEC) was established by the Ủy ban chứng khoán và giao dịch Mỹ được thành lập bởi
A) Federal Reserve Act.
B) McFadden Act.
C) Securities Exchange Act of 1934. Đạo luật giao dịch chứng khoán 1934

D) Glass-Steagall Act.
E) none of the above

16. Common stock is an example of a(n) **Cổ phiếu thông thường là một ví dụ của**
A) debt security.
B) money market security.
C) equity security. Chứng khoán vốn
D) A and B

17. If financial markets were ______, all information about any securities for sale in primary and secondary markets would be continuously and freely available to investors.
Nếu thị trường tài chính ..., thông tin về mọi chứng khoán được bán ở thị trường sơ cấp và thứ cấp sẽ liên tục và có sẵn miễn phí cho nhà đầu tư
A) efficient
B) inefficient
C) perfect hoàn hảo
D) imperfect

18. The typical role of a securities firm in a public offering of securities is to **Vai trò điển hình của công ty chứng khoán trong việc chào bán ra công chúng là**
A) purchase the entire issue for its own investment.
B) place the entire issue with a single large investor.
C) spread the issue across several investors until the entire issue is sold.
Lan tỏa vấn đề tới một số nhà đầu tư đến khi toàn bộ chứng khoán phát hành được bán
D) provide all large investors with loans so that they can invest in the offering.

19. Without the participation of financial intermediaries in financial market transactions, **Không có sự tham gia của trung gian tài chính trong giao dịch thị trường tài chính**
A) information and transaction costs would be lower.
B) transaction costs would be higher but information costs would be unchanged.
C) information costs would be higher but transaction costs would be unchanged.
D) information and transaction costs would be higher. thông tin và chi phí giao dịch sẽ cao hơn

20. Which of the following is most likely to be described as a depository institution?
Cái nào dưới đây thường được miêu tả là một tổ chức lưu ký
A) finance companies **Công ty tài chính**
B) securities firms **Công ty chứng khoán**
C) credit unions Tổ chức tín dụng
D) pension funds **Quỹ hưu trí**
E) insurance companies **Công ty bảo hiểm**

21. In aggregate, ___________ are the most dominant depository institution. **Tóm lại, ... là tổ chức lưu ký lớn nhất**
A) commercial banks Ngân hàng thương mại
B) savings banks **Ngân hàng tiết kiệm**
C) credit unions **Tổ chức tín dụng**
D) S&Ls **Hiệp hội tiết kiệm và cho vay**

22. Which of the following is a nondepository financial institution? **Cái nào dưới đây là tổ chức tài chính phi lưu ký?**
A) savings banks **Ngân hàng tiết kiệm**
B) commercial banks **Ngân hàng thương mại**
C) savings and loan associations **Hiệp hội tiết kiệm và cho vay**
D) mutual funds Quỹ tương hỗ

23. Which of the following distinguishes credit unions from commercial banks and savings institutions?
Điều nào dưới đây phân biệt tổ chức tín dụng với ngân hàng thương mại và các định chế tiết kiệm?
A) Credit unions are non-profit
Tổ chức tín dụng là phi lợi nhuận

B) Credit unions accept deposits but do not make loans
C) Credit unions make loans but do not accept deposits
D) Savings institutions restrict their business to members who share a common bond

24. When a securities firm acts as a broker, it **Khi công ty chứng khoán hoạt động như một nhà môi giới**
A) guarantees the issuer a specific price for newly issued securities.
B) makes a market in specific securities by adjusting its own inventory.
C) executes transactions between two parties. **nó thực hiện những giao dịch giữa hai tổ chức**
D) purchases securities for its own account.

25. When a securities firm acts as a(n) ______, it maintains a position in securities.
Khi công ty chứng khoán hoạt động như ..., nó duy trì vị trí trong chứng khoán
A) adviser
B) dealer **người buôn**
C) broker
D) none of the above

26. ________ obtain funds by issuing securities, then lend the funds to individuals and small businesses.
... kiếm được vốn bằng việc phát hành chứng khoán, sau đó cho vay vốn tới các cá nhân và doanh nghiệp nhỏ
A) Finance companies **Công ty tài chính**
B) Securities firms
C) Mutual funds
D) Insurance companies

27. Households with ______ are served by ______. **Hộ gia đình với ... được phục vụ bởi ...**
A) deficient funds; depository institutions and finance companies **quỹ thiếu hụt ; tổ chức lưu ký và công ty tài chính**
B) deficient funds; finance companies only
C) savings; finance companies only
D) savings; pension funds and finance companies

28. _______________ concentrate on mortgage loans. **... tập trung vào khoản vay thế chấp**
A) Finance companies
B) Commercial banks
C) Savings institutions **Tổ chức tiết kiệm**
D) Credit unions

29. _____ securities have a maturity of one year or less; _____ securities are generally more liquid.
Chứng khoán ... có thời hạn từ 1 năm trở xuống; chứng khoán ... thường có tính thanh khoản hơn
A) Money market; capital market
B) Money market; money market **thị trường tiền tệ x2**
C) Capital market; money market
D) Capital market; capital market

30. Which of the following is not a major investor in stocks? **Đâu không phải là nhà đầu tư chính của cổ phiếu?**
A) commercial banks **Ngân hàng thương mại**
B) insurance companies
C) mutual funds
D) pension funds

31. Which of the following financial intermediaries commonly invests in stocks and bonds?
Trung gian tài chính nào thường đầu tư vào cổ phiếu và trái phiếu
A) pension funds
B) insurance companies

C) mutual funds
D) all of the above **Tất cả những điều trên: quỹ hưu trí + công ty bảo hiểm + quỹ tương hỗ**

32. Securities are certificates that represent a claim on the issuer.
➔ True **Chứng khoán là chứng chỉ đại diện cho yêu cầu đối với tổ chức phát hành -- Đúng**

33. Debt securities are certificates that represent debt (borrowed funds) by the issuer.
➔ True **Chứng khoán nợ là chứng chỉ đại diện nợ (vốn vay) bởi người phát hành -- Đúng**

34. A five-year security was purchased two years ago by an investor who plans to resell it. The security will be sold by the investor in the so-called
A) secondary market. **Thị trường thứ cấp**
B) primary market.
C) deficit market.
D) surplus market.

Chứng khoán 5 năm được mua cách đây 2 năm bởi 1 nhà đầu tư có kế hoạch bán lại nó. Chứng khoán này được bán bởi nhà đầu tư được gọi là

35. When security prices fully reflect all available information, the markets for these securities are said to be efficient.
➔ True **Khi giá chứng khoán phản ánh hoàn toàn thông tin có sẵn, thị trường chứa các chứng khoán đó hiệu quả -- Đúng**

36. If markets are perfect, securities buyers and sellers to not have full access to information and cannot always break down securities to the precise size they desire.
➔False **Khi thị trường hoàn hảo, người mua chứng khoán và người bán sẽ không có quyền truy cập đầy đủ thông tin và không thể luôn chia nhỏ chứng khoán thành kích cỡ mong muốn -- Sai**

37. A broker executes securities transactions between two parties and charges a fee reflected in the bid-ask spread.
⇨ True **Người môi giới thực hiện các giao dịch chứng khoán giữa hai tổ chức và tính phí phản ảnh tính chênh lệch của giá thầu -- Đúng**

38. The euro increased business between European countries and created a more competitive environment in Europe. **EU tăng giao dịch giữa các quốc gia Châu Âu và tạo ra môi trường cạnh tranh hơn ở Châu Âu -- Đúng**
⇨ True

39. In recent years, financial institutions have consolidated to capitalize on economies of scale and on economies of scope.
A) True **Trong những năm gần đây, định chế tài chính đã hợp nhất để tận dụng lợi thế về quy mô kinh tế -- Đúng**

40. Securities are certificates that represent a claim on the provider of funds.
A) True **Chứng khoán là các chứng chỉ đại diện cho yêu cầu đối với nhà cung cấp quỹ -- Đúng**

41. Debt securities include commercial paper, Treasury bonds, and corporate bonds.
A) True **Chứng khoán nợ bao gồm thương phiếu, trái phiếu kho bạc và trái phiếu doanh nghiệp -- Đúng**

42. Common types of capital market securities include Treasury bills and commercial paper.
B) False **Chứng khoán thông thường của thị trường vốn bao gồm tín phiếu kho bạc và thương phiếu -- Sai**

43. Common types of money market securities include negotiable certificates of deposit and Treasury bills.
A) True **Chứng khoán thông thường của thị trường tiền tệ bao gồm chứng chỉ tiền gửi có thể chuyển nhượng và tín phiếu kho bạc -- Đúng**

43. Money market securities are commonly issued in order to finance the purchase of assets such as buildings, equipment, or machinery. **Chứng khoán thị trường tiền tệ thường được phát hành để chi trả các khoản mua tài sản như nhà xưởng, thiết bị hay máy móc -- Sai**
B) False

44. Commercial banks in aggregate have a lower value of assets than savings institutions.
B) False **Nhìn chung, ngân hàng thương mại có giá trị tài sản thấp hơn các tổ chức tiết kiệm -- Sai**

45. Financial markets facilitating the flow of short-term funds with maturities of less than one year are known as **Thị trường tài chính mà điều chỉnh dòng vốn ngắn hạn với thời gian đáo hạn ít hơn 1 năm gọi là**
A) secondary markets. **Thị trường thứ cấp**
B) capital markets.
C) primary markets.
D) money markets.
E) none of the above

Giao dịch nào dưới đây không được thực hiện ở thị trường thứ cấp?
46. Which of the following transactions would not be considered a secondary market transaction?
A) An individual investor purchases some existing shares of stock in IBM through his broker.
B) An institutional investor sells some Disney stock through its broker.
C) A firm that was privately held engages in an offering of stock to the public.
D) All of the above are secondary market transactions. **Doanh nghiệp được tổ chức tư nhân tham gia việc chào bán cổ phiếu ra công chúng**

47. If investors speculate in the underlying asset rather than derivative contracts on the underlying asset, they will probably achieve ________ returns, and they are exposed to relatively _________ risk. **Nếu nhà đầu tư đầu cơ vào tài sản cơ sở thay vì các hợp đồng phái sinh trên tài sản cơ sở, họ có thể đạt được lợi nhuận ... và họ phải chịu rủi ro tương đối ...**
A) lower; lower **thấp hơn x2**
B) lower; higher
C) higher; lower
D) higher; higher

48. _________________ maintain a larger amount of assets in aggregate than the other types of depository institutions. **... duy trì tổng số tài sản lớn hơn so với các loại tổ chức lưu ký khác.**
A) Credit unions
B) Commercial banks **Ngân hàng thương mại**
C) Life insurance companies
D) Savings institutions

49. A common use of funds for ________________ is investment in stocks.
and businesses, while their main use of funds is providing loans to households and businesses.
A) savings institutions
B) commercial banks
C) mutual funds
D) finance companies

50. Long-term debt securities tend to have a ___________ expected return and _________ risk than money market securities.
A) lower; lower
B) lower; higher
C) higher; lower
D) higher; higher

51. Common types of capital market securities include Treasury bills and commercial paper.
B) False

52. Common types of money market securities include negotiable certificates of deposit and Treasury bills.
A) True

53. Capital market securities are commonly issued in order to finance the purchase of assets such as buildings, equipment, or machinery.
A) True

54. Commercial banks in aggregate have more assets than of savings institutions.
A) True

55. Those participants who receive more money than they spend are referred to as
A) deficit units.
B) surplus units.
C) borrowing units.
D) government units.

56. Equity securities
A) have a maturity.
B) pay interest on a periodic basis.
C) represent ownership in the issuer.
D) repay the principal amount at maturity.

57. The term _____________ involves decisions such as how much funding to obtain, and how to invest the proceeds to expand operations.
A) corporate finance
B) investment management
C) financial markets and institutions
D) None of the above

58. There is a ____________ relationship between the risk of a security and the expected return from investing in the security.
A) positive
B) negative
C) indeterminable
D) none of the above

59. If a security is undervalued, some investors would capitalize from this by purchasing that security. As a result, the security's price will _______, resulting in a _______ return for those investors.
A) rise; lower
B) fall; higher
C) fall; lower
D) rise; higher

60. The credit crisis in the 2008-2009 period was caused by weak economies in Asia.

B) False

61. Currently, _________ hold the largest amount of assets of all financial institutions.
A) commercial banks
B) credit unions
C) finance companies
D) securities firms

62. The main reason that depository institutions experienced financial problems during the credit crisis was their investment in:
A) mortgages.
B) money market securities.
C) stock.
D) Treasury bonds.

63. Those financial markets that facilitate the flow of short-term funds (with maturities of less than one year) are known as capital markets, while those that facilitate the flow of long-term funds are known as money markets.
B) False

64. Treasury bonds have a maturity of one to three years.
B) False

65. Since markets are efficient, institutional and individual investors should ignore the various investment instruments available.
B) False

66. Speculating with derivative contracts on an underlying asset typically results in both higher risk and higher returns than speculating in the underlying asset itself.
A) True

67. When security prices fully reflect all available information, the markets for these securities are said to be perfect.
B) False

68. Securities that are not as safe and liquid as other securities are never considered for investment by anyone.
B) False

69. By requiring full disclosure of information, securities laws prevent investors from making poor investment decisions.
B) False

70. When a depository institution offers a loan, it is acting as a creditor.
A) True
71. Savings institutions are the most dominant financial institution.
B) False

72. Most mutual funds obtain funds by issuing securities, then lend the funds to individuals and small

businesses.
B) False

73. Institutional investors not only provide financial support to companies but exercise some degree of corporate control over them.
B) False

74. Which of the following is not a reason why depository financial institutions are popular?
A) They offer deposit accounts that can accommodate the amount and liquidity characteristics desired by most surplus units.
B) They repackage funds received from deposits to provide loans of the size and maturity desired by deficit units.
C) They accept the risk on loans provided.
D) They use their information resources to act as a broker, executing securities transactions between two parties.
E) They have more expertise than individual surplus units in evaluating the creditworthiness of deficit units.

75. According to your text, which of the following is not considered a money market security?
A) Treasury bills
B) Treasury notes
C) retail CD
D) banker's acceptance
E) commercial paper

76. ________________ are not considered capital market securities.
A) Repurchase agreements
B) Municipal bonds
C) Corporate bonds
D) Equity securities
E) Mortgages

77. ____________ are long-term debt obligations issued by corporations and government agencies to support their operations.
A) Common stock
B) Derivative securities
C) Bonds
D) None of the above

78. Equity securities should normally have a ___________ expected return and _________ risk than money market securities.
A) lower; lower
B) lower; higher
C) higher; lower
D) higher; higher

79. If investors speculate in derivative contracts rather than the underlying asset, they will probably achieve ____________ returns, and they are exposed to relatively ___________ risk.
A) lower; lower

B) lower; higher
C) higher; lower
D) higher; higher

80. When particular securities are perceived to be ______________ by the market, their prices decrease when they are sold by investors.
A) undervalued
B) overvalued
C) fairly priced
D) efficient
E) none of the above

81. Which of the following are not considered depository financial institutions?
A) finance companies
B) commercial banks
C) savings institutions
D) credit unions
E) All of the above are depository financial institutions.

82. The main source of funds for ________________ is proceeds from selling securities to households and businesses, while their main use of funds is providing loans to households and businesses.
A) savings institutions
B) commercial banks
C) mutual funds
D) finance companies
E) pension funds

83. Which of the following statements is incorrect?
A) Financial markets attract funds from investors and channel the funds to corporations.
B) Money markets enable corporations to borrow funds on a short-term basis so that they can support their existing operations.
C) Financial institutions serve solely as intermediaries with the financial markets and never serve as investors.
D) Investors seek to invest their funds in the stock of firms that are presently undervalued and have much potential to improve.

84. Which of the following is not a typical money market security?
A) Treasury bills
B) Treasury bonds
C) Commercial paper
D) Negotiable certificates of deposit

Chapter 2

Determination of Interest Rates

1. According to the loanable funds theory, market interest rates are determined by the factors that control the supply of and demand for loanable funds.
A) True
B) False

Theo thuyết vốn có thể cho vay, lãi suất thị trường được xác định bởi các nhân tố kiểm soát cung cầu của vốn có thể cho vay -- Đúng

ANSWER: A

2. The level of installment debt as a percentage of disposable income is generally __________ during recessionary periods.
A) higher
B) lower
C) zero
D) negative

ANSWER: B

3. At any given point in time, households would demand a ________ quantity of loanable funds at ________ rates of interest.
A) greater; higher
B) greater; lower
C) smaller; lower
D) none of the above

ANSWER: B

4. Businesses demand loanable funds to
A) finance installment debt.
B) subsidize other companies. trợ cấp công ty khác
C) invest in fixed and short-term assets. đầu tư tài sản cố định và ngắn hạn
D) none of the above

ANSWER: C

5. The required return to implement a given business project will be ______ if interest rates are lower. This implies that businesses will demand a ______ quantity of loanable funds when interest rates are lower.
A) greater; lower
B) lower; greater
C) lower; lower
D) greater; greater

ANSWER: B

6. If interest rates are ______ , ______ projects will have positive NPVs.
A) higher; more
B) lower; more
C) lower; no
D) none of the above

ANSWER: B

7. The demand for funds resulting from business investment in short-term assets is _______ related to the number of projects implemented, and is therefore _______ related to the interest rate.

A) inversely; positively
B) positively; inversely
C) inversely; inversely
D) positively; positively

ANSWER: B

8. If economic conditions become less favorable

A) expected cash flows on various projects will increase.
B) more proposed projects will have expected returns greater than the hurdle rate.
C) there would be additional acceptable business projects.
D) there would be a decreased demand by business for loanable funds.

ANSWER: D

9. As a result of more favorable economic conditions, there is a(n) ___________ demand for loanable funds, causing an __________ shift in the demand curve.

A) decreased; inward
B) decreased; outward
C) increased; outward
D) increased; inward

ANSWER: C

10. The federal government demand for loanable funds is ___________. If the budget deficit was expected to increase, the federal government demand for loanable funds would _________.

A) interest elastic; decrease
B) interest elastic; increase
C) interest inelastic; increase
D) interest inelastic; decrease

ANSWER: C

11. Other things being equal, foreign governments and corporations would demand _________ U.S. funds if their local interest rates were lower than U.S. rates. Therefore, for a given set of foreign interest rates, foreign demand for U.S. funds is ________ related to U.S. interest rates.

A) less; inversely
B) more; positively
C) less; positively
D) more; inversely

ANSWER: A

12. For a given set of foreign interest rates, the quantity of U.S. loanable funds demanded by foreign governments or firms will be __________________ U.S. interest rates.

A) positively related to
B) inversely related to

C) unrelated to
D) none of the above

ANSWER: B

13. The quantity of loanable funds supplied is normally
A) highly interest elastic.
B) more interest elastic than the demand for loanable funds.
C) less interest elastic than the demand for loanable funds.
D) equally interest elastic as the demand for loanable funds.
E) A and B

ANSWER: C

14. The _____________ sector is the largest supplier of loanable funds.
A) household
B) government
C) business
D) none of the above

ANSWER: A

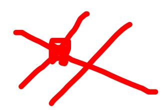
15. The supply of loanable funds in the U.S. is partly determined by the monetary policy implemented by the Federal Reserve System.
A) True
B) False

ANSWER: A

16. If a strong economy allows for a large _________ in households income, the supply curve will shift __________.
A) decrease; outward
B) increase; inward
C) increase; outward
D) none of the above

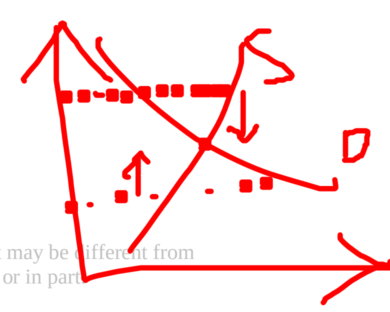
ANSWER: C

17. The equilibrium interest rate
A) equates the aggregate demand for funds with the aggregate supply of loanable funds.
B) equates the elasticity of the aggregate demand and supply for loanable funds.
C) decreases as the aggregate supply of loanable funds decreases.
D) increases as the aggregate demand for loanable funds decreases.



ANSWER: A

18. The equilibrium interest rate should
A) fall when the aggregate supply funds exceeds aggregate demand for funds.
B) rise when the aggregate supply of funds exceeds aggregate demand for funds.



C) fall when the aggregate demand for funds exceeds aggregate supply of funds.
D) rise when aggregate demand for funds equals aggregate supply of funds.
E) B and C

ANSWER: A

19. Which of the following is likely to cause a decrease in the equilibrium U.S. interest rate, other things being equal?
~~A)~~ a decrease in savings by foreign savers
~~B)~~ an increase in inflation
C) pessimistic economic projections that cause businesses to reduce expansion plans
~~D)~~ a decrease in savings by U.S. households

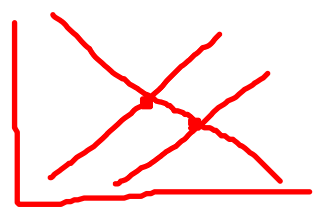
ANSWER: C

20. The Fisher effect states that the
A) nominal interest rate equals the expected inflation rate plus the real rate of interest.
B) nominal interest rate equals the real rate of interest minus the expected inflation rate.
C) real rate of interest equals the nominal interest rate plus the expected inflation rate.
D) expected inflation rate equals the nominal interest rate plus the real rate of interest.

ANSWER: A

21. If the real interest rate was negative for a period of time, then
A) inflation is expected to exceed the nominal interest rate in the future.
B) inflation is expected to be less than the nominal interest rate in the future.
C) actual inflation was less than the nominal interest rate.
D) actual inflation was greater than the nominal interest rate.

ANSWER: D



22. If inflation is expected to decrease, then
A) savers will provide less funds at the existing equilibrium interest rate.
B) the equilibrium interest rate will increase.
C) the equilibrium interest rate will decrease.
D) borrowers will demand more funds at the existing equilibrium interest rate.

ANSWER: C

23. If inflation turns out to be lower than expected
A) savers benefit.
B) borrowers benefit while savers are not affected.
C) savers and borrowers are equally affected.
D) savers are adversely affected but borrowers benefit.

ANSWER: A

24. If the economy weakens, there is __________ pressure on interest rates. If the Federal Reserve increases the money supply there is _______ pressure on interest rates (assume that inflationary

expectations are not affected).
A) upward; upward
B) upward; downward
C) downward; upward
D) downward; downward

ANSWER: D

25. What is the basis of the relationship between the Fisher effect and the loanable funds theory?
A) the saver's desire to maintain the existing real rate of interest
B) the borrower's desire to achieve a positive real rate of interest
C) the saver's desire to achieve a negative real rate of interest
D) B and C

ANSWER: A

26. Assume that foreign investors who have invested in U.S. securities decide to decrease their holdings of U.S. securities and to instead increase their holdings of securities in their own countries. This should cause the supply of loanable funds in the United States to ______ and should place ______ pressure on U.S. interest rates.
A) decrease; upward
B) decrease; downward
C) increase; downward
D) increase; upward

ANSWER: A

27. Assume that foreign investors who have invested in U.S. securities decide to increase their holdings of U.S. securities. This should cause the supply of loanable funds in the United States to _____ and should place ______ pressure on U.S. interest rates.
A) decrease; upward
B) decrease; downward
C) increase; downward
D) increase; upward

ANSWER: C

28. If the federal government needs to borrow additional funds, this borrowing reflects a(n) __________ in the supply of loanable funds, and a(n) __________ in the demand for loanable funds.
A) increase; no change
B) decrease; no change
C) no change; increase
D) no change; decrease

ANSWER: C

29. If the federal government reduces its budget deficit, this causes a(n) __________________ in the supply of loanable funds, and a(n) _________________________ in the demand for loanable funds.
A) increase; no change

B) decrease; no change
C) no change; increase
D) no change; decrease

ANSWER: D

30. Due to expectations of higher inflation in the future, we would typically expect the supply of loanable funds to ____________________ and the demand for loanable funds to _____________.
A) increase; decrease
B) increase; increase
C) decrease; increase
D) decrease; decrease

ANSWER: C

31. Due to expectations of lower inflation in the future, we would typically expect the supply of loanable funds to _________________ and the demand for loanable funds to _______________.
A) increase; decrease
B) increase; increase
C) decrease; increase
D) decrease; decrease

ANSWER: A

32. If the real interest rate is expected by a particular person to become negative, then the purchasing power of his or her savings would be _________________, as the inflation rate is expected to be ___________________ the existing nominal interest rate.
A) decreasing; less than
B) decreasing; greater than
C) increasing; greater than
D) increasing; less than

ANSWER: B

33. If economic expansion is expected to increase, then demand for loanable funds should ______ and interest rates should ______.
A) increase; increase
B) increase; decrease
C) decrease; decrease
D) decrease; increase

ANSWER: A

34. If economic expansion is expected to decrease, the demand for loanable funds should ______ and interest rates should ______.
A) increase; increase
B) increase; decrease
C) decrease; decrease
D) decrease; increase

ANSWER: C

35. If the real interest rate was stable over time, this would suggest that there is _______ relationship between inflation and nominal interest rate movements.
A) a positive
B) an inverse
C) no
D) an uncertain (cannot be determined from information above)

ANSWER: A

36. If inflation and nominal interest rates move more closely together over time than they did in earlier periods, this would _________ the volatility of the real interest rate movements over time.
A) increase
B) decrease
C) have an effect, which cannot be determined with above information, on
D) have no effect on

ANSWER: B

37. Canada and the U.S. are major trading partners. If Canada experiences a major increase in economic growth, it could place ____ pressure on Canadian interest rates and _____ pressure on U.S. interest rates.
A) upward; upward
B) upward; downward
C) downward; downward
D) downward; upward

ANSWER: A

38. If investors shift funds from stocks into bank deposits, this _______ the supply of loanable funds, and places _______ pressure on interest rates.
A) increases; upward
B) increases; downward
C) decreases; downward
D) decreases; upward

ANSWER: B

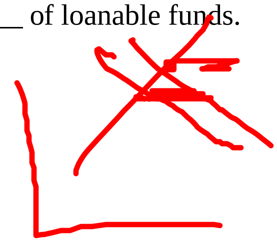
39. When Japanese interest rates rise, and if exchange rate expectations remain unchanged, the most likely effect is that the supply of loanable funds provided by Japanese investors to the United States will __________________, and the U.S. interest rates will _____________.
A) increase; increase
B) increase; decrease
C) decrease; decrease
D) decrease; increase

ANSWER: D

40. Which of the following will probably not result in an increase in the business demand for loanable funds?
   A) an increase in positive net present value (NPV) projects
   B) a reduction in interest rates on business loans
   C) a recession
   D) none of the above

   ANSWER: C

41. If the aggregate demand for loanable funds increases without a corresponding ___________ in aggregate supply, there will be a ___________ of loanable funds.
   A) increase; surplus
   B) increase; shortage
   C) decrease; surplus
   D) decrease; shortage



   ANSWER: B

42. A ___________ federal government deficit increases the quantity of loanable funds demanded at any prevailing interest rate, causing an ___________ shift in the demand schedule.
   A) higher; inward
   B) higher; outward
   C) lower; outward
   D) none of the above

   ANSWER: B

43. Which of the following is not true regarding foreign interest rates?
   A) The large flow of funds between countries causes interest rates in any given country to become more susceptible to interest rate movements in other countries.
   B) The expectations of a strong dollar should cause a flow of funds to the U.S.
   C) An increase in a foreign country's interest rates will encourage investors in that country to invest their funds in other countries.
   D) All of the above are true regarding foreign interest rates.

   ANSWER: C

44. Which of the following is least likely to affect household demand for loanable funds?
   A) a decrease in tax rates
   B) an increase in interest rates
   C) a reduction in positive net present value (NPV) projects available
   D) All of the above are equally likely to affect household demand for loanable funds.

   ANSWER: C

45. Which of the following statements is incorrect?
   A) The Fed's monetary policy is intended to control the economic conditions in the U.S.
   B) The Fed's monetary policy affects the supply of loanable funds, which affects interest rates.

C) By influencing interest rates, the Fed is able to influence the amount of money that corporations and households are willing to borrow and spend.
D) All of the statements above are true.

ANSWER: D

46. At any point in time, households and businesses demand a greater quantity of loanable funds at lower rates of interest.
A) True
B) False

ANSWER: A

47. The business demand for funds resulting from short-term investments is inversely related to the number of projects implemented and inversely related to the interest rate.
A) True
B) False

ANSWER: B

48. Other things being equal, a smaller quantity of U.S. funds would be demanded by foreign governments and corporations if their domestic interest rates were high relative to U.S. rates.
A) True
B) False

ANSWER: B

49. If foreign interest rates fall, foreign firms and governments would likely reduce their demand for U.S. funds.
A) True
B) False

ANSWER: A

50. Since the aggregate demand for loanable funds is the sum of the quantities demanded by the separate sectors, and since most of these sectors are likely to demand a larger quantity of funds at lower interest rates (other things being equal), the aggregate demand for loanable funds is positively related to interest rates at any point in time.
A) True
B) False

ANSWER: B

51. In general, suppliers of loanable funds are willing to supply more funds if the interest rate is higher.
A) True
B) False

ANSWER: A

52. If the aggregate demand for loanable funds increases without a corresponding increase in aggregate supply, there will be a surplus of loanable funds.
A) True
B) False
ANSWER: B

53. The relationship between interest rates and expected inflation is often referred to as the loanable funds theory.
A) True
B) False

ANSWER: B

54. According to the Fisher effect, if the real interest rate is zero, the nominal interest rate must be equal to the expected inflation rate.
A) True
B) False

ANSWER: A

55. To forecast interest rates using the Fisher effect, the real interest rate for an upcoming period can be forecasted by subtracting the expected inflation rate over that period from the nominal interest rate quoted for that period.
A) True
B) False

ANSWER: A

56. According to the Fisher effect, when the inflation rate is lower than anticipated, the real interest rate is relatively low.
A) True
B) False

ANSWER: B

57. Forecasters should consider future plans for corporate expansion and the future state of the economy when forecasting business demand for loanable funds.
A) True
B) False

ANSWER: A

58. The ______________________ suggests that the market interest rate is determined by factors that control the supply of and demand for loanable funds.
A) Fisher effect
B) loanable funds theory
C) real interest rate
D) none of the above

ANSWER: B

59. Which of the following will probably not result in an increase in the business demand for loanable funds?
   A) an increase in positive net present value (NPV) projects
   B) a reduction in interest rates on business loans
   C) a recession
   D) All of the above will result in an increase in the business demand for loanable funds.

   ANSWER: C

60. Other things being equal, a __________ quantity of U.S. funds would be demanded by foreign governments and corporations if their domestic interest rates were ________ relative to U.S. rates.
   A) smaller; high
   B) larger; high
   C) larger; low
   D) none of the above

   ANSWER: B

61. The federal government demand for funds is said to be interest inelastic, or ____________ to interest rates.
   A) sensitive
   B) insensitive
   C) relatively sensitive as compared to other sectors
   D) none of the above

   ANSWER: B

62. If the aggregate demand for loanable funds increases without a corresponding ____________ in aggregate supply, there will be a ____________ of loanable funds.
   A) increase; surplus
   B) increase; shortage
   C) decrease; surplus
   D) decrease; shortage

   ANSWER: B

63. The expected impact of an increased expansion by businesses is an ____________ shift in the demand schedule and _______________ in the supply schedule.
   A) inward; an inward shift
   B) inward; an outward shift
   C) outward; an inward shift
   D) outward; no obvious change

   ANSWER: D

64. Which of the following is a valid representation of the Fisher effect?
   A) $i = E(INF) + i_R$
   B) $i_R = E(INF) + i$
   C) $E(INF) = i + i_R$

D) none of the above

ANSWER: A

65. The real interest rate can be forecasted by subtracting the ____________ from the ___________ for that period.
A) nominal interest rate; expected inflation rate
B) prime rate; nominal interest rate
C) expected inflation rate; nominal interest rate
D) prime rate; expected inflation rate

ANSWER: C

66. According to the Fisher effect, expectations of higher inflation cause savers to require a ___________ on savings.
A) higher nominal interest rate
B) higher real interest rate
C) lower nominal interest rate
D) lower real interest rate
ANSWER: A

67. A __________ federal government deficit increases the quantity of loanable funds demanded at any prevailing interest rate, causing a ___________ shift in the demand schedule.
A) higher; inward
B) higher; outward
C) lower; outward
D) none of the above

ANSWER: B

Chapter 3

Structure of Interest Rates

1. In general, securities with ____________ characteristics will offer _________ yields.
A) favorable; higher
B) favorable; lower
C) unfavorable; lower
D) none of the above

ANSWER: B

2. Default risk is likely to be highest for
A) short-term Treasury securities.
B) AAA corporate securities.
C) long-term Treasury securities.

D) BBB corporate securities.

ANSWER: D

3. Some financial institutions such as commercial banks are required by law to invest only in
   A) junk bonds.
   B) corporate stock.
   C) Treasury securities.
   D) investment-grade bonds.

ANSWER: D

4. Credit ratings are most commonly used to indicate which financial institutions have available funds that they can lend to borrowers.
   A) True
   B) False

ANSWER: A

5. If a security can easily be converted to cash without a loss in value, it
   A) is liquid.
   B) has a high after-tax yield.
   C) has high default risk.
   D) is illiquid.

ANSWER: A

6. Securities that offer ________ liquidity will offer a _________ yield to be preferred.
   A) lower; higher
   B) lower; lower
   C) higher; higher
   D) B and C

ANSWER: A

7. If all other characteristics are similar, ______ would have to offer ______.
   A) taxable securities; a higher after-tax yield than tax-exempt securities
   B) taxable securities; a higher before-tax yield than tax-exempt securities
   C) tax-exempt securities; a higher after-tax yield than taxable securities
   D) tax-exempt securities; a higher before-tax yield than taxable securities

ANSWER: B

8. Assume an investor's tax rate is 25 percent. The before-tax yield on a security is 12 percent. What is the after-tax yield?
   A) 16.00 percent
   B) 9.25 percent
   C) 9.00 percent
   D) 3.00 percent

E) none of the above

ANSWER: C

9. An investor's tax rate is 30 percent. What must the before-tax yield on a security be to have an after-tax yield of 11 percent?
A) 7.7 percent
B) 15.71 percent
C) 130 percent
D) 11.00 percent
E) none of the above

ANSWER: B

10. A firm in the 35 percent tax bracket is aware of a tax-exempt security that is paying a yield of 7 percent. To match this yield, taxable securities must offer a before-tax yield of
A) 7.0 percent.
B) 10.8 percent.
C) 20.0 percent.
D) none of the above

ANSWER: B

11. Holding other factors such as risk constant, the relationship between the maturity and annualized yield of securities is called the

A) term structure of interest rates.
B) default structure of interest rates.
C) liquidity structure of interest rates.
D) tax structure of interest rates.
E) none of the above

ANSWER: A

12. The term structure of interest rates defines the relationship
A) between risk and return.
B) between risk and maturity.
C) between maturity and yield.
D) between default risk ratings and maturity.

ANSWER: C

13. Interest income from municipal bonds is exempt from state taxes but is subject to federal taxes.
A) True
B) False

ANSWER: B

14. If shorter term securities have higher annualized yields than longer term securities, the yield curve
A) is horizontal.
B) is upward sloping.

C) is downward sloping.
D) cannot be determined unless we know additional information (such as the level of market interest rates).

ANSWER: C

15. Assume that annualized yields of short-term and long-term securities are equal. If investors suddenly believe interest rates will increase, their actions may cause the yield curve to
A) become inverted.
B) become flat.
C) become upward sloping.
D) be unaffected.

ANSWER: C

16. If issuers of securities (borrowers) and investors suddenly expect interest rates to decrease, their actions to benefit from their expectations should cause
A) long-term yields to rise.
B) short-term yields to decrease.
C) prices of long-term securities to decrease.
D) A and B
E) none of the above

ANSWER: E

17. Within the category of capital market securities, municipal bonds have the ________ before-tax yield, and their after-tax yield is typically _________ of Treasury bonds from the perspective of investors in high tax brackets.

A) highest; below that

B) lowest; above that

C) highest; above that

D) lowest; below that

ANSWER: B

18. The yield offered on a debt security is ____________ related to the prevailing risk-free rate and ___________ related to the security's risk premium.

A) negatively; negatively

B) positively; positively

C) negatively; positively

D) positively; negatively

ANSWER: B

19. The theory for the term structure of interest rates that says the shape of the yield curve is determined solely by expectations of future interest rates is called the

A) segmented markets theory.
B) liquidity premium theory.

C) pure expectations theory.
D) theory of rational expectations.

ANSWER: C

20. Assume investors are indifferent among security maturities. Today, the annualized 2-year interest rate is 12 percent, and the 1-year interest rate is 9 percent. What is the forward rate according to the pure expectations theory?
A) 15.08 percent
B) 3.00 percent
C) 12.00 percent
D) 12.62 percent
E) 11.41 percent

ANSWER: A

21. Assume the yield curve is flat. If investors flood the short-term market and avoid the long-term market, they may cause the yield curve to
A) remain flat.
B) become upward sloping.
C) become downward sloping.
D) none of the above

ANSWER: B

22. According to pure expectations theory, if interest rates are expected to decrease, there will be ___________ pressure on the demand for short-term funds by borrowers and ___________ pressure on the demand for long-term funds issued by borrowers.
A) upward; upward
B) downward; downward
C) upward; downward
D) downward; upward

ANSWER: C

23. The degree to which the Treasury's debt management policy could affect the term structure of interest rates is greatest if
A) most debt is financed by foreign investors.
B) the Treasury's debt level is small.
C) maturity markets are segmented.
D) A and B

ANSWER: C

24. According to the pure expectations theory of the term structure of interest rates, the ______ the difference between the implied one-year forward rate and today's one-year interest rate, the ______ is the expected change in the one-year interest rate.
A) greater; less
B) less; greater

C) greater; greater
D) less; less
E) C and D

ANSWER: E

25. Assume that today, the annualized two-year interest rate is 12 percent, and the one-year interest rate is 9 percent. A three-year security has an annualized interest rate of 14 percent. What is the one-year forward rate two years from now?
A) 12.67 percent
B) 113 percent
C) 195 percent
D) 15.67 percent
E) none of the above

ANSWER: E

26. Assume that a yield curve is influenced by interest rate expectations and a liquidity premium. Assume the yield curve is initially flat. If liquidity suddenly was no longer important, the yield curve would now have a ______ (assuming no other changes).
A) slight downward slope
B) slight upward slope
C) steep upward slope
D) steep downward slope

ANSWER: A

27. According to the liquidity premium theory, the expected yield on a two-year security will ______ the expected yield from consecutive investments in one-year securities.
A) equal
B) be less than
C) be greater than
D) B and C are possible, depending on the size of the liquidity premium

ANSWER: C

28. Assume that the current yield on one-year securities is 6 percent, and that the yield on a two-year security is 7 percent. If the liquidity premium on a two-year security is 0.4 percent, then the one-year forward rate is
A) 8.0 percent.
B) 7.6 percent.
C) 3.0 percent.
D) 7.0 percent.

ANSWER: B

29. If liquidity influences the yield curve, but is not considered when deriving the forward interest rate, the forward interest rate ______ the market's expectation of the future interest rate.
A) overestimates

B) accurately estimates
C) underestimates
D) is an unbiased forecast of (it has an equal chance of overestimating or underestimating)

ANSWER: A

30. If the liquidity premium exists, a flat yield curve would **be interpreted** as the market expecting _______ in interest rates.
A) no changes
B) a slight decrease
C) a slight increase
D) a large increase

ANSWER: B

31. The theory of the term structure of interest rates, which states that investors and borrowers choose securities with maturities that satisfy their forecasted cash needs, is the
A) pure expectations theory.
B) liquidity premium theory.
C) segmented markets theory.
D) liquidity habitat theory.

ANSWER: C

32. According to the segmented markets theory, if most investors suddenly preferred to invest in short-term securities and most borrowers suddenly preferred to issue long-term securities there would be
A) upward pressure on the price of long-term securities.
B) upward pressure on the price of short-term securities.
C) downward pressure on the yield of long-term securities.
D) A and C

ANSWER: B

33. A theory states that while investors and borrowers may normally concentrate on a particular natural maturity market, conditions may cause them to change maturity markets. This theory is called the
A) liquidity premium theory.
B) efficient markets theory.
C) pure expectations theory.
D) preferred habitat theory.

ANSWER: D

34. According to segmented markets theory, if investors have mostly short-term funds available and borrowers want long-term funds, there would be __________ pressure on the supply of short-term funds provided by investors and __________ pressure on the yield of long-term securities.
A) upward; upward
B) downward; downward
C) upward; downward
D) downward; upward

ANSWER: A

35. If a yield curve is upward sloping, the investment strategy of buying long-term securities, then selling them after a short period (say, one year) is called
A) riding the yield curve.
B) liquidating the yield curve.
C) segmenting the yield curve.
D) a forward roll.
E) none of the above

ANSWER: A

36. Other things equal, the yield required on A-rated bonds should be ______ the yield required on B-rated
bonds whose other characteristics are exactly the same.

A) greater than
B) equal to
C) less than
D) All of the above are possible, depending on the size of the bond offering.

ANSWER: C

37. Assume that the Treasury bond yield today is 2% higher than it was one year ago. Also assume that the credit (default) risk premium of an A-rated bond declined by 0.4% since one year ago. A newly issued A-rated bond will likely offer a yield today that is _______ the yield that was offered on an A-rated bond issued one year ago.
A) greater than
B) equal to
C) less than
D) A or B are both common

ANSWER: A

38. In some time periods there is evidence that corporations initially financed long-term projects with short-term funds. They planned to borrow long-term funds once interest rates were lower. This specifically supports the ______ for explaining the term structure of interest rates.

A) liquidity premium theory
B) expectations theory
C) segmented markets theory
D) A and C

ANSWER: B

39. According to expectations theory, the sudden expectation of lower interest rates in the future will cause a ______ supply of short-term funds provided by investors, and a ______ supply of long-term funds.
A) large; large
B) large; small
C) small; small

D) small; large

ANSWER: D

40. The yield curve in a foreign country is
   A) always downward sloping.
   B) non-existent.
   C) the same as the United States at any point in time.
   D) none of the above

   ANSWER: D

41. If research showed that anticipation about future interest rates was the only important factor for all investors in choosing short-term or long-term securities, this would support the argument made by the
   A) liquidity premium theory.
   B) expectations theory.
   C) segmented markets theory.
   D) A and B

   ANSWER: B

42. If research showed that all investors attempt to purchase securities that perfectly match their time in which they will have available funds, this would specifically support the argument made by the
   A) liquidity premium theory.
   B) real interest rate theory.
   C) expectations theory.
   D) segmented markets theory.

   ANSWER: D

43. If the Treasury uses a relatively large proportion of ______ debt to finance the deficit, this may place upward pressure on ______ interest rates, and corporations may reduce their investment in fixed assets.
   A) long-term; long-term
   B) long-term; short-term
   C) short-term; long-term
   D) B and C

   ANSWER: A

44. You are considering the purchase of a tax-exempt security that is paying a yield of 10.08 percent. You are in the 28 percent tax bracket. To match this after-tax yield, you would consider taxable securities that pay
   A) 31.1 percent.
   B) 19 percent.
   C) 12.5 percent.
   D) 14 percent.

   ANSWER: D

45. The annualized yield on a three-year security is 13 percent; the annualized two-year interest rate is 12 percent, while the one-year interest rate is 9 percent. The forward rate one-year ahead is __________ percent.
A) 2.8
B) 115
C) 103
D) 15.1

ANSWER: D

46. The annualized yield on a three-year security is 13 percent; the annualized two-year interest rate is 12 percent, while the one-year interest rate is 9 percent. The forward rate two years ahead is __________ percent.
A) 1.8
B) 9.0
C) 15.0
D) none of the above

ANSWER: C

47. According to segmented markets theory, if investors have mostly long-term funds available and borrowers want short-term funds, this will place _______________ pressure on the demand for long-term funds issued by borrowers and the yield curve will be _____________ sloping.
A) upward; downward
B) downward; upward
C) upward; upward
D) downward; downward

ANSWER: D

48. An upward-sloping yield curve indicates that Treasury securities with _______________ maturities offer _______________ annualized yields.
A) longer; lower
B) longer; higher
C) shorter; lower
D) shorter; higher
E) B and C

ANSWER: E

49. Assume that the Treasury experiences a large decrease in the budget deficit and purchases a large number of T-bills. This action will __________________ the supply of T-bills in the market and places ___________________ pressure on the yield of T-bills.
A) decrease; downward
B) decrease; upward
C) increase; upward
D) increase; downward

ANSWER: B

50. Vaughn Corporation is considering the issue of commercial paper and would like to know the yield it should offer on its commercial paper. The corporation believes that a 0.2 percent default risk premium, a 0.1 percent liquidity premium, and a 0.3 percent tax adjustment are necessary to sell its commercial paper to investors. Furthermore, annualized T-bill rates are 7 percent. Based on this information, Vaughn should offer __________ percent on its commercial paper.
A) 8.0
B) 7.6
C) 7.5
D) 7.9
E) none of the above

ANSWER: B

51. If liquidity influences the yield curve, the forward rate underestimates the market's expectation of the future interest rate.
A) True
B) False

ANSWER: B

52. The yield curve for corporate bonds.
A) would typically lie below the Treasury yield curve.
B) is identical to the Treasury yield curve.
C) typically has the same slope as the Treasury yield curve.
D) is irrelevant to investors.

ANSWER: C

53. Some types of debt securities always offer a higher yield than others.
A) True
B) False

ANSWER: A

54. Investors will always prefer the purchase of risk-free Treasury securities, since other securities have a higher level of risk.
A) True
B) False

ANSWER: B

55. The higher a bond rating, the lower the perceived default risk.
A) True
B) False

ANSWER: A

56. Treasury securities are exempt from federal and state income taxes.

A) True
B) False

ANSWER: B

57. The term structure of interest rates defines the relationship between maturity and annualized yield, holding other factors such as risk constant.
A) True
B) False

ANSWER: A

58. The graphic comparison of maturities and annualized yields is known as the interest rate curve.
A) True
B) False

ANSWER: B

59. According to the segmented markets theory, the term structure of interest rates is determined solely by expectations of future interest rates.
A) True
B) False

ANSWER: B

60. The forward rate is commonly used to represent the market's forecast of the future interest rate.
A) True
B) False

ANSWER: A

61. Other things being equal, an expected decrease in interest rates will increase the demand for long-Term funds by borrowers.
A) True
B) False
ANSWER: B

62. The preference for more liquid short-term securities places downward pressure on the slope of the yield curve.
A) True
B) False

ANSWER: B

63. When expectations theory is combined with the liquidity theory, the yield on a security will always Be equal to the yield from consecutive investments in shorter-term securities over the same investment horizon.
A) True
B) False

ANSWER: B

64. The segmented markets theory suggests that although investors and borrowers may normally concentrate on a particular natural maturity market, certain events may cause them to wander from it.
    A) True
    B) False

    ANSWER: B

65. If the yield curve is upward sloping, some investors may attempt to benefit from the higher yields on longer-term securities, even when they have funds for only a short period of time. This strategy is known as riding the yield curve.
    A) True
    B) False

    ANSWER: A

66. Yield curves are always upward sloping.
    A) True
    B) False

    ANSWER: B

67. Which of the following statements is not true with respect to debt securities?
    A) Some types of debt securities always offer a higher yield than others.
    B) Debt securities offer different yields because they exhibit different characteristics that influence the offered yield.
    C) In general, securities with favorable characteristics will offer higher yields to entice investors.
    D) All of the above are true with respect to debt securities.

    ANSWER: C

68. Which of the following is not a characteristic affecting the yields on debt securities?
    A) default risk
    B) liquidity
    C) tax status
    D) term to maturity
    E) All of the above affect yields on debt securities.

    ANSWER: E

69. All other characteristics being equal, securities with ____________ liquidity would have to offer a ______________ yield to be preferred.
    A) lower; higher
    B) higher; higher
    C) lower; lower
    D) none of the above

ANSWER: A

70. A downward-sloping yield curve indicates that Treasury securities with ______________ maturities offer ______________ annualized yields.
A) longer; lower
B) longer; higher
C) shorter; lower
D) shorter; higher
E) Answers a and d are correct.

ANSWER: E

71. Assume that the Treasury experiences a large increase in the budget deficit and issues a large number of T-bills. This action will _________ the supply of T-bills in the market and place __________ pressure on the yield of T-bills.
A) decrease; downward
B) decrease; upward
C) increase; upward
D) increase; downward

ANSWER: D

72. If the liquidity premium theory completely describes the term structure of interest rates, then, on the average, the yield curve should be
A) flat.
B) downward sloping.
C) upward sloping.
D) none of the above.

ANSWER: C

73. If interest rates are expected to decrease, the yield on new short-term securities may be expected to _______________, and the yield curve should be ______________ sloping.
A) increase; upward
B) increase; downward
C) decrease; upward
D) decrease; downward
ANSWER: B

74. According to segmented markets theory, if investors have mostly long-term funds available and borrowers want short-term funds, this will place ______________ pressure on the demand for short-term funds by borrowers and the yield curve will be ____________ sloping.
A) upward; downward
B) downward; upward
C) upward; upward
D) downward; downward

ANSWER: A

75. The _________________ theory suggests that although investors and borrowers may normally concentrate on a particular natural maturity market, certain events may cause them to wander from it.
   A) pure expectations
   B) liquidity premium
   C) segmented markets
   D) preferred habitat

   ANSWER: D

76. If the Treasury uses a relatively large proportion of ___________ debt to finance a budget deficit, this would place ___________ pressure on long-term yields.
   A) short-term; downward
   B) long-term; downward
   C) short-term; upward
   D) long-term; upward

   ANSWER: D

Chapter 6

Money Markets

1. Securities with maturities of one year or less are classified as
   A) capital market instruments.
   B) money market instruments.
   C) preferred stock.
   D) none of the above

   ANSWER: B

2. Which of the following is not a money market security?
   A) Treasury bill
   B) negotiable certificate of deposit
   C) common stock
   D) federal funds

   ANSWER: C

3. ________ are sold at an auction at a discount from par value.
   A) Treasury bills
   B) Repurchase agreements
   C) Banker's acceptances
   D) Commercial paper

   ANSWER: A

4. Jarrod King, a private investor, purchases a Treasury bill with a $10,000 par value for $9,645. One hundred days later, Jarrod sells the T-bill for $9,719. What is Jarrod's expected annualized yield from this transaction?
   A) 13.43 percent
   B) 2.78 percent
   C) 10.55 percent
   D) 2.80 percent
   E) none of the above

   ANSWER: D

5. If an investor buys a T-bill with a 90-day maturity and $50,000 par value for $48,500 and holds it to maturity, what is the annualized yield?
   A) about 13.4 percent
   B) about 12.5 percent
   C) about 11.3 percent
   D) about 11.6 percent
   E) about 10.7 percent
   ANSWER: B

6. An investor buys a T-bill with 180 days to maturity and $250,000 par value for $242,000. He plans to sell it after 60 days, and forecasts a selling price of $247,000 at that time. What is the annualized yield based on this expectation?
   A) about 10.1 percent
   B) about 12.6 percent
   C) about 11.4 percent
   D) about 13.5 percent
   E) about 14.3 percent

   ANSWER: B

7. Assume investors require a 5 percent annualized return on a six-month T-bill with a par value of $10,000. The price investors would be willing to pay is $________.
   A) 10,000
   B) 9,524
   C) 9,756
   D) none of the above

   ANSWER: C

8. A newly issued T-bill with a $10,000 par value sells for $9,750, and has a 90-day maturity. What is the discount?
   A) 10.26 percent
   B) 0.26 percent
   C) $2,500
   D) 10.00 percent
   E) 11.00 percent

   ANSWER: D

9. Large corporations typically make ___________ bids for T-bills so they can purchase larger amounts.
   A) competitive
   B) noncompetitive
   C) very small
   D) none of the above

   ANSWER: A

10. At any given time, the yield on commercial paper is ______ the yield on a T-bill with the same maturity.
    A) slightly less than
    B) slightly higher than
    C) equal to
    D) A and B both occur with about equal frequency

    ANSWER: B

11. T-bills and commercial paper are sold
    A) with a stated coupon rate.
    B) at a discount from par value.
    C) at a premium about par value.
    D) A and C
    E) none of the above

    ANSWER: B

12. ___________ is a short-term debt instrument issued only be well-known, creditworthy firms and is normally issued to provide liquidity or finance a firm's investment in inventory and accounts receivable.
    A) A banker's acceptance
    B) A repurchase agreement
    C) Commercial paper
    D) A Treasury bill

    ANSWER: C

13. Commercial paper has a maximum maturity of _______days.
    A) 45
    B) 270
    C) 360
    D) none of the above

    ANSWER: B

14. An investor buys commercial paper with a 60-day maturity for $985,000. Par value is $1,000,000, and the investor holds it to maturity. What is the annualized yield?
    A) 8.62 percent

B) 8.78 percent
C) 8.90 percent
D) 9.14 percent
E) 9.00 percent

ANSWER: D

15. A firm plans to issue 30-day commercial paper for $9,900,000. Par value is $10,000,000. What is the firm's cost of borrowing?
A) 12.12 percent
B) 11.11 percent
C) 13.00 percent
D) 14.08 percent
E) 15.25 percent

ANSWER: A

16. When firms sell commercial paper at a ______ price than they projected, their cost of raising funds is ______ than projected.
A) higher; higher
B) lower; lower
C) A and B
D) none of the above

ANSWER: D

17. Which of the following is not a money market instrument?
A) banker's acceptance
B) commercial paper
C) negotiable CDs
D) repurchase agreements
E) all of the above are money market instruments

ANSWER: E

18. A repurchase agreement calls for an investor to buy securities for $4,925,000 and sell them back in 60 days for $5,000,000. What is the yield?
A) 9.43 percent
B) 9.28 percent
C) 9.14 percent
D) 9.00 percent

ANSWER: C

19. The federal funds market allows depository institutions to borrow
A) short-term funds from each other.
B) short-term funds from the Treasury.
C) long-term funds from each other.
D) long-term funds from the Federal Reserve.

E) B and D

ANSWER: A

20. When a bank guarantees a future payment to a firm, the financial instrument used is called
   A) a repurchase agreement.
   B) a negotiable CD.
   C) a banker's acceptance.
   D) commercial paper.

   ANSWER: C

21. Which of the following instruments has a highly active secondary market?
   A) banker's acceptances
   B) commercial paper
   C) federal funds
   D) repurchase agreements

   ANSWER: A

22. Which of the following is true of money market instruments?
   A) Their yields are highly correlated over time.
   B) They typically sell for par value when they are initially issued (especially T-bills and commercial paper).
   C) Treasury bills have the highest yield.
   D) They all make periodic coupon (interest) payments.
   E) A and B

   ANSWER: A

23. An investor purchased an NCD a year ago in the secondary market for $980,000. He redeems it today and receives $1,000,000. He also receives interest of $30,000. The investor's annualized yield on this investment is
   A) 2.0 percent.
   B) 5.10 percent.
   C) 5.00 percent.
   D) 2.04 percent.

   ANSWER: B

24. An investor initially purchased securities at a price of $9,923,418, with an agreement to sell them back at a price of $10,000,000 at the end of a 90-day period. The repo rate is _________ percent.
   A) 3.10
   B) 0.77
   C) 1.00
   D) none of the above

   ANSWER: A

25. The rate at which depository institutions effectively lend or borrow funds from each other is the ___________.
   A) federal funds rate
   B) discount rate
   C) prime rate
   D) repo rate

   ANSWER: A

26. ______________ are the most active participants in the federal funds market.
   A) Savings and loan associations
   B) Securities firms
   C) Credit unions
   D) Commercial banks

   ANSWER: D

27. Eurodollar deposits
   A) are U.S. dollars deposited in the U.S. by European investors.
   B) are subject to interest rate ceilings.
   C) have a relatively large spread between deposit and loan rates (compared to the spread between deposits and loans in the United States).
   D) are not subject to reserve requirements.

   ANSWER: D

28. Which money market transaction is most likely to represent a loan from one commercial bank to another?
   A) banker's acceptance
   B) negotiable CD
   C) federal funds
   D) commercial paper

   ANSWER: C

29. The rate on Eurodollar floating rate CDs is based on
   A) a weighted average of European prime rates.
   B) the London Interbank Offer Rate.
   C) the U.S. prime rate.
   D) a weighted average of European discount rates.

   ANSWER: B

30. Treasury bills
   A) have a maturity of up to five years.
   B) have an active secondary market.
   C) are commonly sold at par value.
   D) commonly offer coupon payments.

   ANSWER: B

31. The yield on commercial paper is ______ the yield of Treasury bills of the same maturity. The difference between their yields would be especially large during a ______ period.
    A) greater than; recessionary
    B) greater than; boom economy
    C) less than; boom economy
    D) less than; recessionary

    ANSWER: A

32. The yield on NCDs is ______ the yield of Treasury bills of the same maturity. The difference between their yields would be especially large during a ______ period.
    A) greater than; recessionary
    B) greater than; boom economy
    C) less than; boom economy
    D) less than; recessionary

    ANSWER: A

33. Which of the following is sometimes issued in the primary market by nonfinancial firms to borrow funds?
    A) NCDs
    B) retail CDs
    C) commercial paper
    D) federal funds

    ANSWER: C

34. The so-called "flight to quality" causes the risk differential between risky and risk-free securities to be
    A) eliminated.
    B) reduced.
    C) increased.
    D) unchanged (there is no effect).

    ANSWER: C

35. The effective yield of a foreign money market security is _____ when the foreign currency strengthens against the dollar.
    A) increased
    B) reduced
    C) always negative
    D) unaffected

    ANSWER: A

36. The effective yield of a foreign money market security is _____ when the foreign currency weakens against the dollar.
    A) increased

B) reduced
C) always negative
D) unaffected

ANSWER: B

37. Treasury bills are sold through _____ when initially issued.
A) insurance companies
B) commercial paper dealers
C) auction
D) finance companies

ANSWER: C

38. At a given point in time, the actual price paid for a three-month Treasury bill is
A) usually equal to the par value.
B) more than the price paid for a six-month Treasury bill.
C) equal to the price paid for a six-month Treasury bill.
D) none of the above

ANSWER: B

39. The minimum denomination of commercial paper is
A) $25,000.
B) $100,000.
C) $150,000.
D) $200,000.

ANSWER: B

40. Commercial paper is
A) always directly placed with investors.
B) always placed with the help of commercial paper dealers.
C) placed either directly or with the help of commercial paper dealers.
D) always placed by bank holding companies.

ANSWER: C

41. An investor, purchases a six-month (182-day) T-bill with a $10,000 par value for $9,700. If the Treasury bill is held to maturity, the annualized yield is _______ percent.
A) 6.02
B) 1.54
C) 1.50
D) 6.20
E) none of the above

ANSWER: D

42. When an investor purchases a six-month (182-day) T-bill with a $10,000 par value for $9,700, the Treasury bill discount is ______ percent.

A) 5.93
B) 6.12
C) 6.20
D) 6.02
E) none of the above

ANSWER: A

43. Robbins Corp. frequently invests excess funds in the Mexican money market. One year ago, Robbins invested in a one-year Mexican money market security that provided a yield of 25 percent. At the end of the year, when Robbins converted the Mexican pesos to dollars, the peso had depreciated from $.12 to $.11. What is the effective yield earned by Robbins?

A) 25.00 percent
B) 35.41 percent
C) 14.59 percent
D) none of the above

ANSWER: C

44. An aggregate purchase by investors of low-yield instruments in favor of high-yield instruments places _____________ pressure on the yields of low-yield securities and _____________ on the yields of high-yield securities.

A) upward; upward
B) downward; downward
C) upward; downward
D) downward; upward

ANSWER: D

45. Which of the following statements is incorrect with respect to the federal funds rate?

A) It is the rate charged by financial institutions on loans they extend to each other.
B) It is not influenced by the supply and demand for funds in the federal funds market.
C) The federal funds rate is closely monitored by all types of firms.
D) Many market participants view changes in the federal funds rate to be an indicator of potential changes in other money market rates.
E) The Federal Reserve adjusts the amount of funds in depository institutions in order to influence the federal funds rate.

ANSWER: B

46. Bullock Corp. purchases certain securities for $4,921,349, with an agreement to sell them back at a price of $4,950,000 at the end of a 30-day period. The repo rate is ________ percent.

A) 7.08
B) 6.95
C) 6.99
D) 7.04
E) none of the above

ANSWER: C

47. Commercial paper is subject to:
    A) interest rate risk.
    B) default risk.
    C) A and B.
    D) none of the above.

    ANSWER: C

48. If economic conditions cause investors to sell stocks because they want to invest in safer securities with much liquidity, this should cause a ________ demand for money market securities, which placed _________ pressure on the yields of money market securities.
    A) weak; downward
    B) weak; upward
    C) strong; upward
    D) none of the above

    ANSWER: D

49. In general the money markets are widely perceived to be efficient in the sense that the prices reflect all available public information.
    A) True
    B) False

    ANSWER: A

50. Money market securities are must have a maturity of three months or less.
    A) True
    B) False

    ANSWER: B

51. Money market securities are issued in the primary market through a telecommunications network by the Treasury, corporations, and financial intermediaries that wish to obtain short-term financing.
    A) True
    B) False

    ANSWER: A

52. An international interbank market facilitates the transfer of funds from banks with excess funds to those with deficient funds.
    A) True
    B) False

    ANSWER: A

53. The interest rate charged for a short-term loan from a bank to a corporation is referred to as the

London interbank offer rate (LIBOR).
A) True
B) False

ANSWER: B

54. Money markets are used to facilitate the transfer of short-term funds from individuals, corporations, or governments with excess funds to those with deficient funds.
A) True
B) False

ANSWER: A

55. Because money market securities have a short-term maturity and typically cannot be sold easily, they provide investors with a low degree of liquidity.
A) True
B) False

ANSWER: B

56. There is no limit to the amount of T-bills that can be purchased by noncompetitive bidders in a T-bill auction.
A) True
B) False

ANSWER: B

57. T-bills do not offer coupon payments but are sold at a discount from par value.
A) True
B) False

ANSWER: A

58. Junk commercial paper is commercial paper that is not rated or rated low.
A) True
B) False

ANSWER: A

59. A line of credit provided by a commercial bank allows a company the right (but not the obligation) to borrow a specified maximum amount of funds over a specified period of time.
A) True
B) False

ANSWER: A

60. T-bills must offer a premium above the negotiable certificate of deposit (NCD) to compensate for less liquidity and safety.
A) True

B) False

ANSWER: B

61. Most repo transactions use government securities.
A) True
B) False

ANSWER: A

62. Exporters can hold a banker's acceptance until the date at which payment is to be made, yet they frequently sell the acceptance before then at a discount to obtain cash immediately.
A) True
B) False

ANSWER: A

63. Money market security values are less sensitive to interest rate movements than bonds.
A) True
B) False

ANSWER: A

64. During periods of uncertainty about the economy, there is a shift from risky money market securities to Treasury securities.
A) True
B) False

ANSWER: A

65. The price noncompetitive bidders will pay at a Treasury bill auction is the
A) highest price entered by a competitive bidder.
B) highest price entered by a noncompetitive bidder.
C) the weighted average price paid by all competitive bidders whose bids were accepted.
D) the equally weighted average price paid by all competitive bidders whose bids were accepted.
E) none of the above

ANSWER: C

66. Bill Yates, a private investor, purchases a six-month (182-day) T-bill with a $10,000 par value for $9,700.If Bill holds the Treasury bill to maturity, his annualized yield is _______ percent.
A) 6.02
B) 1.54
C) 1.50
D) 6.20
E) none of the above

ANSWER: D

67. You purchase a six-month (182-day) T-bill with a $10,000 par value for $9,700. The Treasury bill discount is ______ percent.
   A) 5.93
   B) 6.12
   C) 6.20
   D) 6.02
   E) none of the above

   ANSWER: A

68. A _____________ is not a money market security.
   A) Treasury bill
   B) negotiable certificate of deposit
   C) bond
   D) banker's acceptance
   E) All of the above are money market securities.

   ANSWER: C

69. Freeman Corp., a large corporation, plans to issue 45-day commercial paper with a par value of $3,000,000. Freeman expects to sell the commercial paper for $2,947,000. Freeman's annualized cost of borrowing is estimated to be ________ percent.
   A) 14.39
   B) 14.13
   C) 14.59
   D) 14.33
   E) none of the above

   ANSWER: A

70. When a firm sells its commercial paper at a ___________ price than projected, their cost of raising funds will be __________ than what they initially anticipated.
   A) higher; higher
   B) lower; lower
   C) higher; lower
   D) lower; higher
   E) Answers c and d are correct.

   ANSWER: E

71. Which of the following securities is most likely to be used in a repo transaction?
   A) commercial paper
   B) certificate of deposit
   C) Treasury bill
   D) common stock
   E) All of the above are equally likely to be used in a repo transaction.

   ANSWER: C

Chapter 7

Bond Markets

1. ___________ require the owner to clip coupons attached to the bonds and send them to the issuer to receive coupon payments.
   A) Bearer
   B) Registered
   C) Treasury
   D) Corporate

   ANSWER: A

2. The yield to maturity is the annualized discount rate that equates the future coupon and principal payments to the initial proceeds received from the bond offering.
   A) True
   B) False

   ANSWER: A

3. Note maturities are usually ______, while bond maturities are ______.
   A) less than 10 years; 10 years or more
   B) 10 years or more; less than 10 years
   C) less than 5 years; 5 years or more
   D) 5 years or more; less than 5 years

   ANSWER: A

4. Investors in Treasury notes and bonds receive _______ interest payments from the Treasury.
   A) annual
   B) semiannual
   C) quarterly
   D) monthly

   ANSWER: B

5. Since 2001, the Treasury has relied heavily on _____-year bonds to finance the U.S. budget deficit.
   A) 50
   B) 2
   C) 10
   D) 5

   ANSWER: C

6. Interest earned from Treasury bonds is
   A) exempt from all income tax.
   B) exempt from federal income tax.
   C) exempt from state and local taxes.
   D) subject to all income taxes.

ANSWER: C

7. Treasury bond auctions are normally conducted only at the beginning of each year.
   A) True
   B) False

   ANSWER: B

8. ___________ bids for Treasury bonds specify a price that the bidder is willing to pay and a dollar amount of securities to be purchased.
   A) Competitive
   B) Noncompetitive
   C) Negotiable
   D) Non-negotiable

   ANSWER: A

9. Treasury bond dealers
   A) quote an ask price for customers who want to sell existing Treasury bonds to the dealers.
   B) profit from a very wide spread between bid and ask prices in the Treasury securities market.
   C) may trade Treasury bonds among themselves.
   D) make a primary market for Treasury bonds.

   ANSWER: C

10. Under the STRIP program created by the Treasury, stripped securities are created and sold by the Treasury.
   A) True
   B) False

   ANSWER: B

11. A ten-year, inflation-indexed bond has a par value of $10,000 and a coupon rate of 5 percent. During the first six months since the bond was issued, the inflation rate was 2 percent. Based on this information, the coupon payment after six months will be $_______.
   A) 250
   B) 255
   C) 500
   D) 510

   ANSWER: B

12. Bonds issued by ________________ are backed by the federal government.
   A) the Treasury
   B) AAA-rated corporations
   C) state governments
   D) city governments
   ANSWER: A

13. Municipal general obligation bonds are ______. Municipal revenue bonds are ______.
    A) supported by the municipal government's ability to tax; supported by the municipal government's ability to tax
    B) supported by the municipal government's ability to tax; supported by revenue generated from the project
    C) always subject to federal taxes; always exempt from state and local taxes
    D) typically zero-coupon bonds; typically zero-coupon bonds

    ANSWER: B

14. In general, variable-rate municipal bonds are desirable to investors who expect that interest rates will ________.
    A) remain unchanged
    B) fall
    C) rise
    D) none of the above

    ANSWER: C

15. The municipal yield curve is typically _________ than the Treasury yield curve, and the shape of the municipal yield curve is __________ the shape of the Treasury yield curve.
    A) lower; similar to
    B) higher; much different than
    C) lower; much different than
    D) higher; similar to

    ANSWER: D

16. The yield curve for corporate bonds is normally affected by interest rate expectations, a liquidity premium, and the specific maturity preferences by corporations issuing bonds.
    A) True
    B) False

    ANSWER: A

17. Corporate bonds that receive a _________ rating from credit rating agencies are normally placed at _______ yields.
    A) higher; lower
    B) lower; lower
    C) higher; higher
    D) none of the above

    ANSWER: A

18. A private bond placement has to be registered with the SEC.
    A) True
    B) False

    ANSWER: B

19. Which of the following institutions is most likely to purchase a private bond placement?
    A) commercial bank
    B) mutual fund
    C) insurance company
    D) savings institution

    ANSWER: C

20. A protective covenant may
    A) specify all the rights and obligations of the issuing firm and the bondholders.
    B) require the firm to retire a certain amount of the bond issue each year.
    C) restrict the amount of additional debt the firm can issue.
    D) none of the above

    ANSWER: C

21. A call provision normally
    A) allows the firm to call bonds at par value.
    B) gives the firm the option to call bonds at market value.
    C) allows the firm to call bonds at a price below par value.
    D) requires the firm to call bonds at a price above par value.

    ANSWER: D

22. When would a firm most likely call bonds?
    A) after interest rates have declined
    B) if interest rates do not change
    C) after interest rates increase
    D) just before the time at which interest rates are expected to decline

    ANSWER: A

23. Assume U.S. interest rates are significantly higher than German rates. A U.S. firm with a German subsidiary could achieve a lower financing rate, without exchange rate risk by denominating the bonds in
    A) dollars.
    B) euros and making payments from U.S. headquarters.
    C) euros and making payments from its German subsidiary.
    D) dollars and making payments from its German subsidiary.

    ANSWER: C

24. Many bonds have different call prices: a higher price for calling the bonds to meet sinking-fund requirements and a lower price if the bonds are called for any other reason.
    A) True
    B) False
    ANSWER: B

25. Bonds that are not secured by specific property are called
    A) a chattel mortgage.
    B) open-end mortgage bonds.
    C) debentures.
    D) blanket mortgage bonds.

    ANSWER: C

26. Bonds that are secured by personal property are called
    A) chattel mortgage bonds.
    B) first mortgage bonds.
    C) second mortgage bonds.
    D) debentures.

    ANSWER: A

27. The coupon rate of most variable-rate bonds is tied to
    A) the prime rate.
    B) the discount rate.
    C) LIBOR.
    D) the federal funds rate.

    ANSWER: C

28. Assume that you purchased corporate bonds one year ago that have no protective covenants. Today, it is announced that the firm that issued the bonds plans a leveraged buyout. The market value of your bonds will likely ______ as a result.
    A) rise
    B) decline
    C) be zero
    D) be unaffected

    ANSWER: B

29. During weak economic periods, newly issued junk bonds offer _______ risk premiums.
    A) true
    B) false

    ANSWER: B

30. _____ bonds have the most active secondary market.
    A) Treasury
    B) Zero-coupon corporate
    C) Junk
    D) Municipal

    ANSWER: A

31. Some bonds are "stripped," which means that
   A) they have defaulted.
   B) the call provision has been eliminated.
   C) they are transferred into principal-only and interest-only securities.
   D) their maturities have been reduced.

   ANSWER: C

32. ______ are not primary purchasers of bonds.
   A) Insurance companies
   B) Finance companies
   C) Mutual funds
   D) Pension funds

   ANSWER: B

33. Leveraged buyouts are commonly financed by the issuance of::
   A) AAA-rated bonds.
   B) Treasury bonds.
   C) junk bonds.
   D) municipal bonds.

   ANSWER: C

34. When firms issue __________, the amount of interest and principal to be paid is based on specified market conditions. The amount of the repayment may be tied to a Treasury bond price index or even to a stock index.

A) auction-rate securities
B) structured notes
C) leveraged notes
D) stripped securities

ANSWER: B

35. Which of the following statements is true regarding STRIPS?
   A) they are issued by the Treasury
   B) they are created and sold by various financial institutions
   C) they are not backed by the U.S. government
   D) they have to be held until maturity
   E) all of the above are true regarding STRIPS

   ANSWER: B

36. (Financial calculator required.) Lisa can purchase bonds with 15 years until maturity, a par value of $1,000, and a 9 percent annualized coupon rate for $1,100. Lisa's yield to maturity is _____ percent.
   A) 9.33
   B) 7.84
   C) 9.00

D) none of the above

ANSWER: B

37. (Financial calculator required.) Erin is, a private investor, who can purchase $1,000 par value bonds for $980. The bonds have a 10 percent coupon rate, pay interest annually, and have 20 years remaining until maturity. Erin's yield to maturity is _______ percent.
A) 9.96
B) 10.00
C) 10.33
D) 10.24
E) none of the above

ANSWER: D

38. Devin is, a private investor, purchases $1,000 par value bonds with a 12 percent coupon rate and a 9 percent yield to maturity. Devin will hold the bonds until maturity. Thus, he will earn a return of __________ percent.
A) 12
B) 9
C) 10.5
D) more information is needed to answer this question

ANSWER: B

39. Which of the following is not true regarding zero-coupon bonds?
A) They are issued at a deep discount from par value.
B) Investors are taxed annually on the amount of interest earned, even though the interest will not be received until maturity.
C) The issuing firm is permitted to deduct the amortized discount as interest expense for federal income tax purposes, even though it does not pay interest.
D) Zero-coupon bonds are purchased mainly for tax-exempt investment account, such as pension funds and individual retirement accounts.
E) all of the above are true

ANSWER: E

40. Which of the following is not true regarding the call provision?
A) It typically requires a firm to pay a price above par value when it calls its bonds.
B) The difference between the market value of the bond and the par value is called the call premium.
C) A principal use of the call provision is to lower future interest payments.
D) A principal use of the call provision is to retire bonds as required by a sinking-fund provision.
E) A call provision is normally viewed as a disadvantage to bondholders.

ANSWER: B

41. If interest rates suddenly ____________, those existing bonds that have a call feature are __________ likely to be called.
A) decline; more
B) decline; less

C) increase; more
D) none of the above

ANSWER: A

42. Which of the following would not be a likely example of a protective covenant provision?
A) a limit on the amount of dividends a firm can pay
B) a limit on the corporate officers' salaries a firm can pay
C) the amount of additional debt a firm can issue
D) a call feature

ANSWER: D

43. Bonds are issued in the primary market through a telecommunications network.
A) True
B) False

ANSWER: A

44. Corporate bonds can be placed with investors through a public offering or a private placement.
A) True
B) False

ANSWER: A

45. When a corporation issues bonds, it normally hires a securities firm that targets large institutional investors such as pension funds, bond mutual funds, and insurance companies.
A) True
B) False

ANSWER: A

46. Rule 144A, which allows small individual investors to trade privately-placed bonds (and some other securities) with each other without requiring that the firms that issued the securities to register them with the SEC.
A) True
B) False

ANSWER: B

47. Rule 144A creates liquidity for securities that are privately placed.
A) True
B) False

ANSWER: A

48. Corporate bonds are more standardized than stocks.
A) True
B) False

ANSWER: B

49. Structured notes are issued by firms to borrow funds, and the repayment of interest and principal is based on specified market conditions.
A) True
B) False

ANSWER: A

50. Bonds issued by large well-known corporations in large volume are illiquid because most buyers hold these bonds until maturity.
A) True
B) False

ANSWER: B

51. The bond market is served by bond dealers, who can play a broker role by matching up buyers and sellers.
A) True
B) False

ANSWER: A

52. Bond dealers do not have an inventory of bonds.
A) True
B) False

ANSWER: B

53. Bond dealers specialize in small transactions (less than $100,000) in order to enable small investors to trade bonds.
A) True
B) False

ANSWER: B

54. Many bonds are listed on the New York Stock Exchange (NYSE).
A) True
B) False

ANSWER: A

55. The primary investors in bond markets are institutional investors such as commercial banks, bond mutual funds, pension funds, and insurance companies.
A) True
B) False

ANSWER: A

56. The key difference between a note and a bond is that note maturities are usually less than one year, while bond maturities are one year or more.
A) True
B) False
ANSWER: B

57. Treasury bonds are issued by state and local governments.
A) True
B) False

ANSWER: B

58. Stripped bonds are bonds whose cash flows have been transformed into a security representing the principal payment only and a security representing interest payments only.
A) True
B) False

ANSWER: A

59. Inflation-indexed Treasury bonds are intended for investors who wish to ensure that the returns on their investments keep up with the increase in prices over time.
A) True
B) False

ANSWER: A

60. Savings bonds are bonds issued by the Federal Reserve.
A) True
B) False

ANSWER: B

61. Corporate bonds usually pay interest on an annual basis.
A) True
B) False

ANSWER: B

62. The bond debenture is a legal document specifying the rights and obligations of both the issuing firm and the bondholders.
A) True
B) False

ANSWER: B

63. A sinking-fund provision is a requirement that the issuing firm retire a certain amount of the bond issue each year.
A) True

B) False

ANSWER: A

64. Subordinated indentures are debentures that have claims against the firm's assets that are junior to the claims of both mortgage bonds and regular debentures.
A) True
B) False

ANSWER: B

65. High-risk bonds are called trash bonds.
A) True
B) False

ANSWER: B

66. Zero-coupon bonds do not pay interest. Instead, they are issued at a discount from par value.
A) True
B) False

ANSWER: A

67. If interest rates suddenly decline, those existing bonds that have a call feature are less likely to be called.
A) True
B) False

ANSWER: B

68. Which of the following statements is not true regarding STRIPS?
A) They are not issued by the Treasury.
B) They are created and sold by various financial institutions.
C) They are backed by the U.S. government.
D) They have to be held until maturity.
E) All of the above are true regarding STRIPS.

ANSWER: D

69. (Financial calculator required.) Paul can purchase bonds with 15 years remaining until maturity, a par value of $1,000, and a 9 percent annual coupon rate for $1,100. Paul's yield to maturity is _____ percent.
A) 9.33
B) 7.84
C) 9.00
D) none of the above

ANSWER: B

70. (Financial calculator required.) Ed Wood, a private investor, can purchase $1,000 par value bonds for $980. The bonds have a 10 percent coupon rate, pay interest annually, and have 20 years remaining until maturity. Mr. Wood's yield to maturity is _______ percent.
    A) 9.96
    B) 10.00
    C) 10.33
    D) 10.24
    E) none of the above

    ANSWER: D

71. Jim, a private investor, purchases $1,000 par value bonds with a 12 percent coupon rate and a 9 percent yield to maturity. Jim will hold the bonds until maturity. Thus, he will earn a return of __________ percent.
    A) 12.00
    B) 9.00
    C) 10.50
    D) More information is needed to answer this question.

    ANSWER: B

72. Which of the following is not an example of a municipal bond?
    A) general obligation bond
    B) revenue bond
    C) Treasury bond
    D) All of the above are examples of municipal bonds.

    ANSWER: C

73. Which of the following statements is incorrect?
A) The municipal bond must pay a risk premium to compensate for the possibility of default risk.
B) The Treasury bond must pay a slight premium to compensate for being less liquid than municipal bonds.
C) The income earned from municipal bonds is exempt from federal taxes.
D) All of the above are true.

    ANSWER: B

74. Which of the following is not mentioned in your text as a protective covenant?
    A) a limit on the amount of dividends a firm can pay
    B) a limit on the corporate officers' salaries a firm can pay
    C) the amount of additional debt a firm can issue
    D) the appointment of a trustee in all bond indentures
    E) All of the above are mentioned in the text as protective covenants.

    ANSWER: D

75. Which of the following is not true regarding the call provision?
    A) It typically requires a firm to pay a price above par value when it calls its bonds.

B) The difference between the market value of the bond and the par value is called the call premium.
C) A principal use of the call provision is to lower future interest payments.
D) A principal use of the call provision is to retire bonds as required by a sinking-fund provision.
E) A call provision is normally viewed as a disadvantage to bondholders.

ANSWER: B

76. A ______________ has first claim on specified assets, while a _________________ is a debenture that has claims against a firm's assets that are junior to the claims of mortgage bonds and regular debentures.
A) first mortgage bond; second mortgage bond
B) first mortgage bond; debenture
C) first mortgage bond; subordinated debenture
D) chattel mortgage bond; subordinated debenture
E) none of the above

ANSWER: C

77. If a firm believes that it will have sufficient cash flows to cover interest payments, it may consider using ____________ debt and _____________ equity, which implies a __________ degree of financial leverage.
A) more; less; lower
B) more; less; higher
C) less; more; higher
D) none of the above

ANSWER: B

78. Which of the following statements is not true regarding zero-coupon bonds?
A) They are issued at a deep discount from par value.
B) Investors are taxed on the total amount of interest earned at maturity.
C) The issuing firm is permitted to deduct the amortized discount as interest expense for federal income tax purposes, even though it does not pay interest until maturity.
D) Zero-coupon bonds are purchased mainly for tax-exempt investment accounts, such as pension funds and individual retirement accounts.
E) All of the above are true.

ANSWER: B

79. A variable rate bond allows
A) investors to benefit from declining rates over time.
B) issuers to benefit from rising market interest rates over time.
C) investors to benefit from rising market interest rates over time.
D) none of the above.

ANSWER: C

80. Everything else being equal, which of the following bond ratings is associated with the highest yield?
A) Baa

B) A
C) Aa
D) Aaa

ANSWER: A

Chapter 10

Stock Offerings and Investor Monitoring

1. Which of the following statements is incorrect?
   A) A stock is a certificate representing partial ownership in a corporation.
   B) Like debt securities, common stock is issued by firms to obtain funds.
   C) Stocks are issued by corporations to raise short-term funds.
   D) The secondary stock market enables investors to sell stocks that they had previously purchased.

   ANSWER: C

2. Preferred shareholders
   A) typically have the same voting rights as common shareholders.
   B) do not share the ownership of the firm with common shareholders.
   C) typically participate in the profits of the firm beyond the stated fixed annual dividend.
   D) may not receive a dividend every year.

   ANSWER: D

3. From a cost perspective, preferred stock is a less desirable source of capital for a firm than bonds.
   A) True
   B) False

   ANSWER: A

4. A ______ requires that dividends cannot be paid on common stock until all current and previously omitted dividends are paid on preferred stock.
   A) residual claim
   B) preferred margin
   C) cumulative provision
   D) liquidation claim

   ANSWER: C

5. Firms assume ______ risk when they issue preferred stock than when they issue bonds. The payment

of dividends on preferred stock ______ be omitted without the firm being forced into bankruptcy.
A) more; can
B) less; can
C) more; cannot
D) less; cannot

ANSWER: B

6. When a corporation first decides to issue stock to the public, it engages in a(n)
A) secondary offering.
B) initial public offering.
C) seasoned equity offering.
D) none of the above

ANSWER: B

7. A firm can best avoid the time lag between registering new securities with the SEC and actually selling them by
A) use of proxy.
B) shelf-registration.
C) use of a margin call.
D) use of preemptive rights.

ANSWER: B

8. The process by which the lead underwriter solicits indications of interest by institutional investors in an IPO at various possible _______ prices is referred to as ___________.
A) IPO; margin selling
B) offer; secondary market building
C) offer; bookbuilding
D) IPO; bookbuilding

ANSWER: C

9. To the extent that shares sold during an IPO are discounted from their appropriate price, the proceeds that the issuing firm receives from the IPO are lower than it deserves.
A) True
B) False

ANSWER: A

10. The transaction costs to the issuing firm in an IPO is usually _____ percent of the funds raised.
A) 1
B) 3
C) 7
D) 25

ANSWER: C

11. If many investors quickly sell an IPO stock in the secondary market, there will be ____________ on the stock's price.
    A) upward pressure
    B) downward pressure
    C) no additional pressure
    D) none of the above

    ANSWER: B

12. The purpose of a lockup provision is to
    A) keep individual investors from buying and selling stock.
    B) prevent downward pressure on the stock's price.
    C) increase the number of outstanding shares.
    D) allocate a larger proportion of stock to institutional investors.

    ANSWER: B

13. When the lockup period expires, the share price commonly
    A) remains unchanged.
    B) increases significantly.
    C) decreases significantly.
    D) none of the above

    ANSWER: C

14. IPOs tend to occur more primarily during recessions.
    A) True
    B) False

    ANSWER: B

15. The initial (one-day) return of IPOs in the United States has averaged about _____ percent over the last 30 years.
    A) 10
    B) 20
    C) 30
    D) 50

    ANSWER: B

16. The practice of purchasing IPO stock at the offer price and selling the stock shortly afterward is called
    A) flipping.
    B) skiing.
    C) flopping.
    D) none of the above

    ANSWER: A

17. ________ occurs when an investment bank allocates share from an IPO to corporate executives who may be considering an IPO or other business that will require the help of an investment bank.
    A) Flipping
    B) Spinning
    C) Laddering
    D) none of the above

    ANSWER: B

18. When brokers encourage investors to place bids for IPO shares on the first day that are above the offer price this is referred to as
    A) flipping.
    B) spinning.
    C) laddering.
    D) none of the above

    ANSWER: C

19. On average, IPOs of firms tend to perform ___________ over a period of a year or longer.
    A) well
    B) poorly
    C) about the same as the S&P 500 index
    D) none of the above

    ANSWER: B

20. A firm that wants to engage in a secondary stock offering does not need to file the offering with the SEC.
    A) True
    B) False

    ANSWER: B

21. A firm will typically attempt to sell shares from a secondary offering
    A) far below the prevailing market price.
    B) far above the prevailing market price.
    C) at the prevailing market price.
    D) at the offer price of the IPO.

    ANSWER: C

22. Buy and sell orders on the OTC market are completed by
    A) auction on the trading floor.
    B) sealed competitive bids.
    C) noncompetitive bids.
    D) a telecommunications network.

    ANSWER: D

23. A(n) ______ is a certificate which represents ownership of a foreign stock.
    A) ADR
    B) SEAQ
    C) Nasdaq
    D) AMEX

    ANSWER: A

24. The first-time issuance of shares by a specific firm to the public is referred to as a(n)
    A) stock repurchase.
    B) secondary stock offering.
    C) initial rights issue.
    D) initial public offering (IPO).
    ANSWER: D

25. A new stock issuance by a specific firm that already has stock outstanding is referred to as a(n)
    A) stock repurchase.
    B) secondary stock offering.
    C) initial rights issue.
    D) initial public offering (IPO).

    ANSWER: B

26. Managers of firms may consider a stock repurchase or even a leveraged buyout when they believe their stock is ____________ by the market, or a secondary stock offering when they believe their stock is ____________ by the market.
    A) undervalued; undervalued
    B) overvalued; overvalued
    C) undervalued; overvalued
    D) overvalued; undervalued
    E) none of the above

    ANSWER: C

27. The largest organized exchange, listing the largest firms, is the
    A) New York Stock Exchange.
    B) American Stock Exchange.
    C) Midwest Stock Exchange.
    D) Pacific Stock Exchange.

    ANSWER: A

28. ____________ are employed by brokerage houses and execute orders for clients on the floor of the NYSE.
    A) Specialists
    B) Commission brokers
    C) Independent brokers
    D) Dealers

ANSWER: C

29. Unlike the organized exchanges, the OTC market does not have a trading floor.

A) True

B) False

ANSWER: A

30. Firms listed as “pink sheets” on the OTC market

A) are typically very large.

B) satisfy Nasdaq’s listing requirements.

C) are typically owned by various institutional and individual investors.

D) none of the above

ANSWER: D

31. The prevailing price per share divided by the firm’s earnings per share is known as the

A) dividend yield.
B) price-earnings ratio.
C) fully diluted earnings per share.
D) annual dividend.

ANSWER: B

32. The ___________________is a price-weighted average of stock prices of 30 large U.S. firms.

A) Dow Jones Industrial Average
B) Standard and Poor’s 500
C) New York Stock Exchange Index
D) Nasdaq

ANSWER: A

33. The _____________________is a value-weighted index of stock prices of 500 large U.S. firms.
A) Dow Jones Industrial Average
B) Standard and Poor’s 500
C) New York Stock Exchange Index
D) Nasdaq

ANSWER: B

34. Sudden favorable news about the performance of a firm will make investors believe that the firm’s stock is ___________at its prevailing price.

A) overvalued
B) fixed
C) appropriate
D) undervalued

ANSWER: D

35. Analysts periodically communicate with high-level managers of the firms whose stock they rate.
A) True.
B) False.

ANSWER: A

36. Shareholders can most easily measure a firm's performance by monitoring changes in its ___________ over time.
A) share price
B) employee job descriptions
C) board of directors
D) asset size

ANSWER: A

37. Which of the following is not true regarding the Sarbanes-Oxley Act?
A) It attempts to force accountants to conform to regular accounting standards in preparing a firm's financial statements.
B) It requires that only outside board members of a firm be on the firm's audit committee.
C) It allows public accounting firms to offer nonaudit consulting services to an audit client whether the client's audit committee pre-approves the nonaudit services or not.
D) It prevents members of a firm's audit committee from receiving consulting of advising fees or other compensation from the firm beyond that earned from serving on the board.

ANSWER: C

38. An example of shareholder activism is
A) communication with the firm.
B) engaging in a proxy contest.
C) filing a lawsuit against the board.
D) all of the above

ANSWER: D

39. ________________are acquisitions that require substantial amounts of borrowed funds.
A) Stock repurchases
B) Corporate controls
C) Leveraged buyouts
D) Stock splits

ANSWER: C

40. ________________are not barriers to corporate control to eliminate agency problems.
 A) Leveraged buyouts
 B) Antitakeover amendments
 C) Poison pills
 D) Golden parachutes

 ANSWER: A

41. Listing stock on a foreign stock exchange
 A) enhances the stock's liquidity.
 B) may increase the firm's perceived financial standing.
 C) may protect a firm against hostile takeovers.
 D) all of the above

 ANSWER: D

42. American Depository Receipts (ADRs) are similar to
 A) stock options.
 B) bank deposits.
 C) stocks.
 D) bonds.

 ANSWER: C

43. ________________are portfolios of international stocks created and managed by various financial institutions.
 A) International mutual funds
 B) American Depository Receipts
 C) World Equity Benchmark Shares
 D) Initial Public Offerings

 ANSWER: A

44. __________________ sell shares to investors and use the proceeds to invest in portfolios of international stocks created and managed by portfolio managers.
 A) International mutual funds
 B) American Depository Receipts
 C) World Equity Depository Receipts
 D) Initial Public Depository Receipts

 ANSWER: A

45. When a firm buys some of its shares that it had previously issued, this is referred to as a::
 A) reverse IPO.
 B) leveraged buyout.
 C) ladder spin.
 D) stock repurchase.

 ANSWER: D

46. Whenever ____________ exceeds __________, the stock price will be driven __________.
   A) supply; demand; up
   B) demand; supply; down
   C) demand; supply; up
   D) none of the above

   ANSWER: C

47. Which of the following is not a form of shareholder activism?
   A) investors communicating their concerns to other investors in an effort to place more pressure on the firm's managers or its board members
   B) poison pills
   C) shareholder lawsuits
   D) all of the above

   ANSWER: B

48. Initial public offerings (IPOs) tend to occur more frequently during bearish (weak) stock markets.
   A) True
   B) False

   ANSWER: B

49. Initial public offerings (IPOs) perform _______ on the day following the IPO and _______ for periods of a year or longer after the IPO.
   A) well; poorly
   B) poorly; well
   C) well; well
   D) poorly; poorly

   ANSWER: A

50. Which of the following is not a part of the over-the-counter market?
   A) the Nasdaq National Market
   B) the Nasdaq Small Cap Market
   C) the OTC Bulletin Board
   D) yellow sheets
   E) all of the above are part of the over-the-counter market

   ANSWER: D

51. A firm has a current stock price of $15.32. The firm's annual dividend is $1.14 per share. The firm's dividend yield is
   A) .74 percent.
   B) 1.34 percent.
   C) 7.44 percent.
   D) 1.14 percent.

ANSWER: C

52. If the secondary market is inactive, then the shares would be illiquid.
A) True
B) False

ANSWER: A

53. Private firms that need a large equity investment but are not yet in a position to go public may attempt to obtain funding from a venture capital (VC) fund.
A) True
B) False

ANSWER: A

54. Venture capital (VC) funds receive money from wealth investors and from pension funds that need to receive their money back in one year or less.
A) True
B) False

ANSWER: B

55. Venture capital (VC) funds commonly serve as advisors to the businesses in which they invest.
A) True
B) False
ANSWER: A

56. Venture capital (VC) funds usually invest in publicly-traded businesses.
A) True
B) False

ANSWER: B

57. Venture capital (VC) funds typically plan to exit from their original investment within a period of about one year.
A) True
B) False

ANSWER: B

58. The phrase “leaving money on the table” refers to investors who pay more for a stock in the secondary market than was paid by those investors who were able to buy shares at the initial (offer) price on the IPO date.
A) True
B) False

ANSWER: B

59. Underwriters sell most of the shares of an IPO to institutional investors.

A) True
B) False

ANSWER: A

60. The total cost of engaging in an IPO is usually about 1 percent of the total proceeds.
A) True
B) False

ANSWER: B

61. Since the Sarbanes-Oxley Act of 2002, the initial returns resulting from an IPO have generally been smaller.
A) True
B) False

ANSWER: A

62. In general, secondary offerings cause an immediate increase in the market price of the stock.
A) True
B) False

ANSWER: B

63. Electronic stock exchanges that execute stock transactions electronically are referred to as electronic communications networks (ECNs).
A) True
B) False

ANSWER: A

64. As a result of the Sarbanes-Oxley Act, firms were able to reduce their costs of compiling and reporting financial information.
A) True
B) False

ANSWER: B

65. As a result of the Sarbanes-Oxley Act, there was a reduced likelihood of fraudulent financial reporting by firms.
A) True
B) False

ANSWER: A

66. The legal protection of shareholders varies substantially among countries.
A) True
B) False

ANSWER: A

67. Common law countries such as the U.S., Canada, and the United Kingdom allow for more legal protection than civil law countries such as France or Italy.
A) True
B) False

ANSWER: A

68. The government enforcement of securities laws varies among countries.
A) True
B) False

ANSWER: A

69. The laws of the financial information that must be provided by public companies is similar among all developed countries.
A) True
B) False

ANSWER: B

70. Electronic communications networks (ECNs) are passive funds that track a specific index.
A) True
B) False

ANSWER: B

71. A VC fund typically plans to exit from its original investment within about four to seven years.
A) True
B) False

ANSWER: A

72. Like VC funds, private equity funds commonly take over businesses and manage them.
A) True
B) False

ANSWER: B

73. Normally, only the owners of preferred stock are permitted to vote on certain key matters concerning the firm, such as the election of the board of directors.
A) True
B) False

ANSWER: B

74. If investors become dissatisfied with a firm's performance, they can compete with management in soliciting proxy votes in what is known as a proxy fight.
A) True

B) False

ANSWER: A

75. Initial public offerings (IPOs) tend to occur more frequently during bullish stock markets.
A) True
B) False

ANSWER: A

76. According to financial research, there is evidence that the stock price associated with an IPO typically rises on the first day but then declines over time.
A) True
B) False

ANSWER: A

77. Shelf-registration allows firms quick access to funds without repeatedly being slowed by the registration process.
A) True
B) False

ANSWER: A

78. In addition to the Nasdaq market, the OTC market has another segment known as “pink sheets,” where smaller stocks are traded.
A) True
B) False
ANSWER: A

79. The Dow Jones Industrial Average (DJIA) is a value-weighted average of stock prices of 30 large U.S. firms.
A) True
B) False

ANSWER: B

80. Research studies have found that the share prices of target firms and of acquiring firms react very positively to announcements of an acquisition.
A) True
B) False

ANSWER: B

81. If managers believe that their firm’s stock price is weak because it is undervalued by the market, they may consider repurchasing a portion of the shares that are outstanding.
A) True
B) False

ANSWER: A

82. International exchange-traded funds (ETFs) represent international indexes that reflect composites of stocks for particular countries; shares of the index can be purchased or sold, thereby allowing investors to invest directly in a stock index representing any one of several countries.
A) True
B) False

ANSWER: A

83. Which of the following is not true with respect to venture capital (VC) funds?
A) When a VC fund decides to invest in a business, it will negotiate the terms of its investment, including the amount of funds it is willing to invest.
B) One common exit strategy for VC funds is to sell its equity stake to the public before the business engages in a public stock offering.
C) VC funds receive money from wealthy investors and from pension funds that are willing to maintain the investment for a long-term period.
D) All of the above are true with respect to VC funds.

ANSWER: B

84. Assume a firm that is valued at $800 million with 6 million shares of stock outstanding. This firm’s stock should have a price of $_______ per share.
A) 6.00
B) 80.00
C) 133.33
D) none of the above

ANSWER: C

85. The owners of common stock are permitted to vote on the
A) election of the board of directors.
B) authorization to issue new shares of common stock.
C) approval of amendments to the corporate charter.
D) adoption of bylaws.
E) all of the above

ANSWER: E

86. Which of the following is not true with respect to preferred stock?
A) Preferred stock usually does not allow for significant voting rights.
B) If the firm does not have sufficient earnings from which to pay the preferred stock dividends, the preferred shareholders may force the firm into bankruptcy.
C) Normally, the owners of preferred stock do not participate in the profits of the firm beyond the stated fixed annual dividend.
D) Payment of preferred dividends is not a tax-deductible expense.
E) All of the above are true.

ANSWER: B

87. Which of the following is false with respect to initial public offerings (IPOs)?
    A) IPOs are first-time offerings of shares by a specific firm to the public.
    B) Normally, a firm planning an IPO will hire a securities firm to recommend the amount of stock to issue and the asking price for the stock.
    C) Firms engaging in IPOs are normally not well known to investors.
    D) IPOs are typically intended to raise funds so the corporation can expand.
    E) All of the above are true.

    ANSWER: E

88. To discourage flipping, some securities firms make __________ shares of future IPOs available to institutional investors that retain shares for a _________ period of time.
    A) fewer; long
    B) more; short
    C) more; long
    D) Answers a and b are correct.

    ANSWER: C

89. There is strong evidence that IPOs of firms perform __________ on average over a period of a year or longer.
    A) well
    B) poorly
    C) very well relative to other firms in their industry
    D) none of the above

    ANSWER: B

90. Firms are more willing to issue new stock in a secondary stock offering when the market price of their outstanding shares is relatively
    A) high.
    B) low.
    C) either high or low, depending on the overall market.
    D) none of the above

    ANSWER: A

91. “Pink sheets” are traded on the
    A) New York Stock Exchange.
    B) American Stock Exchange.
    C) over-the-counter market.
    D) Nasdaq.

    ANSWER: C

92. The annual dividend on Grozky, Inc. stock is $5 per share and the stock’s prevailing price is $93.13 per share. Thus, the stock’s dividend yield is ___________ percent.
    A) 18.63
    B) 5.37

C) 8.81
D) none of the above

ANSWER: B

93. Which of the following is not a provision specified in the Sarbanes-Oxley Act?
A) It requires that only inside board members of a firm be on the firm's audit committee.
B) It prevents the members of a firm's audit committee from receiving consulting or advising fees or other compensation from the firm beyond that earned from serving on the board.
C) It requires that the CEO and CFO of firms that are of at least a specified size certify the audited financial statements are accurate.
D) It allows public accounting firms to offer nonaudit consulting services to an audit client only if the client's audit committee pre-approves the nonaudit services to be rendered before the audit begins.

ANSWER: A

94. Which of the following is not a form of shareholder activism?
A) investors communicating their concerns to other investors in an effort to place more pressure on the firm's managers or its board members
B) poison pill contests
C) shareholder lawsuits
D) all of the above are forms of shareholder activism

ANSWER: B

95. Which of the following is not a barrier to corporate control?
A) antitakeover amendments
B) proxy contests
C) poison pills
D) golden parachutes
E) all of the above are barriers to corporate control

ANSWER: B

Chapter 12

Market Microstructure and Strategies

1. A ___________ order to buy or sell a stock means to execute the transaction at the best possible price.
A) market
B) limit
C) stop-loss
D) stop-buy

ANSWER: A

2. With a _________ order, the investor specifies a purchase price that is above the current market price.
   A) market
   B) limit
   C) stop-loss
   D) stop-buy

   ANSWER: D

3. When investors buy stock with borrowed funds, this is sometimes referred to as
   A) use of proxy.
   B) purchasing stock on margin.
   C) a margin call.
   D) a margin residual claim.

   ANSWER: B

4. The maintenance margin is the minimum amount of the margin that investors must maintain as a percentage of the stock's initial purchase price.
   A) True
   B) False

   ANSWER: B

5. Assume a stock is initially priced at $50, and pays an annual $2 dividend. An investor uses cash to pay $25 a share and borrows the remaining funds at a 12 percent annual interest. What is the return if the investor sells the stock for $55 at the end of one year?
   A) 50 percent
   B) 30 percent
   C) 10 percent
   D) 16 percent
   E) 8 percent

   ANSWER: D

6. When a brokerage firm demands more collateral from investors who have borrowed from the brokerage firm to buy stocks, it is making a
   A) margin call.
   B) short sale.
   C) proxy fight.
   D) hedge.

   ANSWER: A

7. Which of the following statements is incorrect?
   A) In a short sale, investors place an order to sell a stock that they do not own.
   B) Investors sell a stock short when they anticipate that its price will rise.
   C) When investors sell short, they will ultimately have to provide the stock back to the investor from whom they borrowed it.
   D) Short-sellers must make payments to the investor from whom the stock was borrowed to cover

the dividend payments that the investor would have received of the stock had not been borrowed.

ANSWER: B

8. Program trading
A) is commonly used to reduce the susceptibility of a stock portfolio to stock market movements.
B) may involve the purchase of stocks that become "underpriced."
C) may involve the sale of stocks that become "overpriced."
D) can be combined with the trading of individual bonds to create portfolio insurance.
E) none of the above

ANSWER: A

9. You purchase a stock with cash, and you earn a negative return on the stock. If you had purchased the stock with 60 percent cash and 40 percent borrowed funds, your return on your investment would have been
A) positive.
B) more negative than if you had covered the entire investment with cash.
C) negative, but more favorable than if you had covered the entire investment with cash.
D) zero.

ANSWER: B

The following information refers to questions 10 and 11.

Mark would like to purchase a stock priced at $70. The stock is not expected to pay any dividends in the coming year. He can either put up the entire amount and purchase the stock, or borrow $35 from his brokerage firm at an annual interest rate of 12 percent and put up the remainder. Mark thinks he can sell the stock for $100 after one year.

10. If Mark does not borrow any money from his brokerage firm, what is the estimated return on the stock?
A) 30.00 percent
B) –42.86 percent
C) –30.00 percent
D) 42.86 percent
E) none of the above

ANSWER: D

11. If Mark borrows from his brokerage firm, his estimated return on the stock would be ________ percent.
A) 42.86
B) 85.71
C) 73.71
D) 30.00

ANSWER: C

12. Karen just purchased a stock costing $33 on margin, paying $23 and borrowing the remainder from a brokerage firm at 15 percent annual interest. The stock pays an annual dividend of $2. If Karen sells the stock after one year at a price of $50, what is the return on the stock?
   A) 27.60 percent
   B) 82.61 percent
   C) 76.09 percent
   D) 58.70 percent
   E) none of the above

ANSWER: C

13. The present margin requirement is that at least __________ percent of an investor's invested funds must be paid in cash.
   A) 20
   B) 30
   C) 40
   D) 50
   E) none of the above

   ANSWER: D

14. An investor sold a stock short a year ago for $50 per share. The stock's price is currently $52 per share. If the investor is unwilling to accept a loss on the short sale of more than $5 per share on the transaction, she could place a
   A) stop-loss order with a specified selling price of $55 per share.
   B) stop-buy order with a specified purchase price of $55 per share.
   C) stop-loss order with a specified selling price of $45 per share.
   D) stop-buy order with a specified purchase price of $45 per share.

   ANSWER: B

15. The short interest ratio is commonly measured as the number of shares shorted divided by the number of shares that the firm has repurchased in the last quarter.
   A) True
   B) False

   ANSWER: B

16. Investors can reduce their risk by purchasing a stock on margin instead of using all cash to buy the stock.
   A) True
   B) False

   ANSWER: B

17. A short seller
   A) anticipates that the price of the stock sold short will increase.
   B) earns the difference between what they initially paid for the stock versus what they later sell the stock for.

C) makes a profit equal to the difference between the original sell price and the price paid for the stock, after subtracting any dividend payments made.
D) is essentially lending the stock to another investor and will ultimately receive that stock back from that investor.
E) none of the above

ANSWER: C

18. ____________________are enforced to restrict the amount of credit extended to customers by stockbrokers.
A) Limit orders
B) Margin requirements
C) Maintenance margins
D) Initial margins

ANSWER: B

19. Assume that a stock is priced at $50 and pays an annual dividend of $2 per share. An investor purchases the stock on margin, paying $25 per share and borrowing the remainder from the brokerage firm at 9 percent annual interest. If, after one year, the stock is sold at a price of $65.25 per share, the return on the stock is
A) 60 percent.
B) 44 percent.
C) 30 percent.
D) 69 percent.

ANSWER: A

20. Assume that a stock is priced at $50 and pays an annual dividend of $2 per share. An investor purchases the stock, using only personal funds and not borrowing from the brokerage firm. If, after one year, the stock is sold at a price of $65.25 per share, the return on the stock is
A) 26.5 percent.
B) 28.5 percent.
C) 30.5 percent.
D) 34.5 percent.

ANSWER: D

21. The risk of a short sale is that the stock price
A) may decrease over time.
B) will remain the same.
C) may increase over time.
D) none of the above

ANSWER: C

22. ____________ facilitate transactions on the New York Stock Exchange by taking positions in specific stocks; they also stand ready to buy or sell these stocks.
A) Floor brokers

B) Capstone members
C) Specialists
D) none of the above

ANSWER: C

23. ____________ facilitate transactions on the New York Stock Exchange by executing stock transactions for their clients.
A) Floor brokers
B) Capstone members
C) Specialists
D) none of the above

ANSWER: A

24. The "trade-though rule" established by the SEC requires that an order for NYSE-listed stocks must be executed on the exchange that offers the best price for the investor.
A) True
B) False

ANSWER: A

25. Which of the following statements is incorrect?
A) Market-makers take positions to capitalize on the discrepancy between the prevailing stock price and their own valuation of a stock.
B) Specialists and market-makers may take the opposite position of uninformed investors and therefore stand to benefit if their expectations are correct.
C) For each stock that is traded in the Nasdaq market, there are 50 market-makers on average.
D) The spread quoted for a given stock may vary among market-makers.

ANSWER: C

26. A short-interest ratio of 20 or more indicates that many investors
A) believe that the stock price is currently overvalued.
B) believe that the stock price is currently undervalued.
C) are selling the stock short.
D) both A and C

ANSWER: D

27. Lisa would like to purchase a stock priced at $70. The stock is not expected to pay any dividends in the coming year. She can either put up the entire amount and purchase the stock, or borrow $35 from her brokerage firm at an annual interest rate of 12 percent and put up the remainder. She thinks she can sell the stock for $100 after one year. If she borrows from her brokerage firm, her estimated return on the stock would be ________ percent.
A) 42.86
B) 85.71
C) 73.71
D) 30.00

ANSWER: C

28. Short-selling a stock refers to
    A) poor performance from purchasing an overvalued stock.
    B) the new issuance of low-priced stocks by firms.
    C) the new issuance of stocks by financially weak firms.
    D) the borrowing of stock owned by someone else and selling it in the market.

ANSWER: D

29. Trading halts are imposed by
    A) the SEC.
    B) brokers.
    C) stock exchanges.
    D) the Treasury.

ANSWER: C

30. The size of the spread on stocks that have relatively little trading is
    A) smaller to reflect the lower degree of uncertainty.
    B) the same as that of stocks with higher volumes of trading.
    C) wider to reflect the higher degree of uncertainty.
    D) not affected by trading volume.

ANSWER: C

31. The ________ the trading volume of a stock, the ________ the spread.
    A) higher; wider
    B) higher; narrower
    C) lower; narrower
    D) none of the above

ANSWER: B

32. __________ is an electronic communications network that was acquired by the NYSE.
    A) Island
    B) Archipelago
    C) Instinet
    D) CyberTrader

ANSWER: B

33. A __________ is a trading platform on a computer web site that allows investors to trade stocks without the use of a broker.
    A) direct access broker
    B) program trader

C) *market maker*
D) communication network

ANSWER: A

34. The NYSE defines ___________as the simultaneous buying and selling of a portfolio of at least 15 different stocks that are contained within the S&P 500 index values at more than $1 million.

A) direct access brokering
B) electronic communication networking
C) program trading
D) regulation of stock trading

ANSWER: C

35. Trading halts are intended to ensure that the market has complete information before trading on news.

A) True

B) False

ANSWER: A

36. The Division of ___________of the SEC regulates the fair and orderly disclosure trading by ensuring honest practices by various organizations that facilitate the trading of securities.

A) Corporate Finance
B) Enforcement
C) Administration
D) Market Regulation

E) ANSWER: D

37. The Division of ___________of the SEC assesses possible violations of regulations imposed by the SEC, and can take action against individuals or firms.

A) Corporate Finance
B) Enforcement
C) Administration
D) Market Regulaton

ANSWER: B

38. Until recently, international trading of stocks was limited by
A) transaction costs.
B) information costs.
C) exchange rate risk.

D) all of the above

ANSWER: D

39. The transaction costs associated with international trading of stocks have been reduced by

A) the consolidation of stock exchanges.
B) extensive computerization.
C) the Eurolist system.
D) all of the above

F) ANSWER: D

40. The exchange rate risk associated with international trading of stock has been reduced by

A) information available on the Internet.
B) extensive computerization of stock exchanges.
C) the conversion of many European countries to a single currency.
D) the Eurolist system.

G) ANSWER: C

41. A market order is an order to buy or sell a stock at the best possible price.
A) True

B) False

ANSWER: A

42. A stop-loss order is a particular type of limit order whereby the investor specifies a selling price that is below the current market price of the stock.
A) True

B) False

ANSWER: A

43. When investors place a limit order, they can place it for the day only.
A) True

B) False

ANSWER: A

44. The initial margin is the minimum amount of margin that investors must maintain as a percentage of the stock's value without receiving a margin call.
A) True

B) False

ANSWER: B

45. A margin call from a broker means that the investor is required to provide more collateral (cash or stocks) or sell the stock.

A) True

B) False

ANSWER: A

46. When investors sell short, they are essentially lending the stock to another investor and will ultimately receive that stock back from the investor to whom they lent it.

A) True

B) False

ANSWER: B

47. A relatively high percentage (such as 3 percent) of the ratio of the number of shares sold short divided by the total number of shares outstanding suggests a large amount of short positions in the market, which implies that a relatively large number of investors expect the stock's price to decline.

A) True

B) False

ANSWER: A

48. Specialists and market-makers both enhance the stock market's liquidity by making a market for stocks.

A) True

B) False

ANSWER: A

49. A trading halt prevents a stock from experiencing a loss in response to news.

A) True

B) False

ANSWER: B

50. The SEC's Division of Market Regulation assesses possible violations of the SEC's regulations and can take action against individuals or firms.

A) True

B) False

ANSWER: B

51. Regulation Fair Disclosure (FD) requires firms to disclose relevant information first to their most important clients.

A) True

B) False

ANSWER: B

52. _________ offer advice to customers on stocks to buy or sell.

A) Full-service brokers
B) Discount brokers
C) Floor brokers
D) Specialists
E) Market-makers

ANSWER: A

53. ____________ are required to maintain a fair and orderly market in the securities assigned to them on the New York Stock Exchange.

A) Specialists
B) Floor brokers
C) Dealers
D) Market-makers
E) none of the above

ANSWER: A

54. A(n) _________ from a broker requires the investor to put up additional collateral.

A) maintenance margin
B) initial margin

C) margin call
D) none of the above

ANSWER: C

55. The short-interest ratio is the shares sold short divided by the
A) average shares purchased over a recent period.
B) average daily trading volume over a recent period.
C) interest rate paid on the short sale.
D) average daily trading volume on other stocks from the same industry.
E) none of the above

ANSWER: B

56. A short seller
A) anticipates that the price of the stock sold short will increase.
B) earns the difference between what he initially paid for the stock versus what he later sell the stock for.
C) makes a profit equal to the difference between the original selling price and the price paid for the stock, after subtracting any dividend payments made.
D) is essentially lending the stock to another investor and will ultimately receive that stock back from that investor.
E) none of the above

ANSWER: C

57. The bid-ask spread is negatively related to
A) order costs.
B) inventory costs.
C) risk
D) trading volume.

ANSWER: D

58. Marziano Co. stock is quoted by a broker as bid $21.20, ask $21.40. The bid-ask spread is ___________ percent.
A) 0.94
B) 0.93
C) 0.20
D) none of the above

ANSWER: B

59. Which of the following statements is incorrect with respect to the structure of the SEC?
   A) It is composed of seven commissioners appointed by the president of the United States
   B) The president selects one commissioner to chair the commission.
   C) Each commissioner serves a five-year term.
   D) Commissioners' terms are staggered.
   E) Commissioners meet to assess whether existing regulations are successfully preventing abuses and to revise the regulations as needed.

   ANSWER: A

60. The SEC's _______________ requires the orderly disclosure of securities trades by various organizations that facilitate the trading of securities.
   A) Division of Corporate Finance
   B) Division of Market Regulation
   C) Division of Enforcement
   D) none of the above

   ANSWER: B

61. The SEC's _______________ reviews the registration statement files when a firm goes public, corporate filings for annual and quarterly reports, and proxy statements that involve voting for board members or other corporate issues.
   A) Division of Corporate Finance
   B) Division of Market Regulation
   C) Division of Enforcement
   D) none of the above

   ANSWER: A

62. Which of the following statements is incorrect with respect to Regulation Fair Disclosure (FD)?
   A) It required firms to disclose relevant information broadly to investors at the same time.
   B) It restricts firms from providing analysts with information that they could use before the market is aware of the information.
   C) It requires firms to announce a change in expected earnings to all investors and other interested parties at the same time.
   D) It prohibits firms from communicating with analysts after a news announcement is made to all investors.
   E) All of the above are correct with respect to Regulation FD.

   ANSWER: D

Chapter 13

Financial Futures Markets

1. A(n) ______ is a standardized agreement to deliver or receive a specified amount of a specified financial instrument at a specified price and date.
   A) option contract
   B) brokerage contract
   C) financial futures contract
   D) margin call

   ANSWER: C

2. Interest rate futures are not available on
   A) Treasury bonds.
   B) Treasury notes.
   C) Eurodollar CDs.
   D) the S&P 500 index.

   ANSWER: D

3. _________ take positions in futures to reduce their exposure to future movements in interest rates or stock prices.
   A) Hedgers
   B) Day traders
   C) Position traders
   D) none of the above

   ANSWER: A

4. ______ trade futures contracts for their own account.
   A) Commission brokers
   B) Floor brokers
   C) Commission traders
   D) Floor traders

   ANSWER: D

5. The initial margin of a futures contract is typically between ___________ percent of a futures contract's full value.
   A) 0 and 2
   B) 5 and 18
   C) 25 and 40
   D) 45 and 60

   ANSWER: B
6. Futures exchanges facilitate the trading process and take buy or sell positions on futures contracts.
   A) True
   B) False

ANSWER: B

7. If the prices of Treasury bonds ______, the value of an existing Treasury bond futures contract should ______.
   A) increase; be unaffected
   B) decrease; be unaffected
   C) A and B
   D) decrease; decrease
   E) decrease; increase

   ANSWER: D

8. Assume that a T-bill futures contract with a face value of $1 million is purchased at a price of $95.00 per $100 face value. At settlement, the price of T-bills is $95.50. What is the difference between the selling and purchase price of the futures contract?
   A) $.50
   B) $50
   C) $500
   D) $5,000
   E) none of the above

   ANSWER: D

9. If speculators believe interest rates will _______, they would consider ______ a T-bill futures contract today.
   A) increase; selling
   B) increase; buying
   C) decrease, selling
   D) decrease; purchasing a call option on

   ANSWER: A

10. Financial futures contracts on U.S. securities are __________ by non-U.S. financial institutions.
    A) not allowed to be traded
    B) are rarely desired
    C) are commonly traded
    D) A and B

    ANSWER: C

11. Assume that speculators had purchased a futures contract at the beginning of the year. If the price of a security represented by a futures contract ______ over the year, then these speculators would likely have purchased the futures contract for ________ than they can sell it for.
    A) increased; more
    B) decreased; less
    C) remains the same; more
    D) increased; less

ANSWER: D

12. Assume that a futures contract on Treasury bonds with a face value of $100,000 is purchased at 93-00. If the same contract is later sold at 94-18, what is the gain, ignoring transactions costs?
    A) $1,180,000
    B) $118
    C) $11,800
    D) $15,625
    E) $1,562.50

    ANSWER: E

13. The use of financial leverage
    A) magnifies the positive returns of futures contracts.
    B) magnifies losses of futures contracts.
    C) both A and B
    D) none of the above

    ANSWER: C

14. According to the text, when a financial institution sells futures contracts on securities in order to hedge against a change in interest rates, this is referred to as
    A) a long hedge.
    B) a short hedge.
    C) a closed out position.
    D) basis trading.

    ANSWER: B

15. A financial institution that maintains some Treasury bond holdings sells Treasury bond futures contracts. If interest rates increase, the market value of the bond holdings will ______ and the position in futures contracts will result in a _______.
    A) increase; gain
    B) increase; loss
    C) decrease; gain
    D) decrease; loss

    ANSWER: C

16. The basis is the
    A) difference between the price of a security and the price of a futures contract on the security.
    B) gain or loss from hedging with futures contracts.
    C) difference between a futures contract price and the initial deposit required.
    D) price paid for a futures contract after accounting for transactions costs.
    E) price paid for an option contract.

    ANSWER: A

17. The profits of a financial institution with interest-rate sensitive liabilities and interest rate-insensitive

assets are ______ with hedging than without hedging if interest rates decrease.
A) higher
B) the same
C) lower
D) higher or the same

ANSWER: C

18. Assume that a bank obtains most of its funds from large CDs with a one-year maturity. Its assets are in the form of loans with rates that adjust every six months. The bank would be ______ affected if interest rates increase. To partially hedge its position, it could _______ futures contracts.
A) adversely; purchase
B) favorably; sell
C) favorably; purchase
D) adversely; sell

ANSWER: C

19. According to the text, a futures contract on one financial instrument to protect a position in a different financial instrument is known as
A) cross-hedging.
B) ratio hedging.
C) basis hedging.
D) liquid hedging.

ANSWER: A

20. The effectiveness of a cross-hedge depends on the degree of correlation between the market values of the two financial instruments.
A) True
B) False

ANSWER: A

21. If a futures contract is more volatile than the portfolio value, the amount of principal represented by the futures contracts to hedge the portfolio is _______ the market value of the securities to be hedged.
A) smaller than
B) greater than
C) equal to
D) B and C are both possible

ANSWER: A

22. In cross-hedging, if the futures contract value is ______ volatile than the portfolio value, hedging will require a ________ amount of principal represented by the futures contracts.
A) less; greater
B) more; greater
C) more; smaller
D) none of the above

ANSWER: B

23. Municipal Bond Index (MBI) futures
    A) involve a physical exchange of bonds.
    B) are based on a Treasury bond index.
    C) are based on actively traded corporate bonds.
    D) are settled in cash.

ANSWER: D

24. Systemic risk reflects the risk that a particular event could
    A) cause losses at a firm due to inadequate management control.
    B) spread adverse effects among several firms or among financial markets.
    C) cause a loss in value due to market conditions.
    D) have a larger effect on the futures position than on the position being hedged.

ANSWER: B

25. A savings and loan association has long-term fixed-rate mortgages financed by short-term funds. It hedges by selling Treasury bond futures. If interest rates decline, and many mortgages are prepaid
    A) the gain on the futures contracts offsets the loss on the mortgages.
    B) the gain on the mortgages offsets the loss on the futures contracts.
    C) the gain on the futures contracts more than offsets any unfavorable effects on mortgages.
    D) a loss on the futures contracts more than offsets the favorable effect on the mortgage portfolio.

ANSWER: D

26. If a financial institution expects that the market value of its municipal bonds will decline because of economic conditions, it could hedge its position by __________ futures contracts on __________.
    A) purchasing; Treasury bonds
    B) purchasing; the S&P 500 Index
    C) purchasing; a Municipal Bond Index
    D) selling; a Municipal Bond Index

ANSWER: D

27. The net gain or loss on a futures contract for a stock index that is not closed out is based on the difference between the futures price when the initial position was created and the futures price at
    A) the settlement date.
    B) the date at which the futures price reaches its maximum.
    C) the date at which the futures price reaches its minimum.
    D) the date three months beyond the date when the initial position was taken.

ANSWER: A

28. The value of an S&P 500 futures contract is $500 times the index. Assume the futures price on the S&P 500 index is 1612 at the time of purchase. If the index price is $1619 when the position is closed out, the gain is

    A) $700.

B) $7,000.
C) $3,190.
D) $3,120.
E) $3,500.

ANSWER: E

29. Assume that a stock mutual fund uses stock index futures as it conducts dynamic asset allocation. This means that the mutual fund
A) liquidates its stocks whenever it expects a market downturn.
B) maintains a constant buy position in stock index futures.
C) maintains a constant sell position in stock index futures.
D) none of the above

ANSWER: D

30. Companies with international trade can hedge _______ by ______ currency futures.
A) payables; selling
B) receivables; buying
C) payables; buying
D) A and B
E) B and C

ANSWER: C

31. Assume that corporate bond portfolio managers are concerned about the possibility of many bond defaults resulting from a future recession. A short position in Treasury bond futures ______ an effective hedge against the default risk. A short position in Treasury bill futures ______ an effective hedge against the default risk.
A) would be; would be
B) would be; would not be
C) would not be; would not be
D) would not be; would be

ANSWER: C

32. The buying or selling of stock index futures with a simultaneous opposite position in the stocks comprising that index is known as
A) program arbitrage.
B) covered interest arbitrage.
C) index arbitrage.
D) future arbitrage.

ANSWER: C

33. When securities firms capitalize on discrepancies between prices of index futures and stocks, they are acting as so-called
A) raiders.
B) greenmailers.

C) buyout artists.
D) arbitrageurs.

ANSWER: D

34. Trading restrictions imposed on specific stocks or stock indices are referred to as
A) index busters.
B) index options.
C) circuit breakers.
D) protective covenants.

ANSWER: C

35. Financial leverage, when used in association with a futures contract, _________ the positive returns and _______ losses.
A) magnifies; reduces
B) reduces; magnifies
C) magnifies; magnifies
D) reduces; reduces

ANSWER: C

36. Currency futures may be purchased to hedge ______ or to capitalize on the expected ______ of that currency against the dollar.
A) receivables; appreciation
B) receivables; depreciation
C) payables; depreciation
D) payables; appreciation

ANSWER: D

37. The risk that the position being hedged by a futures position is not affected in the same manner as the instrument underlying the financial futures contract, is referred to as
A) market risk.
B) liquidity risk.
C) default risk.
D) basis risk.

ANSWER: D

38. Dynamic asset allocation involves the switching between risky and low-risk investments by institutional investors over time in response to changing expectations.
A) True
B) False

ANSWER: A

39. The prices of stock index futures
A) are always the same as the prices of the stocks representing the index.

B) are always a little above the prices of the stocks representing the index.
C) are always a little below the prices of the stocks representing the index.
D) none of the above

ANSWER: D

40. The actions of numerous institutional investors to sell stock index futures instead of selling stocks to prepare for a market decline would likely cause the index futures price to be
A) equal to the prevailing stock prices.
B) below the prevailing stock prices.
C) above the prevailing stock prices.
D) negative.

ANSWER: B

41. Speculators in futures contracts that normally close out their futures positions on the same day that the positions were initiated are referred to as
A) day traders.
B) hedgers.
C) closed-end traders.
D) position traders.

ANSWER: A

42. Speculators in futures contracts that normally maintain the futures position that they initiate for extended periods of time (such as weeks or months) are referred to as
A) day traders.
B) hedgers.
C) closed-end traders.
D) position traders.

ANSWER: D

43. Which of the following is incorrect regarding organized exchanges trading financial futures contracts?
A) Organized exchanges establish and enforce rules for the trading of financial futures contracts.
B) Organized exchanges ensure that the seller of the futures contract always delivers the securities covered by the contract, whether the contract was settled prior to the settlement date or not.
C) Organized exchanges clear, settle, and guarantee all transactions that occur on their exchanges.
D) The operations of financial futures exchanges are regulated by the Commodity Futures Trading Commission (CFTC).
E) All of the above are correct.

ANSWER: B

44. Marcia buys an S&P 500 futures contract with a September settlement date when the index is 1,750. By the settlement date, the S&P 500 index falls to 1,400. The return on Marcia's position in the S&P 500 futures contract is ___ percent.

A) –20
B) –10
C) 25
D) 20
E) 0

ANSWER: A

45. Laura sells an S&P 500 futures contract with a September settlement date when the index is 1,750. By the settlement date, the S&P 500 index falls to 1,400. The return on Laura's position in the S&P 500 futures contract is ___ percent.
A) –20
B) –10
C) 25
D) 20
E) 0

ANSWER: C

46. Assume a corporation is receiving a large amount of funds in the near future. The company plans to use the funds to purchase municipal bonds. Also assume that the company is concerned that interest rates decrease before the purchase date, which would make the municipal bonds more expensive. In order to hedge against this possibility, the company should ___________ MBI futures contracts. If interest rates decrease, the futures contract will generate a __________.
A) sell; loss
B) purchase; gain
C) purchase; loss
D) sell; gain
E) none of the above

ANSWER: B

47. If there are ________ traders with buy offers than sell offers for a particular contract, the futures price will _______ until this imbalance is removed.
A) more; decrease
B) more; rise
C) fewer; rise
D) none of the above

ANSWER: B

48. Which of the following statements is incorrect?
A) Circuit breakers are trading restrictions imposed on specific stocks or stock indexes.
B) Circuit breakers guarantee that prices will turn upward.
C) Circuit breakers may be able to prevent large declines in prices that would be attributed to panic selling rather than to fundamental forces.

D) Circuit breakers may allow investors to determine whether circulating rumors are true.

ANSWER: B

49. ___________ risk is the risk of losses as a result of inadequate management or controls.
    A) Basis
    B) Systemic
    C) Operational
    D) Prepayment

    ANSWER: C

50. Financial futures contracts on stock indexes are referred to as interest rate futures.
    A) True
    B) False

    ANSWER: B

51. Financial futures contracts are rarely sold over the counter.
    A) True
    B) False

    ANSWER: B

52. Brokers commonly require margin deposits from their customers above those required by the exchanges.
    A) True
    B) False

    ANSWER: A

53. Purchasers of financial futures contracts usually know who the sellers are, and vice versa.
    A) True
    B) False

    ANSWER: B

54. The futures price is mainly a function of the prevailing price of the underlying security plus an expected adjustment in that price by the settlement date.
    A) True
    B) False

    ANSWER: A

55. A financial institution that hedges with interest rate futures is less sensitive to economic events than an institution that does not hedge.
    A) True
    B) False

    ANSWER: A

56. A bond index futures contract allows for the buying, but not the selling, of a bond index for a specified price at a specified date.

A) True
B) False

ANSWER: B

57. Market participants who expect the stock market to perform poorly before the settlement date may consider selling S&P 500 index futures.
A) True
B) False

ANSWER: A

58. Stock index futures cannot be closed out before the settlement date.
A) True
B) False

ANSWER: B

59. The value of a stock index futures contract has little correlation with the value of the underlying stock index.
A) True
B) False

ANSWER: B

60. Since stock index futures prices are primarily driven by movements in the corresponding stock indexes, participants in stock index futures monitor indicators that may signal changes in the stock indexes.
A) True
B) False

ANSWER: A

61. The price of stock index futures may reflect investor expectations about the market more rapidly than stock prices.
A) True
B) False

ANSWER: A

62. Financial futures contracts on U.S. securities are commonly traded by non-U.S. financial institutions that maintain holdings of U.S. securities.
A) True
B) False

ANSWER: A

63. Purchasers of currency futures contracts are required to hold the contract until the settlement date and accept delivery of the foreign currency at that time.

A) True
B) False
ANSWER: B

64. Which of the following statements is incorrect regarding organized exchanges trading financial futures contracts?
A) Organized exchanges establish and enforce rules for the trading of financial futures contracts.
B) Organized exchanges ensure that the seller of the futures contract always delivers the securities covered by the contract, whether the contract was settled prior to the settlement date or not.
C) Organized exchanges clear, settle, and guarantee all transactions that occur on their exchanges.
D) The operations of financial futures exchanges are regulated by the Commodity Futures Trading Commission (CFTC).
E) All of the above are correct.

ANSWER: B

65. Stock index futures are priced ___________ than the stock index itself.
A) higher
B) lower
C) either higher or lower
D) none of the above

ANSWER: C

66. An unexpected __________ in the consumer price index tends to create expectations of ___________ interest rates and places _____________ pressure on Treasury bond futures prices.
A) increase; higher; downward
B) increase; lower; downward
C) increase; higher; upward
D) decrease; higher; downward
E) none of the above

ANSWER: A

67. Bill Baher, a private investor, purchased a futures contract on Treasury bonds at a price of 102-12. Two months later, Baher sells the same futures contract in order to close out the position. At that time, the futures contract specifies 103-15. What is Baher's nominal profit? The par value of the futures contract is $100,000.
A) $1,030.00; profit
B) $1,030.00; loss
C) $1,093.75; profit
D) $1,093.75; loss
E) none of the above

ANSWER: C

68. Clarke Bank plans to satisfy cash needs in nine months by selling its Treasury bond holdings for $4

million. However, Clarke is concerned that interest rates might increase over the next three months. To hedge against this possibility, Clarke plans to sell Treasury bond futures. Thus, Clarke sells ______ futures contract for a price of 99-12. Assuming that the actual price of the futures contract declined to 97-20, Clarke would make a ________ of $________ from closing out the futures position.

A) 40; profit; $76,800
B) 40; loss; $76,800
C) 50; profit; $70,000
D) 40; profit; $70,000
E) none of the above

ANSWER: D

69. Which of the following statements is incorrect with respect to cross-hedging?

A) Even when the futures contract is highly correlated with the portfolio being hedged, the value of the futures contract may change by a higher or lower percentage than the portfolio's market value.
B) If the futures contract value is more volatile than the portfolio value, hedging will require a greater amount of principal represented by the futures contracts.
C) The effectiveness of a cross-hedge depends on the degree of correlation between the market values of the two financial instruments.
D) If the price of the underlying security of the futures contract moves closely in tandem with the security hedged, the futures contract can provide an effective hedge.
E) All of the above are correct with respect to cross-hedging.

ANSWER: B

70. If index futures are priced ________ relative to the stocks representing the index, an arbitrageur may _________ index futures and simultaneously __________ stocks.

A) low; purchase; sell
B) low; sell; purchase
C) high; purchase; sell
D) Answers b and c are correct.
E) None of the above are correct.

ANSWER: A

71. __________ risk is the risk that the position being hedged by a futures contract is not affected in the same manner as the instrument underlying the futures contract.

A) Market
B) Liquidity
C) Credit
D) Basis
E) none of the above

ANSWER: D

Chapter 14

Options Markets

1. A ______ grants the owner the right to purchase a specified financial instrument for a specified price within a specified period of time.
   A) call option
   B) put option
   C) sale of a futures contract
   D) purchase of a futures contract

   ANSWER: A

2. A ______ requires a premium above and beyond the price to be paid for the financial instrument.
   A) futures contract
   B) call option
   C) put option
   D) B and C

   ANSWER: D

3. A call option is “in the money” when the
   A) market price of the underlying security exceeds the exercise price.
   B) market price of the underlying security equals the exercise price.
   C) market price of the underlying security is less than the exercise price.
   D) premium on the option is less than the exercise price.

   ANSWER: A

4. A put option is “out of the money” when the
   A) market price of the security exceeds the exercise price.
   B) market price of the security equals the exercise price.
   C) market price of the security is less than the exercise price.
   D) premium on the option is less than the exercise price.

   ANSWER: A

5. When the market price of the underlying security exceeds the exercise price, the
   A) call option is in the money.
   B) put option is in the money.
   C) call option is at the money.
   D) call option is out of the money.

   ANSWER: A

6. When the exercise price exceeds the market price of the underlying security, the
   A) call option is in the money.
   B) put option is in the money.
   C) call option is at the money.

D) put option is out of the money.

ANSWER: B

7. Sellers (writers) of call options can offset their position at any point in time by
A) selling a put option on the same stock.
B) buying identical call options.
C) selling additional call options on the same stock.
D) A and B
E) all of the above

ANSWER: B

8. The _______________ is the most important exchange for trading options.
A) New York Stock Exchange (NYSE)
B) Chicago Board of Options Exchange (CBOE)
C) Chicago Mercantile Exchange (CME)
D) Philadelphia Stock Exchange

ANSWER: B

9. The Options Clearing Corporation (OCC) serves as a guarantor on option contracts traded in the United States.
A) True
B) False

ANSWER: A

10. ___________ execute transactions desired by investors and trade stock options for their own account.

A) Floor brokers
B) Specialists
C) Market-makers
D) none of the above

ANSWER: C

11. A speculator buys a call option for $3, with an exercise price of $50. The stock is currently priced at $49, and rises to $55 on the expiration date. The speculator will exercise the option on the expiration date (if it is feasible to do so). What is the speculator's profit per unit?

A) $1
B) $5
C) $2
D) −$1
E) −$2

ANSWER: C

12. A speculator buys a call option for $3, with an exercise price of $50. The stock is currently priced at $49, and rises to $55 on the expiration date. What is the stock price at which the speculator would break even?

A) $50

B) $58
C) $52
D) $53
E) $49

ANSWER: D

13. A speculator purchases a put option for a premium of $4, with an exercise price of $30. The stock is presently priced at $29, and rises to $32 before the expiration date. What is the maximum profit per unit to the speculator who owned the put option assuming he or she exercises the option at the ideal time?
A) –$4
B) –$3
C) –$2
D) $2
E) $3

ANSWER: B

14. A speculator purchases a put option for a premium of $4, with an exercise price of $30. The stock is presently priced at $29, and rises to $32 before the expiration date. What is the stock price at which the speculator would break even?
A) $26
B) $34
C) $28
D) $29
E) $32

ANSWER: A

15. The ________, the higher the call option premium, other things being equal.
A) lower the existing price of the security relative to the exercise price
B) lower the variability of the security's market price
C) longer the maturity of the option
D) A and B

ANSWER: C

16. The ________, the lower the premium on a put option, other things being equal.
A) higher the existing price of the security relative to the exercise price
B) greater the variability of the security's market value
C) longer the maturity of the option
D) A and B

ANSWER: A

17. The longer the time to maturity, the ___________ the call option premium and the _________ the put option premium.
A) higher; lower
B) lower; higher

C) higher; higher
D) lower; lower

ANSWER: C

18. The greater the volatility of the underlying stock, the ___________ the call option premium and the _________ the put option premium.
A) higher; lower
B) lower; higher
C) higher; higher
D) lower; lower

ANSWER: C

19. The sale of a call option on a stock the seller already owns is referred to as
A) a covered call.
B) a naked call.
C) call on futures.
D) futures on options.

ANSWER: A

20. Assume a pension fund purchased stock at $53. Call options at a $50 exercise price presently have a $4 premium per share. The pension fund sells a call option on the stock it owns. If the call option is exercised when the price of the stock is $56, what is the gain or loss per share to the pension fund (including its gain from holding the stock as well)?
A) $4 gain
B) $6 loss
C) $2 loss
D) $1 gain
E) $0

ANSWER: D

21. Covered call writing ______ the upside potential return and ______ the risk of an investment in stock.
A) increases; increases
B) increases; decreases
C) limits; increases
D) limits; decreases

ANSWER: D

22. Put options are typically used to hedge
A) when portfolio managers are mainly concerned with a permanent decline in a stock's value.
B) when portfolio managers are mainly concerned with a permanent increase in a stock's value.
C) when portfolio managers are mainly concerned with a temporary decline in a stock's value.
D) when portfolio managers are mainly concerned with a temporary increase in a stock's value.

ANSWER: C

23. A savings and loan association has long-term fixed rate mortgages supported by short-term funds. A put option on Treasury bond futures could be used to (ignore the premium paid for the option when you answer this question)
A) maintain its interest rate spread if interest rates rise, and increase its spread if interest rates fall.
B) maintain its interest rate spread if interest rates fall, and increase its spread if interest rates rise.
C) maintain its interest rate spread whether interest rates rise or fall.
D) increase its interest rate spread whether interest rates rise or fall.

ANSWER: A

24. A speculator purchases a put option on Treasury bond futures with a September delivery date with a strike price of 85-00. The option has a premium of 2-00. Assume that the price of the futures contract decreases to 82-00 on the expiration date and the option is exercised at that point (if it is feasible). What is the net gain?
A) $1,968.75
B) $3,750.00
C) $3,000.00
D) –$2,000.00
E) $1,000.00

ANSWER: E

25. Assume an insurance company purchases a call option on an S&P 500 Index futures contract for a premium of 14, with an exercise price of 1800. The value of an S&P 500 futures contract is 250 times the index. If the index on the futures contract increases to 1830, what is the gain on the sale of the futures contract?
A) $15,000
B) $7,500
C) $3,300
D) $4,000
E) $1,500

ANSWER: D

26. Corporations involved in international business transactions can ______ to hedge future ______.
A) sell currency call options; payables
B) purchase currency put options; receivables
C) purchase currency call options, receivables
D) purchase currency put options, payables
E) A and B

ANSWER: B

27. If a corporation hedges payables with currency call options, it will ______ if the value of the foreign currency is ______ than the exercise price when the payables are due.
A) exercise the option; greater
B) exercise the option; less
C) let the option expire; greater
D) let the option expire; less

E) A and D

ANSWER: E

28. Speculators purchase currency ______ on currencies they expect to ______ against the dollar.
A) call options; weaken
B) put options; strengthen
C) futures; weaken
D) put options; weaken

ANSWER: D

29. Speculators may be willing to write ______ options on foreign currencies they expect to ______ against the dollar.
A) put; strengthen
B) put; weaken
C) call; strengthen
D) call; weaken
E) A and D

ANSWER: E

30. European-style stock options
A) are long-term options (at least one year until expiration at the time they are created).
B) can be exercised after the expiration date.
C) can be exercised any time until the expiration date.
D) none of the above

H) ANSWER: D

31. A speculator purchased a call option with an exercise price of $31 for a premium of $4. The option was exercised a few days later when the stock price was $34. What was the return to the speculator?
A) 25 percent
B) –25 percent
C) –3.2 percent
D) –2.9 percent

ANSWER: B

32. A speculator purchased a put option with an exercise price of $56 for a premium of $10. The option was exercised a few days later when the stock price was $44. What was the return to the speculator?
A) –20 percent
B) 120 percent
C) –100 percent
D) 20 percent
ANSWER: D

33. The premium on an existing call option should ______ when the underlying stock price decreases.
A) be negative

B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: B

34. The premium on an existing put option should ______ when the underlying stock price increases.
A) be negative
B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: B

35. The premium on an existing put option should ______ when there is an increase in the expected short-term volatility of the stock price.
A) be negative
B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: C

36. The premium on an existing call option should ______ when there is a reduction in the expected short-term volatility of the stock price.
A) be negative
B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: B

37. The premium on an existing put option should ______ when there is an increase in the expected short-term volatility of the stock price.

A) be negative
B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: C

38. The premium on an existing call option should ______ when there is a reduction in the expected short-term volatility of the stock price.
A) be negative

B) decline
C) increase
D) be unaffected
E) A and B

ANSWER: B

39. When a stock index option is exercised, the cash payment is equal to a specified dollar amount
A) multiplied by the index level.
B) multiplied by the exercise price.
C) multiplied by the difference between the index level and the exercise price.
D) multiplied by the sum of the index level and the exercise price.

ANSWER: C

40. Long-term equity anticipations (LEAPS) represent
A) stocks that have a maturity date.
B) stocks that are converted to bonds once the price reaches a specified level.
C) stock options with longer terms to expiration than the more traditional stock options.
D) stock index futures that can have a more distant settlement date than the more typical stock options.

I) ANSWER: C

41. When stock portfolio managers use dynamic asset allocation by purchasing call options on a stock index, they __________ their exposure to stock market conditions.
A) reduce
B) completely eliminate
C) have no effect on
D) increase

ANSWER: D

42. When stock portfolio managers use dynamic asset allocation by writing call options on a stock index, they __________ their exposure to stock market conditions.
A) reduce
B) completely eliminate
C) have no effect on
D) increase

ANSWER: A

43. Options on stock indexes representing non-U.S. stocks are __________; options exchanges have been established __________.
A) available; in numerous non-U.S. countries
B) not available; in numerous non-U.S. countries
C) available; only in the United States
D) not available; only in the United States

ANSWER: A

44. Which of the following is not a difference between purchasing an option and purchasing a futures contract?
    A) The option requires that a premium be paid in addition to the price of the financial instrument.
    B) Owners of options can choose to let the option expire on the so-called expiration date without exercising it.
    C) The fulfillment of futures contracts is regulated by exchanges, while the fulfillment of options is not.
    D) All of the above are differences between purchasing an option and purchasing a futures contract.

    ANSWER: C

The following information refers to questions 45 and 46.

Holly Kombs, a speculator, expects interest rates to decline in the near future. Thus, she purchases a call option on interest rate futures with an exercise price of 92-10. The premium on the call option is 2-24. Just before the expiration date, the price of Treasury bond futures is 97-14. At this time, Kombs decides to exercise the option and closes out the position by selling an identical futures contract.

45. Kombs net gain from this strategy is $____________.
    A) –2,687.50
    B) 2,687.50
    C) 2,375.00
    D) 7,437.50
    E) none of the above

    ANSWER: B

46. Insurers, Inc., an insurance company, sold the call option purchased by Kombs. Insurers' net gain from selling the call option to Kombs is $____________.

    A) 2,687.50
    B) –2,687.50
    C) 2,375.00
    D) 7,437.50
    E) none of the above

    ANSWER: B

47. Milton Briedman, a speculator, expects interest rates to increase and purchases a put option on Treasury bond futures with an exercise price of 95-32. The premium paid for the put option is 2-36. Just prior to the expiration date, the price of the Treasury bond futures contract is valued at 93-22. Briedman exercises the option and closes out the position by purchasing an identical futures contract. Briedman's net gain from this speculative strategy is $________.
    A) –406.25
    B) 4,718.75
    C) –4,718.75
    D) –812.50
    E) none of the above

    ANSWER: A

48. Which of the following is not an assumption underlying the Black-Scholes option-pricing model?
    A) The risk-free rate is known and constant over the life of the option.
    B) The probability distribution of stock prices is lognormal.
    C) The world is risk-neutral.
    D) The variability of a stock's return is constant.
    E) There are no transaction costs involved in trading options.

    ANSWER: C

49. Which of the following is not true with respect to market makers?
    A) They benefit from the spread.
    B) They may earn profits when they take positions in options.
    C) They are not subject to the risk of loss on their positions in options.
    D) All of the above are true with respect to market makers.

    ANSWER: C

50. Option trading is regulated by the
    A) Options Clearing Corporation.
    B) International Securities Exchange.
    C) Securities and Exchange Commission.
    D) Federal Reserve.

    ANSWER: C

51. On an exchange, option trades can be executed
    A) by a floor broker.
    B) electronically.
    C) by a market maker.
    D) all of the above
    E) A and B only

    ANSWER: D

52. When investors purchase an option that does not hedge their existing investments, the option can be referred to as "naked."

A) True
B) False

ANSWER: A

53. Backdating implies that CEO (or other executives) reset the date that their options were granted to a different date when the stock price was lower.
A) True
B) False

ANSWER: A

54. The motive for a CEO to backdate options is that it allowed them to exercise the options at a lower exercise price.
A) True
B) False

ANSWER: A

55. Stock options can be used by speculators to benefit from their expectations and by financial institutions to reduce their risk.
A) True
B) False

ANSWER: A

56. The writer of a put option is obligated to provide the specified financial instrument at the price specified by the option contract if the owner exercises the option.
A) True
B) False

ANSWER: B

57. A call option is said to be at the money when the market price of the underlying security exceeds the exercise price.
A) True
B) False

ANSWER: B

58. Market makers can execute stock option transactions for customers and do not trade stock options for their own account.
A) True
B) False

ANSWER: B

59. American-style stock options can be exercised only just before expiration.
A) True

B) False

ANSWER: B

60. An option with a higher exercise price has a higher call option premium and a lower put option premium.
A) True
B) False

ANSWER: B

61. Several call options are available for a given stock, and the risk-return potential will vary among them.
A) True
B) False

ANSWER: A

62. The greater the existing market price of the underlying financial instrument relative to the exercise price, the higher the put option premium, other things being equal.
A) True
B) False

ANSWER: B

63. The longer a call option's time to maturity, the lower the call option premium, other things being equal.
A) True
B) False

ANSWER: B

64. The results with covered call writing are better than without covered call writing when the stock performs poorly and better when the stock performs well.
A) True
B) False

ANSWER: B

65. Put options are more typically used to hedge when portfolio managers are mainly concerned about a temporary decline in a stock's value.
A) True
B) False

ANSWER: A

66. An increase in uncertainty results in a higher implied standard deviation for the stock, which means that the writer of an option requires a higher premium to compensate for the anticipated increase in the stock's volatility.
A) True
B) False

ANSWER: A

67. Speculators who anticipate a sharp increase in stock market prices overall may consider purchasing put options on one of the market indexes.
A) True
B) False

ANSWER: B

68. Speculators who anticipate a decline in interest rates may consider writing a call option on Treasury bond futures.
A) True
B) False

ANSWER: B

69. Speculators sell call options on currencies that they expect to strengthen against the dollar.
A) True
B) False

ANSWER: B

70. Market makers
A) can execute stock option transactions for their customers.
B) can trade options for their own account.
C) are subject to the risk of losses from their positions in options.
D) benefit from the spread.
E) all of the above

ANSWER: E

71. __________ of options can close out their positions at any time by _____________ an identical option.
A) Sellers; purchasing
B) Sellers; selling
C) Buyers; purchasing
D) none of the above

ANSWER: A

72. Assuming the same expiration date, an option with a ______________ exercise price has a

____________ call option premium and a ____________ put option premium.

A) higher; higher; higher
B) higher; higher; lower
C) higher; lower; higher
D) lower; lower; higher
E) none of the above

ANSWER: C

73. Which of the following statements is least correct regarding corporations involved in international business transactions?

A) They may purchase currency put options to hedge future receivables denominated in a foreign currency.
B) They may purchase currency call options to hedge future payables denominated in a foreign currency.
C) They may purchase currency call options to hedge future receivables denominated in a foreign currency.
D) They benefit from currency put options if the currency's value declines before the expiration date of the option.

ANSWER: C

74. The _________________ is not a factor affecting the call option premium.

A) market price of the underlying instrument (relative to option's exercise price)
B) volatility of the underlying instrument
C) current price of futures contracts on the underlying instrument
D) time to maturity of the call option

ANSWER: C

75. Speculators who anticipate a decline in interest rates may consider ____________ a ________ option on Treasury bond futures.

A) purchasing; put
B) selling; call
C) purchasing; call
D) none of the above

ANSWER: C

76. Brad, a speculator, expects interest rates to increase and purchases a put option on Treasury bond futures with an exercise price of 95-32. The premium paid for the put option is 2-36. Just prior to the expiration date, the price of the Treasury bond futures contract is valued at 93-22. Brad exercises the option and closes out the position by purchasing an identical futures contract. Brad's net gain from this speculative strategy is $________.
   A) –812.50
   B) 4,718.75
   C) –4,718.75
   D) –406.25
   E) none of the above

   ANSWER: D

77. Which of the following statements is incorrect?
   A) Some firms allowed their CEOs to backdate options that they were granted to an earlier period when the stock price was lower.
   B) Backdating is completely inconsistent with the idea of granting options to encourage managers to focus on maximizing the stock price.
   C) Firms readily promote their option compensation programs and are more than willing to acknowledge that the options are an expense.
   D) All of the above are correct.

   ANSWER: C

Chapter 15

Swap Markets

1. Financial institutions with _________ interest rate-sensitive liabilities than assets are ___________ affected by rising interest rates.
   A) more; adversely
   B) fewer; adversely
   C) more; favorably
   D) none of the above

   ANSWER: A

2. Which of the following statements is incorrect?
   A) Interest rate swaps are sometimes used by financial institutions and other firms for speculative purposes.
   B) A primary reason for the popularity of interest rate swaps is the existence of market imperfections.
   C) Swaps are necessary for some financial institutions to obtain the maturities or rate sensitivities on funds that they desire.
   D) Most financial institutions that anticipate that interest rate will move in an unfavorable direction to not hedge their positions.

ANSWER: D

3. Savings institutions participate in the swap market primarily to
   A) serve as an intermediary by matching up two parties in a swap.
   B) serve as a dealer by taking the counterparty position in a swap.
   C) reduce interest rate risk.
   D) none of the above

   ANSWER: C

4. In a swap arrangement, the most common index used for floating-rate payments would be the
   A) coupon rate on existing bonds.
   B) stock dividend rate based on a U.S. stock index.
   C) London Interbank Offer Rate (LIBOR).
   D) Treasury bond yield.

   ANSWER: C

5. The most likely users of plain vanilla swaps would be
   A) commercial banks that focus on short-term consumer loans.
   B) savings institutions.
   C) manufacturing companies.
   D) municipal governments.

   ANSWER: B

6. A plain vanilla swap is especially beneficial when interest rates are expected to
   A) rise consistently.
   B) decline consistently.
   C) be stable.
   D) rise and then decline.

   ANSWER: A

7. Swap transactions are only used to
   A) hedge against upward interest rate movements.
   B) hedge against downward interest rate movements.
   C) speculate.
   D) none of the above

   ANSWER: D

8. If a firm negotiates a plain vanilla swap, it will provide ______ payments in exchange for ______ payments.
   A) fixed-rate; floating-rate
   B) floating-rate; fixed rate
   C) stock dividend; fixed-rate
   D) stock dividend; floating rate

ANSWER: A

9. A ______ swap allows the party making floating-rate payments to terminate the swap prior to maturity.
   A) zero coupon-for-floating
   B) forward
   C) callable
   D) putable

   ANSWER: D

10. A(n) ______ allows the party making fixed payments to extend the swap period.
   A) forward
   B) extendable
   C) callable
   D) putable

   ANSWER: B

11. A(n) ______ swap allows the party making fixed-rate payments to terminate the swap prior to maturity.
   A) forward
   B) extendable
   C) callable
   D) putable
   ANSWER: C

12. A __________ swap involves the exchange of fixed-rate payments for floating-rate payments that are capped.
   A) rate-capped
   B) zero-coupon-for-floating
   C) callable
   D) putable

   ANSWER: A

13. In a(n) ___________ swap, the fixed-rate payer makes a single payment at the maturity date of the swap agreement, while the floating-rate payer makes periodic payments throughout the swap period.
   A) rate-capped
   B) zero-coupon-for-floating
   C) extendable
   D) callable

   ANSWER: B

14. The option on a callable swap would most likely be exercised if interest rates
   A) rise.
   B) fall.

C) remain constant.
D) remain somewhat stable.

ANSWER: B

15. The option on a putable swap would most likely be exercised if interest rates
A) rise.
B) fall.
C) remain constant.
D) remain somewhat stable.

ANSWER: A

16. A(n) ______ swap involves an exchange of interest payments over a swap period that does not begin until a specified future point in time.
A) forward
B) extendable
C) callable
D) putable

ANSWER: A

17. Assume a financial institution that has rate-sensitive liabilities and rate-insensitive assets. If interest rates are expected to decline consistently, this institution would benefit by negotiating a(n)
A) forward swap.
B) callable swap.
C) extendable swap.
D) none of the above

ANSWER: D

18. Assume a financial institution has rate-sensitive liabilities and rate-sensitive assets. If this institution negotiates a rate-capped swap, its ______ payments will be capped, and it will ______ an up-front premium in exchange for the cap.
A) outflow; receive
B) outflow; pay
C) inflow; pay
D) inflow; receive

ANSWER: D

19. An equity swap involves the exchange of interest payments for payments linked to the degree of change in a bond index.
A) True
B) False

ANSWER: B

20. Assume a U.S. savings institution funds its fixed-rate mortgages by attracting short-term deposits. If

it engages in an interest rate swap, but the index on the swap does not move in perfect tandem with its cost of deposits, this reflects

A) sovereign risk.
B) basis risk.
C) credit risk.
D) none of the above

ANSWER: B

21. According to the text, any political aspects that prevent a counterparty on a swap from meeting its payment obligations represent

A) sovereign risk.
B) basis risk.
C) credit risk.
D) none of the above

ANSWER: A

22. ________ risk prevents the interest rate swap from completely eliminating a financial institution's exposure to interest rate risk.

A) Credit
B) Basis
C) Sovereign
D) none of the above

ANSWER: B

23. ________ risk in a swap is typically not overwhelming because the affected party can simply discontinue its payments to the other party.

A) Basis
B) Credit
C) Sovereign
D) none of the above

ANSWER: B

24. Sovereign risk differs from credit risk because it is dependent on the financial status of the government rather than the counterparty itself.

A) True
B) False

ANSWER: A

25. In a period when interest rates are expected to rise, __________ institutions will want a fixed-for-floating swap, and the fixed rate specified on interest rate swaps will be __________ under these conditions.

A) many; lower
B) many; higher
C) few; lower
D) few; higher

ANSWER: B

26. An interest rate swap agreement indicates the ______ value, which represents the principal amount to which interest rates are applied to determine the interest payments involved.
    A) vanilla
    B) LIBOR
    C) programmed
    D) notional

    ANSWER: D

27. Financial institutions primarily use interest rate swaps in a way that will ______ exposure to interest rate risk and ______ potential returns.
    A) increase; increase
    B) increase; reduce
    C) reduce; increase
    D) reduce; reduce

    ANSWER: D

28. An advantage of a ______ over other interest rate swaps is that the fixed-rate payer has the flexibility to avoid exchanging future interest payments.
    A) callable swap
    B) putable swap
    C) zero-coupon for floating swap
    D) forward swap

    ANSWER: A

29. The advantage of a rate-capped interest rate swap to a party exchanging fixed payments for floating payments (relative to a plain vanilla swap) is that
    A) there is a minimum limit set on interest rate payments received.
    B) there is a maximum limit set on the interest payments it will provide.
    C) it receives an up-front fee.
    D) none of the above

    ANSWER: C

30. The advantage of a rate-capped interest rate swap (relative to a plain vanilla swap) to a party exchanging floating payments for fixed payments is that
    A) there is a minimum limit set on interest rate payments received.
    B) there is a maximum limit set on the interest payments it will provide.
    C) it receives an up-front fee.
    D) none of the above

    ANSWER: B

31. A plain vanilla swap enables firms to exchange ______ for ______.

A) fixed rate payments; variable interest rate payments
B) a high interest rate foreign currency; a low interest rate foreign currency
C) a low interest rate foreign currency; a high interest rate foreign currency
D) bonds; stocks that pay dividends

ANSWER: A

32. An arrangement which enables firms to exchange currencies at periodic intervals is called a
A) currency swap.
B) interest rate swap.
C) swap exchange.
D) eurobond swap.

ANSWER: A

33. When a bank participates in a swap of fixed interest rate payments for floating-rate payments, or a swap of currencies, it
A) can match up two parties but can not take a position in the swap.
B) can match up two parties or can take a position in the swap.
C) cannot match up two parties and cannot take a position in the swap.
D) cannot match up two parties but can take a position in the swap.

ANSWER: B

34. An equity swap involves the exchange of
A) preferred stock for common stock.
B) interest payments for an equity position in the counterparty's firm.
C) interest payments for payments linked to the degree of change in a stock index.
D) interest payments for newly issued stock by financial institutions.
ANSWER: C

35. A firm is involved in an agreement in which it receives payments in periods when a market interest rate falls below an interest rate level specified in the agreement. This means that the firm has
A) purchased an interest rate cap.
B) sold an interest rate cap.
C) purchased an interest rate floor.
D) sold an interest rate floor.

ANSWER: C

36. The typical purchaser of an interest rate cap is a financial institution that is _________ affected by _________ interest rates.
A) favorably; rising
B) favorably; falling
C) adversely; rising
D) adversely; falling

ANSWER: C

37. A firm is involved in an agreement in which it makes payments in periods when a market interest rate rises above an interest rate level specified in the agreement. This means that the firm has

A) purchased an interest rate cap.
B) sold an interest rate cap.
C) purchased an interest rate floor.
D) sold an interest rate floor.

ANSWER: B

38. A firm is involved in an agreement in which it makes payments in periods when a market interest rate falls below an interest rate level specified in the agreement. This means that the firm has

A) purchased an interest rate cap.
B) sold an interest rate cap.
C) purchased an interest rate floor.
D) sold an interest rate floor.

ANSWER: D

39. A firm is involved in an agreement in which it receives payments in periods when a market interest rate rises above an interest rate level specified in the agreement. This means that the firm has

A) purchased an interest rate cap.
B) sold an interest rate cap.
C) purchased an interest rate floor.
D) sold an interest rate floor.

ANSWER: A

40. An interest rate collar represents the __________ of an interest rate cap and a simultaneous __________ of an interest rate floor.

A) sale; sale
B) sale; purchase
C) purchase; purchase
D) purchase; sale

ANSWER: D

41. Firms A and B have entered into an interest rate swap. On the first payment date, Firm A owes Firm B 12 percent of $10 million, and Firm B owes Firm A 14 percent of $10 million. Most likely, this transaction will be settled in what manner?

A) Firm A will send Firm B $120,000 and Firm B will send Firm A $140,000
B) Firm B will send Firm A $120,000 and Firm A will send Firm B $140,000
C) Firm A will send Firm B $20,000
D) Firm B will send Firm A $20,000
E) none of the above

ANSWER: D

42. Financial institutions such as U.S. savings institutions and commercial banks traditionally had fewer interest rate-sensitive ___________ than ____________ and therefore were adversely affected by ____________ interest rates.

A) assets; liabilities; increasing
B) liabilities; assets; decreasing
C) liabilities; assets; increasing
D) none of the above

ANSWER: A

43. The Bank of Moronto has negotiated a plain vanilla swap in which it will exchange fixed payments of 10 percent for floating payments equal to LIBOR plus 0.5 percent at the end of each of the next three years. In the first year, LIBOR is 8 percent; in the second year, 9 percent; in the third year, LIBOR is 7 percent. What is the total net payment the Bank of Moronto makes over the three-year period if the notional principal is $10 million?
A) –600,000
B) 600,000
C) 450,000
D) –450,000
E) none of the above

J) ANSWER: D

44. Hewitt Inc. has entered into an equity swap arrangement that allows it to swap a fixed interest rate of 8 percent in exchange for the rate of appreciation on the Dow Jones Industrial Average each year over a three-year period. The notional principal is $1 million. If the Dow depreciates by 1 percent, Hewitt will
A) have to make a payment of $70,000.
B) have to make a payment of $90,000.
C) receive a payment of $70,000.
D) receive a payment of $90,000.
E) none of the above

ANSWER: B

The following information refers to questions 45 and 46.

Lizard National Bank purchases a three-year interest rate cap for a fee of 2 percent of notional principal valued at $50 million, with an interest rate ceiling of 11 percent and LIBOR as the index representing the market interest rate. Assume that LIBOR is expected to be 9 percent, 12 percent, and 13 percent at the end of each of the next three years, respectively.

45. The total payments received (or paid) by Lizard, including the initial fee, are $______________.
A) 500,000
B) –500,000
C) –1,500,000
D) 1,500,000
E) none of the above

ANSWER: A

46. The dollar amount to be received (or paid) by the seller of the interest rate cap based on the forecast of LIBOR assumed above over the three-year period is $__________.

A) –500,000
B) 500,000
C) –1,500,000
D) 1,500,000
E) none of the above

ANSWER: A

47. In a __________, a buyer makes periodic payments to a seller in exchange for protection against the possible default of debt securities specified in the contract.
A) default option contract
B) default futures contract
C) bankruptcy contract
D) credit default swap

ANSWER: D

48. A common maturity of a credit default swap contract is:
A) one month
B) three months
C) five years
D) 25 years

ANSWER: C

49. AIG's financial problems were attributed to:
A) its weak returns on its investments in Treasury securities.
B) its potential losses from its life insurance policies.
C) fraud from avoiding taxes on its gains from credit default swaps.
D) its potential losses from credit default swaps.

ANSWER: D

50. Buyers of credit default swaps are most likely going to receive a payment from the seller of credit default swaps when the economy:
A) is very weak.
B) is stable.
C) experiences high growth.
D) experiences low inflation.

ANSWER: A

51. The primary purpose of interest rate swaps is to reduce exchange rate risk.
A) True
B) False

ANSWER: B

52. A forward swap allows an institution to lock in the terms of the arrangement today, and the swap

period begins immediately.
A) True
B) False

ANSWER: B

53. A putable swap gives the party making the fixed-rate payments the right to terminate the swap.
A) True
B) False

ANSWER: B

54. A rate-capped swap may limit the fixed-rate payer's ability to effectively hedge against interest rate risk.
A) True
B) False

ANSWER: A

55. An equity swap involves the exchange of dividend payments for payments linked to the degree of change in a stock index.
A) True
B) False

ANSWER: B

56. There is risk that a firm involved in an interest rate swap may not meet its payment obligations; this risk is called systemic risk.
A) True
B) False

ANSWER: B

57. If a large bank that has taken numerous swap positions and guaranteed many other swap positions fails, there could be several defaults on swap payments.
A) True
B) False

ANSWER: A

58. The most common proxy for the benchmark rate from which a floating-rate payment is determined is the prime rate.
A) True
B) False

ANSWER: B

59. Interest rate swaps are rarely used by companies that issue bonds.
A) True
B) False

ANSWER: B

60. An interest rate cap offers payments in periods when a specified interest rate index exceeds a specified floor interest rate.
A) True
B) False

ANSWER: B

61. Interest rate floors are commonly used to hedge against lower interest rates.
A) True
B) False

ANSWER: A

62. An interest rate collar involves the purchase of an interest rate cap and the simultaneously sale of an interest rate floor.
A) True
B) False

ANSWER: A

63. Which of the following is not a typical provision of an interest rate swap?
A) the notional principal value to which the interest rates are applied to determine the interest payments involved
B) the fixed interest rate
C) the floating interest rate
D) the underwriter of the bond
E) All of the above are provisions of an interest rate swap.

ANSWER: D

64. A ________________ swap involves an exchange of interest rate payments that does not begin until a specified future point in time.
A) plain vanilla
B) zero-coupon-for-floating
C) forward
D) seasoned vanilla
E) putable

ANSWER: C

65. If a U.S. institution in a forward swap would like to lock in the fixed rate that it will pay when the swap period begins, it is probably concerned that interest rates will ___________; the counterparty is likely adversely affected by ____________ interest rates.
A) increase; increasing
B) increase; declining
C) decrease; declining

D) decrease; increasing
E) none of the above

ANSWER: B

66. A(n) _____________swap provides the party making the floating-rate payments with a right to terminate the swap.
A) callable
B) extendable
C) plain vanilla
D) putable
E) none of the above

ANSWER: D

67. Interest rate______________ are interest rate derivative instruments that are normally classified separately from interest rate swaps.
A) caps
B) floors
C) collars
D) all of the above

ANSWER: D

68. Which of the following is not a reason for financial institutions to engage in interest rate swaps?
A) to reduce interest rate risk
B) to act as an intermediary
C) to act as a dealer in swaps
D) all of the above are reasons for financial institutions to engage in swaps

ANSWER: D

Chapter 17

Commercial Bank Operations

1. Which of the following statements is incorrect?
A) Banks have expanded their business across services over time.
B) Acquisitions have been a convenient method for banks to grow quickly and capitalize on economies of scale.
C) The banking industry has become less concentrated in recent years.
D) All of the statements above are correct.

ANSWER: C

2. Commercial banks have expanded in recent years not only by acquiring other banks but also by

acquiring other types of financial service firms.
A) True
B) False

ANSWER: A

3. Commercial banks can be a lender or a borrower when using repurchase agreements and loans in the federal funds market.
A) True
B) False

ANSWER: A

4. The operations, management, and regulation of a financial conglomerate are the same irrespective of the types of services offered.
A) True
B) False

ANSWER: B

5. ______ are offered to bank customers who desire to write checks against their account.
A) Time deposit accounts
B) CDs
C) Demand deposit accounts
D) Money market deposit accounts

ANSWER: C

6. Which type of savings account transfers funds to a checking account when checks are written?
A) ATS
B) passbook savings
C) CDs
D) MMDAs

ANSWER: A

7. A(n) __________ account provides checking services as well as interest.
A) demand deposit
B) negotiable order of withdrawal (NOW)
C) passbook savings
D) time deposit

ANSWER: B

8. Protective covenants impose conditions in which the bank must provide additional loans to a borrower to protect the borrower from going bankrupt.
A) true
B) false

ANSWER: B

9. A ______ is a time deposit offered by some large banks to corporations, with a specific maturity date, minimum deposit of $100,000 or more, and a secondary market.
   A) retail CD
   B) negotiable CD
   C) market CD
   D) protective CD

   ANSWER: B

10. A bank's sources of funds represent liabilities or equity of the bank.
   A) true
   B) false

   ANSWER: A

11. Money market deposit accounts differ from conventional time deposits in that they
   A) specify a maturity.
   B) offer limited check writing privileges.
   C) are less liquid.
   D) none of the above

   ANSWER: B

12. The intent of federal funds transactions is to
   A) correct short-term fund imbalances experienced by banks.
   B) correct long-term fund imbalances experienced by banks.
   C) serve as a permanent source of bank capital.
   D) serve as the primary depository source of funds.

   ANSWER: A

13. For any given bank, federal funds ______ represent a(n) ______.
   A) purchased; asset
   B) sold; liability
   C) purchased; liability
   D) A and B

   ANSWER: C

14. The federal funds rate is generally ______ the Treasury bill rate.
   A) equal to
   B) between .50 percent and 1.00 percent below
   C) between .25 percent and 1.00 percent above
   D) between 3.00 percent and 4.50 percent above

   ANSWER: C

15. Obtaining funds through ____________is not a common source of funds for banks to satisfy a temporary deficiency of funds?
    A) issuing bonds
    B) the federal funds market
    C) repurchase agreements
    D) borrowing from the Federal Reserve

    ANSWER: A

16. Which of the following is true?
    A) The primary credit lending rate is set by the president of the United States.
    B) The federal funds rate is set by the president of the United States.
    C) The primary credit lending rate is set by commercial banks.
    D) The primary credit lending rate is now set at a level above the federal funds rate.
    E) A and B

    ANSWER: D

17. The Federal Reserve provides loans to banks in order to
    A) resolve permanent shortages of funds experienced by banks.
    B) resolve temporary shortages of funds experienced by banks.
    C) finance the shortages of funds of finance companies.
    D) none of the above

    ANSWER: B

18. When a bank in need of funds for a few days sells some of its government securities to a corporation with a temporary excess of funds, then buys them back shortly thereafter, this is a
    A) federal funds loan.
    B) discount window loan.
    C) repurchase agreement.
    D) commercial paper transaction.

    ANSWER: C

19. When banks need funding for just a few days, they would most likely
    A) issue bonds and then call them.
    B) issue stock and then repurchase it.
    C) borrow in the federal funds market.
    D) issue NCDs.

    ANSWER: C

20. Because U.S. dollars are widely used as an international medium of exchange, the Eurodollar market is very active.
    A) True
    B) False

    ANSWER: A

21. Subordinated notes and debentures are examples of
    A) primary capital.
    B) secondary capital.
    C) depository sources of funds.
    D) repurchase agreements.

    ANSWER: B

22. All other things equal, when banks issue new stock, they
    A) increase reported earnings per share.
    B) decrease their ability to absorb operating losses.
    C) dilute the ownership of the bank.
    D) A and B

    ANSWER: C

23. As a source of funds, small banks rely more heavily on ______, and larger banks rely more heavily on ______.
    A) time deposits and foreign deposits; savings deposits and short-term borrowings
    B) savings deposits and short-term borrowings; foreign deposits and time deposits
    C) savings and time deposits; foreign deposits and short-term borrowings
    D) foreign deposits and short-term borrowings; savings and time deposits

    ANSWER: C

24. Cash held ______ represents the major portion of a bank's required reserves.
    A) at other commercial banks
    B) in a bank's vault
    C) on deposit at the federal funds window
    D) on deposit with the Board of Governors

    ANSWER: B

25. The main use of bank funds is for
    A) loans.
    B) investment securities.
    C) fixed assets.
    D) repurchase agreements.

    ANSWER: A

26. Bank loans designed to support a firm's ongoing business operations are called
    A) term loans.
    B) working capital loans.
    C) direct lease loans.
    D) revolving credit loans.

    ANSWER: B

27. ______ loans are primarily used to finance the purchase of fixed assets.
    A) Term
    B) Working capital
    C) Informal line of credit
    D) Revolving credit

    ANSWER: A

28. Which of the following is most appropriate for a business that may experience a sudden need for funds but does not know precisely when?
    A) working capital loan
    B) direct lease loan
    C) term loan
    D) informal line of credit

    ANSWER: D

29. A ___________ loan may be especially appropriate when the bank wishes to avoid adding more debt to its balance sheet.
    A) term
    B) bullet
    C) direct lease
    D) revolving credit

    ANSWER: C

30. The interest rate banks charge their most creditworthy customers is known as the
    A) federal funds rate.
    B) primary credit lending rate.
    C) prime rate.
    D) call money rate.

    ANSWER: C

31. Transaction deposits do not include
    A) demand deposits.
    B) NCDs.
    C) NOW accounts.
    D) all of the above are transactions deposits

    ANSWER: B

32. When comparing Treasury securities and government agency securities
    A) neither have default risk.
    B) the yield on Treasury securities is higher.
    C) interest income on federal agency securities is exempt from state and local income taxes.
    D) government agency securities are subject to default risk.

    ANSWER: D

33. Money market deposit accounts (MMDAs)
    A) require a maturity of 6 months or longer.
    B) allow a limited number of checks to be written against the account.
    C) pay a higher interest rate than CDs.
    D) none of the above

    ANSWER: B

34. Which of the following accounts does not allow checks (at least a limited amount) to be written?
    A) NOW accounts
    B) money market deposit accounts (MMDAs)
    C) retail CDs
    D) all of the above allow checks to be written

    ANSWER: C

35. Banks sometimes need funds and sometimes have excess funds available. Which of the following is commonly a source of bank funds and a use of bank funds?
    A) MMDAs
    B) federal funds
    C) the discount window
    D) retail CDs

    ANSWER: B

36. The bank holding company structure allows more flexibility to borrow funds, issue stock, repurchase the company's own stock, and acquire other firms.
    A) True
    B) False

    ANSWER: A

37. Like other market interest rates, the primary credit lending rate moves in reaction to changes in demand or supply of funds or both.
    A) True
    B) False
    ANSWER: B

38. The yield on repurchase agreements is slightly higher than the federal funds rate at any given point in time.
    A) True
    B) False

    ANSWER: B

39. Bank regulators are concerned that banks may maintain a higher level of capital than they should and have therefore imposed capital requirements on them.
    A) True

B) False

ANSWER: B

40. In a revolving credit loan, the bank typically charges businesses a commitment fee on any unused funds.
   A) True
   B) False

   ANSWER: A

41. Bank rates on credit card balances are usually not very different from the rate charged on business loans.
   A) True
   B) False

   ANSWER: B

42. While U.S. banks have expanded into non-U.S. markets, few non-U.S. banks have entered U.S. markets.
   A) True
   B) False

   ANSWER: B

43. _______________ is (are) not a major source of funds for commercial banks.
   A) Deposit accounts
   B) Borrowed funds
   C) Commercial loans
   D) Bank capital
   E) All of the above are commercial banks sources of funds.

   ANSWER: C

44. Which of the following statements is incorrect with respect to the federal funds market?
   A) It allows depository institutions to accommodate the short-term liquidity needs of other financial institutions.
   B) Federal funds purchased represent an asset to the borrowing bank and a liability to the lending bank that sells them.
   C) The federal funds market is typically most active on Wednesday, because that is the final day of each particular settlement period for which each bank must maintain a specified volume of reserves required by the Fed.
   D) All of the above are true with respect to the federal funds market.

   ANSWER: B

45. The federal funds rate is typically __________ the primary credit lending rate.
   A) greater than
   B) less than

C) equal to
D) none of the above

ANSWER: A

46. ____________ are the largest bank source of funds as a percentage of total liabilities.
A) Small-denomination time deposits
B) Money market deposit accounts (MMDAs)
C) Transaction deposits
D) Borrowed funds
E) Savings deposits (including MMDAs)

ANSWER: E

47. ___________do not specify a maturity and provide limited check-writing ability (they allow only a limited number of transactions per month).
A) Money market deposit accounts (MMDAs)
B) Negotiable CDs (NCDs)
C) Retail CDs
D) Callable CDs
E) Negotiable order of withdrawal (NOW) accounts

ANSWER: A

48. ____________ loans are extended primarily to finance the purchase of fixed assets such as machinery.
A) Term
B) Working capital
C) Bullet
D) Direct lease
E) Answers a and c are correct.

ANSWER: E

49. Which of the following is not an off-balance sheet activity for commercial banks?
A) consumer loans
B) loan commitments
C) standby letters of credit
D) swap contracts
E) All of the above are off-balance sheet activities.

ANSWER: A

50. A ___________________ is a type of loan commitment.
A) standby letter of credit (SLC)
B) note issuance facility (NIF)
C) forward contract
D) swap contract
E) none of the above

ANSWER: B

51. When a bank obtains funds through a ______, the provider of the funds receives collateral.
    A) retail CD
    B) NOW account
    C) repurchase agreement
    D) a money market deposit account

    ANSWER: C

52. When banks obtain funds in the federal funds market, the providers of the funds are
    A) other depository institutions.
    B) nonfinancial corporations.
    C) consumers.
    D) the Federal Reserve.

    ANSWER: A

53. A single loan in the federal funds market is usually for ______; when a bank sells a single repurchase agreement, the maturity is usually ______.
    A) just a few days; one year or more
    B) several weeks; one year or more
    C) several weeks; just a few days
    D) just a few days; just a few days

    ANSWER: D

54. The interest rate charged on loans between depository institutions is commonly referred to as the
    A) federal funds rate.
    B) discount rate.
    C) primary credit lending rate.
    D) none of the above

    ANSWER: A

55. The interest rate charged on loans from the Federal Reserve to banks is commonly referred to as the
    A) federal funds rate.
    B) primary credit lending rate.
    C) repo rate.
    D) none of the above

    ANSWER: B

56. The primary credit lending rate is determined by
    A) the Federal Reserve.
    B) Congress.
    C) the Treasury.

D) the President of the United States.

ANSWER: A

57. Bank capital represents funds obtained through ______ and through ______.
   A) issuing stock; offering long-term CDs
   B) issuing repurchase agreements; issuing bonds
   C) issuing stock; retaining earnings
   D) offering long-term CDs; issuing bonds

ANSWER: C

58. Banks sometimes prefer to minimize their amount of capital since
   A) interest payments must be paid by the bank on all capital that is held.
   B) they try to avoid diluting ownership of the bank.
   C) A and B
   D) none of the above

ANSWER: B

59. When a bank obtains funds through ______, households are not a common provider of the funds.
   A) NOW accounts
   B) retail CDs
   C) passbook savings accounts
   D) NCDs

ANSWER: D

60. Which of the following is not an off-balance sheet activity?
   A) highly leveraged transactions (HLTs)
   B) standby letters of credit
   C) forward contracts
   D) swap contracts

ANSWER: A

61. A bank's uses of funds represent liabilities of a bank.
   A) true
   B) false

ANSWER: B

62. ____________ are the largest bank source of funds (as a percentage of total liabilities).
   A) Small-denomination time deposits
   B) Federal funds borrowed
   C) Transaction deposits
   D) Bonds
   E) Savings deposits (including MMDAs)

ANSWER: E

Chapter 19

K) Bank Management

1. Which of the following statements is incorrect?
   A) Managers may be tempted to make decisions that are in their own best interests rather than shareholder interests.
   B) The compensation of bank loan officers may be tied to loan volume, which encourages a loan department to extend loans with a very high concern for risk.
   C) To prevent agency problems, some banks provide stock as compensation to managers.
   D) The underlying goal behind the managerial policies of a bank is to maximize the wealth of the bank's shareholders.

   ANSWER: B

2. When cash outflows temporarily exceed cash inflows, banks are most likely to experience
   A) higher dividend payments.
   B) illiquidity.
   C) a negative duration on its assets.
   D) an excess of capital.

   ANSWER: B

3. Banks can resolve cash deficiencies by
   A) creating additional liabilities.
   B) selling assets.
   C) buying back common stock.
   D) increasing dividend payouts.
   E) A or B

   ANSWER: E

4. As the secondary market for loans has become active, banks are more able to satisfy their liquidity needs with a _________ proportion of loans while achieving ________ profitability.
   A) higher; higher
   B) lower; lower
   C) higher; lower
   D) lower; higher

   ANSWER: A

5. Banks are more liquid as a result of securitization because it allows them to request repayment of the loan principal from the borrower upon demand.
   A) True
   B) False

ANSWER: B

6. If a bank that relies heavily on short-term deposits expects interest rates to consistently decrease over time, it would allocate most of its loans with ______ rates if it desires to maximize its expected returns. It could reduce its exposure to interest rate risk by setting ______ rates on its loans.
   A) fixed; fixed
   B) variable; fixed
   C) variable; variable
   D) fixed; variable

   ANSWER: D

7. During a period of rising interest rates, a bank's net interest margin will likely ______ if its liabilities are ______ its assets.
   A) increase; more rate-sensitive than
   B) decrease; more rate-sensitive than
   C) increase; equally rate-sensitive as
   D) decrease; equally rate-sensitive as

   ANSWER: B

8. If a bank expected interest rates to consistently ____________ over time, it will consider allocating most funds to rate-___________ assets.
   A) decrease; sensitive
   B) decrease; insensitive
   C) increase; insensitive
   D) none of the above

   ANSWER: B

9. Petri Bank had interest revenues of $70 million last year and $30 million in interest expenses. About
$300 million of Petri's $800 million in assets are rate-sensitive, while $600 million of its liabilities are rate-sensitive. Petri Bank's net interest margin is ________ percent.
   A) 4.0
   B) 3.6
   C) 6.7
   D) 5.0

   ANSWER: D

10. Petri Bank had interest revenues of $70 million last year and $30 million in interest expenses. About
$300 million of Petri's $800 million in assets are rate-sensitive, while $600 million of its liabilities are rate-sensitive. Petri Bank's gap is $_________.
   A) –300 million
   B) 300 million
   C) –500 million

D) 500 million

ANSWER: A

11. Petri Bank had interest revenues of $70 million last year and $30 million in interest expenses. About
$300 million of Petri's $800 million in assets are rate-sensitive, while $600 million of its liabilities are rate-sensitive. Petri Bank's gap ratio is __________ percent.

A) 37.5
B) 50.0
C) 100.0
D) 40.0

ANSWER: B

12. The measure of interest rate risk that uses the difference between rate-sensitive assets and rate-sensitive liabilities is called

A) gap measurement.
B) duration measurement.
C) duration ratio.
D) gap ratio.

ANSWER: A

13. A gap ratio of less than one suggests that

A) rate-sensitive assets exceed rate-sensitive liabilities.
B) an increase in interest rates would increase the bank's net interest margin.
C) rate-sensitive liabilities exceed rate-sensitive assets.
D) a decrease in interest rates would decrease the bank's net interest margin.
E) B and D

ANSWER: C

14. Each bank may have its own classification system of interest rate sensitivity, because there is no perfect measurement of the gap.

A) True
B) False

ANSWER: A

15. The duration of zero-coupon bonds will be ______ the duration of coupon bonds with the same maturity.

A) lower than
B) higher than
C) the same as
D) A or B, depending on the size of the coupon payment

ANSWER: B

16. In general, the duration of zero-coupon securities with short maturities is _____ than the duration of zero-coupon securities with long maturities.
    A) higher than
    B) lower than
    C) equal to
    D) A or B, depending on the issuer of the securities
    ANSWER: B

17. Other things equal, assets with shorter maturities have ______ durations. Assets that generate more frequent coupon payments have ______ durations.
    A) shorter; longer
    B) shorter; shorter
    C) longer; shorter
    D) longer; longer

    ANSWER: B

18. For most banks, the average duration of assets _________ the average duration of liabilities, so the duration gap is __________.
    A) exceeds; zero
    B) exceeds; negative
    C) exceeds; positive
    D) is less than; negative

    ANSWER: C

19. Other things being equal assets with ____________ maturities and _______ frequent coupon payments have shorter durations.
    A) shorter; more
    B) shorter; less
    C) longer; more
    D) longer; less

    ANSWER: A

20. If a bank attempts to reduce exposure to interest rate risk by replacing long-term marketable securities with more floating-rate commercial loans, it is likely that the bank's
    A) default risk would decrease.
    B) default risk would increase.
    C) liquidity risk would increase.
    D) liquidity risk would decrease.
    E) B and C

    ANSWER: E

21. Which of the following is not a likely method used by a bank to reduce interest rate risk?
    A) maturity matching
    B) using fixed-rate loans

C) using interest rate futures contracts
D) using interest rate caps

ANSWER: B

22. Floating-rate loans cannot completely eliminate interest rate risk; if the cost of funds is changing more frequently than the rate on assets, the bank's net interest margin is still affected by interest rate fluctuations.
A) True
B) False
ANSWER: A

23. The __________ of CD futures ________ the potential adverse effect of rising interest rates on a bank's interest expenses.
A) sale; increases
B) sale; reduces
C) purchase; reduces
D) both A and C are correct

ANSWER: B

24. Which of the following financial institutions would be most willing to swap variable-rate payments for fixed-rate payments in order to reduce exposure to interest rate risk?
A) one whose assets and liabilities are equally interest-rate sensitive
B) one whose assets are more interest-rate sensitive than its liabilities
C) one whose liabilities are more interest-rate sensitive than its assets
D) one whose gap ratio is equal to 1.0

ANSWER: B

25. A typical bank will attempt to earn a
A) maximum return and maintain credit risk at a high level.
B) maximum return and maintain credit risk at a low level.
C) reasonable return and maintain credit risk at a tolerable level.
D) very safe return and maintain credit risk at a high level.

ANSWER: C

26. Banks generally ________ loans and ___________ their purchases of low-risk securities when the economy is weak.
A) increase; increase
B) reduce; reduce
C) increase; reduce
D) reduce; increase

ANSWER: D

27. Banks tend to focus their loans in one industry so that they can specialize on one industry and reduce the credit risk of their loan portfolio.
A) True

B) False

ANSWER: B

28. Most loan sales enable the bank originating the loan to continue servicing the loan.
A) True
B) False

ANSWER: A

29. ROE is defined as
A) Net profit after taxes $\times \dfrac{\text{Assets}}{\text{Equity}}$.

B) $\dfrac{\text{Net profit after taxes}}{\text{Assets}} \times$ Equity.

C) $\dfrac{\text{Net profit after taxes}}{\text{Assets}} \times \dfrac{\text{Assets}}{\text{Equity}}$.

D) Net profit after taxes $\times \dfrac{\text{Equity}}{\text{Assets}}$.

ANSWER: C

30. The greater the ______, the greater the amount of assets per dollar's worth of equity.
A) leverage measure
B) ratio of equity to debt
C) capital ratio
D) proportion of loans to securities in the asset portfolio

ANSWER: A

31. A bank has a return on assets of 2 percent, \$40 million in assets, and \$4 million in equity. What is the return on equity?
A) 10 percent
B) .2 percent
C) 2 percent
D) 20 percent
E) none of the above

ANSWER: D

32. A bank has the following asset and liability portfolios. What is the gap?

Rate-sensitive <u>assets</u>	**Amount <u>(in millions)</u>**	**Rate-sensitive <u>liabilities</u>**	**Amount <u>(in millions)</u>**

Floating-rate loans	$4,000	NOW accounts	$1,750
Floating-rate mortgages	1,000	MMDAs	4,500
Short-term Treasury securities	1,500	Short-term CDs	1,000
	$6,500		$7,250

A) $750 million
B) –$750 million
C) 1.12
D) .896
E) none of the above

ANSWER: B

33. A bank has the following asset and liability portfolios. What is the gap ratio?

Rate-sensitive assets	Amount (in millions)	Rate-sensitive liabilities	Amount (in millions)
Floating-rate loans	$4,000	NOW accounts	$1,750
Floating-rate mortgages	1,000	MMDAs	4,500
Short-term Treasury securities	1,500	Short-term CDs	1,000
	$6,500		$7,250

A) $750 million
B) –$750 million
C) 1.12
D) .896
E) none of the above

ANSWER: D

34. If Bank A has a negative gap and Bank B has a positive gap. Which of the following is true?
A) Bank A is more favorably affected by rising interest rates.
B) Bank B is more favorably affected by falling interest rates.
C) Bank A is adversely affected by falling interest rates.
D) none of the above

ANSWER: D

35. Which of the following is a measure for banks to assess their exposure to interest rate risk?
    A) capital ratio
    B) leverage measure
    C) duration measurement
    D) gap ratio
    E) C and D

    ANSWER: E

36. If a bank sells CD futures, it ______ of rising interest rates and ______ of declining interest rates on its interest expenses.
    A) reduces the potential adverse effect; reduces the potential favorable effect
    B) increases the potential adverse effect; increases the potential favorable effect
    C) decreases the potential adverse effect; increases the potential favorable effect
    D) increases the potential adverse effect; decreases the potential favorable effect

    ANSWER: A

37. Which of the following loan portfolios are best diversified against default risk?
    A) consumer loans to farmers and commercial loans to farm equipment dealers in a local area
    B) commercial loans to the same industry
    C) commercial loans to various retail stores in the same city
    D) consumer and commercial loans to different industries in different cities

    ANSWER: D

38. Banks can increase their liquidity position by restructuring their asset portfolio to contain less ______ and more ______.
    A) excess reserves; Treasury bills
    B) Treasury bonds; corporate bonds
    C) loans; Treasury bills
    D) none of the above

    ANSWER: C

39. Banks would reduce their liquidity position by restructuring their asset portfolio to contain less ______ and more ______.
    A) Treasury securities; excess reserves
    B) loans; Treasury securities
    C) corporate bonds; Treasury securities
    D) none of the above

    ANSWER: D

40. Banks can reduce their default risk by restructuring their asset portfolio to contain less ______ and more ______.
    A) Treasury bonds; corporate bonds
    B) Treasury bonds; municipal bonds

C) Treasury bonds; commercial loans
D) none of the above

ANSWER: D

41. Banks can increase their potential interest revenues by restructuring their asset portfolio to contain less ______ and more ______.
A) Treasury bonds; commercial loans
B) Treasury bonds; excess reserves
C) consumer loans; Treasury bills
D) none of the above

ANSWER: A

42. If a bank desired to maximize its net interest margin, it would best achieve its goal by attempting to obtain most of its funds through ______ and use most of its funds for ______ (assuming that all loans will be repaid).
A) traditional demand deposits; commercial loans
B) traditional demand deposits; consumer loans
C) NOW accounts; consumer loans
D) NOW accounts; commercial loans

ANSWER: B

43. A bank that holds a greater percentage of traditional demand deposits and loans will likely incur ______ non-interest expenses and have a ______ net interest margin than other banks of the same size (assuming that its loan losses are no higher than those at other banks).
A) greater; higher
B) greater; lower
C) less; higher
D) less; lower

ANSWER: A

44. A bank's net interest margin is commonly defined as
A) interest revenues minus interest expenses.
B) (interest revenues minus interest expenses)/total assets.
C) (interest revenues minus interest expenses)/total liabilities.
D) (interest revenues minus interest expenses)/capital.

ANSWER: B

45. A common method for banks to reduce their default risk is to
A) specialize in loans to just one or a few particular industries in which they have expertise in assessing creditworthiness.
B) specialize in loans of companies whose earnings patterns are quite similar over time.
C) A and B
D) none of the above

ANSWER: D

46. International diversification of loans can best reduce the bank's overall default risk if
    A) the countries where loans are given are clustered together in a single continent.
    B) the countries where loans are given have economic cycles that do not move together over time.
    C) A and B
    D) none of the above

    ANSWER: B

47. A bank's net interest margin will likely decline if it has a large amount of
    A) rate-sensitive assets and no rate-sensitive liabilities.
    B) rate-sensitive liabilities and no rate-sensitive assets.
    C) loans to technology firms.
    D) real estate loans.

    ANSWER: A

48. Banks can reduce their required capital levels by
    A) increasing their loans.
    B) reducing their loans.
    C) increasing their dividends.
    D) obtaining more deposits.

    ANSWER: B

49. Research on bank mergers has generally found that the acquiring bank's stock price ___________ at the time of the acquisition.
    A) rises moderately
    B) rises substantially
    C) declines or remains unchanged
    D) all of the above occur with equal frequency

    ANSWER: C

50. Bank A has interest revenues of $4 million, interest expenses of $5 million, and assets totaling $20 million. Bank A's net interest margin is
    A) $1 million.
    B) –$1 million.
    C) –5 percent.
    D) 5 percent.

    ANSWER: C

51. _____________ is not a method used to assess interest rate risk.
    A) Efficiency analysis
    B) Gap analysis
    C) Duration analysis
    D) Regression analysis

ANSWER: A

52. Durango Bank has $2 million in rate-sensitive liabilities and $3 million in rate sensitive assets. Durango's gap is ___________, and Durango is probably more concerned about a(n) ____________ in interest rates.
A) –$1 million; increase
B) –$1 million; decrease
C) $1 million; increase
D) $1 million; decrease
E) none of the above
ANSWER: D

53. Durango Bank has $2 million in rate-sensitive liabilities and $3 million in rate sensitive assets. Durango's gap ratio is ____________.
A) 1.5
B) 0.67
C) $1 million
E) none of the above

ANSWER: A

54. _____________ is (are) least likely to be used as a method of reducing interest rate risk.
A) Maturity matching
B) Using floating-rate loans
C) Stock options
D) Using interest rate swaps
E) Using interest rate caps

ANSWER: C

55. Ringo Bank has a profit after taxes of $1.5 million, total assets of $50 million, and shareholder's equity of $30 million. Ringo's return on equity (ROE) is _________ percent.
A) 1.8
B) 5.0
C) 3.0
D) none of the above

ANSWER: B

56. For a commercial bank, when the average duration of assets exceeds the average duration of liabilities, the duration gap is
A) zero.
B) positive.
C) negative.
D) B or C

ANSWER: B

57. Assume a bank accepts deposits on Australian dollars (A$) and makes some fixed-rate loans in

British pounds. Which of the following would reduce the bank's profit margin?
A) the A$ appreciates against the pound
B) the A$ is stable against the pound
C) the A$ depreciates against the pound
D) the British interest rates increase
E) C and D

ANSWER: A

58. The performance of a bank that continually concentrates in short-term deposits in euros and adjustable-rate dollar loans with equal rate-sensitivity is
A) unaffected if European interest rates increase and U.S. rates decrease.
B) unaffected if U.S. interest rates increase and European interest rates decrease.
C) adversely affected if European interest rates increase and U.S. rates decrease.
D) adversely affected if U.S. interest rates increase and European rates decrease.
E) A and B

ANSWER: C

59. If a bank has assets and liabilities in dollars and euros, its exposure to interest rate risk can best be minimized if the
A) currency mix of assets is similar to that of liabilities.
B) overall rate-sensitivity of assets and liabilities are similar.
C) rate sensitivity of assets and liabilities is matched for each currency.
D) A and B

ANSWER: C

60. The risk of a loss due to closing out a transaction is referred to as _________________ risk.
A) credit
B) settlement
C) interest rate
D) exchange rate
E) none of the above

ANSWER: B

61. The Sarbanes-Oxley Act has had little impact on the monitoring conducted by the board members of commercial banks.
A) True
B) False

ANSWER: B

62. Whether a bank has a temporary or a permanent need for funds, the decision should be to borrow in the federal funds market.
A) True
B) False

ANSWER: B

63. A positive gap (or gap ratio of more than 1.00) suggests that rate-sensitive liabilities exceed rate-sensitive assets.
   A) True
   B) False

   ANSWER: B

64. For most banks, the average duration of liabilities exceeds the average duration of assets, so the duration gap is positive.
   A) True
   B) False

   ANSWER: B

65. Floating-rate loans completely eliminate interest rate risk.
   A) True
   B) False

   ANSWER: B

66. A bank can usually simultaneously maximize its return on assets and minimize credit risk.
   A) True
   B) False

   ANSWER: B

67. If the currency mix of a bank's assets is similar to that of its liabilities and the overall rate sensitivity of its assets and liabilities is similar, interest rate risk is completely nonexistent.
   A) True
   B) False

   ANSWER: A

68. Bank A has interest revenues of $4 million, interest expenses of $5 million, and assets totaling $20 million. Bank A's net interest margin is
   A) $1 million.
   B) –1 million.
   C) 5 percent.
   D) –5 percent.

   ANSWER: D

69. _____________ is not a method used to assess interest rate risk.
   A) Gap analysis
   B) Ratio analysis
   C) Duration analysis
   D) Regression analysis

E) All of the above are methods to assess interest rate risk.

ANSWER: B

70. _____________ is (are) least likely to be used as a method of reducing interest rate risk.
A) Maturity matching
B) Floating-rate loans
C) Stock options
D) Interest rate swaps
E) Interest rate caps

ANSWER: C

71. Ringo Bank has a profit after taxes of $1.5 million, total assets of $50 million, and shareholder's equity of $30 million. Ringo's return on equity (ROE) is _________ percent.
A) 1.8
B) 5.0
C) 3.0
D) 1.5
E) none of the above

ANSWER: B

72. Parsons Bank reported $3 million in interest revenues and $1 million in interest expenses. Parsons has $20 million in assets and $8 million in liabilities. Parsons net interest margin is _____ percent.
A) 10
B) –10
C) 35
D) 25
E) none of the above

ANSWER: A

73. If a bank expects interest rates to consistently _____________ over time, it will consider allocating most of its funds to rate-_______________ assets.
A) decrease; sensitive
B) increase; insensitive
C) increase; sensitive
D) Answers a and b are correct.
E) none of the above

ANSWER: C

74. During a period of _______________ interest rates, a bank's net interest margin will likely ___________ if its liabilities are more rate sensitive than its assets.
A) decreasing; decrease
B) increasing; increase
C) decreasing; increase
D) increasing; decrease

E) answers c and d are correct

ANSWER: E

75. If interest rates ____________, banks with ____________ duration gaps will be ________________ affected.
A) rise; positive; positively
B) rise; positive; adversely
C) decrease; positive; adversely
D) decrease; negative; positively
E) none of the above

ANSWER: B

76. In a regression of a bank's stock return on an interest rate proxy and market returns, a ____________ coefficient for the interest rate variable suggests that bank performance is _____________ affected by ___________ interest rates.
A) positive; adversely; rising
B) positive; favorably; declining
C) negative; adversely; rising
D) negative; favorably; rising
E) none of the above

ANSWER: C

77. If a bank has a ______________ duration gap, its average asset duration is probably ________________ than its liability duration.
A) negative; smaller
B) positive; larger
C) negative; larger
D) none of the above

ANSWER: B

78. In an interest rate swap, a bank whose liabilities are ____________ rate sensitive than its assets can swap payments with a ____________ interest rate in exchange for payments with a ______________ interest rate.
A) more; fixed; variable
B) more; variable; fixed
C) less; fixed; variable
D) less; fixed; fixed
E) none of the above

ANSWER: A

79. Because riskier assets offer ____________ returns, a bank's strategy to increase its return will typically entail a(n) ______________ in the overall credit risk of its asset portfolio.
A) lower; increase
B) lower; decrease
C) higher; increase

D) higher; decrease
E) none of the above

ANSWER: C

80. The risk of a loss due to closing out a transaction is referred to as _________________ risk.
A) settlement
B) credit
C) interest rate
D) exchange rate
E) none of the above

ANSWER: A

81. If a bank obtains a relatively large portion of its funds from conventional demand deposits, interest expenses should be relatively ________, while its noninterest expenses should be relatively ______.
A) high; low
B) low; high
C) high; high
D) low; low
E) none of the above

ANSWER: B

Chapter 21

Thrift Operations

1. The insuring agency for S&Ls is the
A) Securities and Exchange Commission (SEC).
B) Federal Deposit Insurance Corporation (FDIC).
C) U.S. Treasury.
D) Savings Association Insurance Fund (SAIF).

ANSWER: D

2. The _________ savings institutions hold the most assets in aggregate.
A) stock owned
B) mutual
C) closely-held
D) privatized

ANSWER: A

3. Which of the following statements is incorrect?
A) A mutual-to-stock conversion allows savings institutions to obtain additional capital by issuing stock.

B) Because of the difference in owner control, mutual savings institutions are more susceptible to unfriendly takeovers.
C) When a mutual savings institution is involved in an acquisition, it first converts to a stock-owned savings institution.
D) Consolidation and acquisitions have caused the number of mutual and stock savings institutions to decline consistently over the years.

ANSWER: B

4. Savings institutions use most of their funds for ______. Commercial banks use most of their funds for ______.
A) mortgages; mortgages
B) mortgages; business loans and commercial real estate loans
C) business loans; commercial real estate loans and mortgages
D) commercial real estate loans and mortgages; business loans

ANSWER: B

5. Federally-chartered savings institutions are regulated by the
A) Securities and Exchange Commission (SEC).
B) Federal Reserve.
C) Office of Thrift Supervision (OTS).
D) Comptroller of the Currency.
ANSWER: C

6. Savings institutions obtain most of their funds from
A) savings and time deposits.
B) loans.
C) mortgages.
D) repurchase agreements.

ANSWER: A

7. When savings institutions are unable to attract sufficient deposits, they can
A) borrow in the federal funds market.
B) borrow from the Federal Reserve.
C) borrow through a repurchase agreement.
D) all of the above

ANSWER: D

8. The capital of SIs is primarily composed of retained earnings and funds obtained from issuing stock.
A) True
B) False

ANSWER: A

9. If deposits move money from their checking account to short-term CDs, this would ______ the rate-sensitivity of the savings institution's liabilities to interest rate movements.

A) increase
B) have no effect on
C) decrease
D) A or C, depending on the size of the savings institution

ANSWER: A

10. ______ are the primary asset of savings institutions.
A) Mortgages
B) Cash balances
C) Investment securities
D) Business loans

ANSWER: A

11. Savings institutions that reduce their amount of _______ will best reduce their exposure to interest rate risk.
A) fixed-rate mortgages
B) consumer loans
C) commercial loans
D) short-term securities

ANSWER: A

12. For savings institutions in aggregate, _______ are the main asset.
A) investment securities
B) mortgages
C) commercial loans
D) credit card loans

ANSWER: B

13. Which of the following is not an asset of savings institutions?
A) loans
B) mortgages
C) NOW accounts
D) mortgage-backed securities

ANSWER: C

14. Most mortgages originated by SIs are for
A) commercial buildings.
B) land for commercial purposes.
C) single-family homes or multifamily dwellings.
D) none of the above.

ANSWER: C

15. If a savings institutions' assets have considerably longer duration than its liabilities, it can reduce its

exposure to interest rate risk by
A) reducing its proportion of assets in the short duration categories.
B) increasing its proportion of liabilities in the short duration categories.
C) increasing its proportion of liabilities in the long duration category.
D) A and B

ANSWER: C

16. Adjustable-rate mortgages ______ of rising interest rates on a typical savings institution's spread. They ______ of declining interest rates on the spread.
A) reduce the adverse impact; reduce the favorable impact
B) reduce the adverse impact; increase the favorable impact
C) increase the adverse impact; increase the favorable impact
D) increase the adverse impact; reduce the favorable impact

ANSWER: A

17. To measure ____________ risk, some SIs measure the duration of their respective assets and liabilities.
A) credit
B) interest rate
C) liquidity
D) none of the above

ANSWER: B

18. A contract that allows for the purchase of a specified debt security for a specified price at a future point in time is known as a(n)
A) interest rate futures contract.
B) interest rate swap contract.
C) interest cap contract.
D) security swap contract.

ANSWER: A

19. When a savings institution uses interest rate swaps to hedge interest rate risk, it would likely exchange ______ outflows for ______ inflows.
A) variable-rate; fixed-rate
B) variable-rate; variable-rate
C) fixed-rate; variable-rate
D) fixed-rate; fixed-rate

ANSWER: C

20. An interest rate swap reduces the favorable impact of declining interest rates.
A) True
B) False

ANSWER: A

21. A savings institution owned by its depositors is a ______ savings institution.
    A) mutual
    B) stock
    C) credit
    D) closed-end

    L) ANSWER: A

22. Which of the following was not a major reason for the savings institution crisis?
    A) a large proportion of loan losses on real estate loans
    B) a large proportion of loan losses on loans by SIs to less-developed countries
    C) fraud
    D) illiquidity
    E) increased interest expenses

    ANSWER: B

23. The Financial Institutions Reform, Recovery, and Enforcement Act (FIRREA) prohibited
    A) S&Ls from merging.
    B) commercial banks from acquiring S&Ls.
    C) S&Ls from investing in junk bonds.
    D) S&Ls from making loans to foreign governments.

    ANSWER: C

24. The risk that a credit union will experience an unanticipated wave of withdrawals without an offsetting amount of new deposits is ______________ risk.
    A) credit (default)
    B) interest rate
    C) liquidity
    D) exchange rate
    E) none of the above

    ANSWER: C

25. Money market deposit accounts (MMDAs) represent
    A) trust accounts managed by savings institutions.
    B) checking accounts that do not pay interest.
    C) accounts offered primarily by money market funds.
    D) deposit accounts offering limited checking and close-to-market interest rates.

    ANSWER: D

26. Savings institutions __________ allowed to borrow funds in the federal funds market; savings institutions __________ allowed to borrow funds from the Federal Reserve.
    A) are; are
    B) are; are not
    C) are not; are not
    D) are not; are

ANSWER: A

27. Savings institutions commonly __________ to reduce their risk.
    A) purchase futures contracts on stock indexes
    B) purchase futures contracts on treasury bonds
    C) sell futures contracts on stock indexes
    D) sell futures contracts on treasury bonds

ANSWER: D

28. Stock-owned savings institutions _____ susceptible to unfriendly takeovers. Mutual savings institutions _______ susceptible to unfriendly takeovers.
    A) are; are not
    B) are; are
    C) are not; are
    D) are not; are not

ANSWER: A

29. Most of the assets of savings institutions (SIs) are owned by SIs in the ____ asset size category.
    A) less than $100 million
    B) more than $1 billion
    C) between $100 million and $300 million
    D) between $300 million and $1 billion

ANSWER: A

30. To obtain funds, savings institutions commonly issue securities that are backed by
    A) equity.
    B) debt.
    C) mortgages.
    D) cash.
    E) none of the above

ANSWER: C

31. ______________ risk is probably the least concern for savings institutions.
    A) Liquidity
    B) Exchange rate
    C) Credit
    D) Interest rate

ANSWER: B

32. Although adjustable-rate mortgages reduce the adverse impact of _____________ interest rates, they also reduce the favorable impact of _______________ interest rates.
    A) rising; rising
    B) declining; declining
    C) rising; declining

D) declining; rising
E) none of the above

ANSWER: C

33. An SI's cash flows are ______________ related to interest rate movements.
A) positively related to
B) negatively related to
C) unrelated to
D) none of the above

ANSWER: B

34. The primary use of credit union funds is
A) loans to credit union members.
B) the purchase of government securities.
C) the purchase of agency securities.
D) the purchase of corporate bonds.
E) none of the above

ANSWER: A

35. ______ are non-profit organizations composed of members with a common bond.
A) Credit unions
B) Savings banks
C) Savings and loan associations
D) Commercial banks

ANSWER: A

36. Because credit unions ______ stock, they are technically owned by the ______.
A) issue; depositors
B) do not issue; depositors
C) issue; stockholders
D) do not issue; management

ANSWER: B

37. Credit unions obtain most of their funds from
A) issuing common stock.
B) retained earnings.
C) share deposits by members.
D) issuing long-term bonds.

ANSWER: C

38. Checkable accounts offered by credit unions are called
A) NOW accounts.
B) money market deposit accounts.

C) share certificates.
D) share drafts.

ANSWER: D

39. The ______ acts as a temporary lender to credit unions.
A) World Bank
B) Central Liquidity Facility
C) Federal Home Loan Bank
D) National Credit Union Administration

ANSWER: B

40. The sensitivity of cost of funds to interest rate movements has been
A) greater for credit unions than savings institutions.
B) greater for credit unions than commercial banks.
C) lower for credit unions than for savings institutions or commercial banks.
D) similar for credit unions as savings institutions and commercial banks.

ANSWER: C

41. Credit unions use the majority of their funds to
A) purchase investment securities.
B) provide commercial real estate loans.
C) provide small business loans to members.
D) provide consumer loans to members.

ANSWER: D

42. If credit union members have a particular affiliation with their employers and large layoffs occur, the credit union's exposure to ____________ risk may increase.
A) settlement
B) interest rate
C) credit
D) none of the above

ANSWER: C

43. The maximum insurance per depositor by the National Credit Union Insurance Fund is
A) $100,000.
B) $50,000.
C) $40,000.
D) $25,000.

ANSWER: A

44. Comparing credit unions with commercial banks and savings institutions
A) credit unions are less able to quickly generate additional deposits.
B) savings institutions and commercial banks can borrow from the Central Liquidity

Facility, but credit unions cannot.
C) savings institutions and commercial banks are less able to quickly generate additional deposits.
D) credit unions have less exposure to liquidity risk.

ANSWER: A

45. The majority of maturities on consumer loans offered by credit unions are ______ term, causing income generated on their asset portfolio to be ______ to interest rate movements.
A) long; insensitive
B) short or medium; sensitive
C) long; sensitive
D) short or medium; insensitive

ANSWER: B

46. Because credit unions' sources and uses of funds are generally interest rate ______, movements in interest revenues and interest expenses of credit unions are ______.
A) sensitive; negatively correlated
B) insensitive; highly correlated
C) sensitive; uncorrelated
D) sensitive; highly correlated
E) insensitive; uncorrelated

ANSWER: D

47. Deposits at credit unions are called
A) NOW accounts.
B) money market deposit accounts.
C) shares.
D) credit union deposit accounts.
ANSWER: C

48. Credit unions differ from savings institutions in that they use a _____ proportion of their funds for mortgages and are ________ institutions.
A) smaller; non-profit
B) larger; non-profit
C) smaller; for-profit
D) larger; for-profit

ANSWER: A

49. Today, credit unions are regulated as to the
A) types of services they can offer.
B) rates they offer on deposits.
C) maturity of residential loans they make.
D) size of residential mortgage loans.

ANSWER: A

50. The National Credit Union Share Insurance Fund (NCUSIF) requires all
    A) federal-chartered credit unions to obtain insurance from the NCUSIF.
    B) state-chartered credit unions to obtain insurance from the NCUSIF.
    C) credit unions to pay an annual supplemental insurance premium each year.
    D) depository institutions to pay a supplemental insurance premium each year.

    ANSWER: A

51. Federal credit unions are regulated and supervised by the
    A) Central Liquidity Facility.
    B) National Credit Union Administration.
    C) Securities and Exchange Commission.
    D) Corporate Credit Union Network.
    E) none of the above

    ANSWER: B

52. According to your text, about _______ percent of credit unions are insured by the National Credit Union Share Insurance Fund.
    A) 20
    B) 40
    C) 60
    D) 90

    ANSWER: D

53. In general, savings institutions are larger than commercial banks.
    A) True
    B) False

    ANSWER: B

54. Today, savings institutions are not permitted to invest in junk bonds.
    A) True
    B) False

    ANSWER: B

55. Because savings institutions commonly use long-term liabilities to finance short-term assets, they depend on additional deposits to accommodate withdrawal requests.
    A) True
    B) False

    ANSWER: B

56. Like commercial banks, savings institutions commonly measure the gap between their rate-sensitive assets and rate-sensitive liabilities in order to determine their exposure to credit risk.
    A) True
    B) False

ANSWER: B

57. Savings institutions do not really know the actual maturity of the mortgages they hold and cannot perfectly match the interest rate sensitivity of their assets and liabilities.
    A) True
    B) False

ANSWER: A

58. In general, when interest rates fall, a savings institution's cost of obtaining funds declines more than the decline in the interest earned on its loans and investments.
    A) True
    B) False

ANSWER: A

59. High economic growth results in more risk for a savings institution, since its consumer loans, mortgage loans, and investments in debt securities are more likely to default.
    A) True
    B) False

ANSWER: B

60. Because credit unions do not issue stock, they are technically sole proprietorships.
    A) True
    B) False

ANSWER: B

61. Because credit unions are for-profit organizations, their income is taxable.
    A) True
    B) False

ANSWER: B

62. Credit unions obtain most of their funds by borrowing from the U.S. government.
    A) True
    B) False

ANSWER: B

63. Credit unions use the majority of their funds to invest in the stock market.
    A) True
    B) False

ANSWER: B

64. The National Credit Union Administration (NCUA) participates in the creation of new credit unions, as it has the power to grant or revoke charters.
    A) True

B) False

ANSWER: A

65. Credit unions are unregulated as to the types of services they offer.
   A) True
   B) False

ANSWER: B

66. All federally chartered credit unions are required to obtain insurance from the National Credit Union Share Insurance Fund (NCUSIF).
   A) True
   B) False

ANSWER: A

67. ______________ risk is probably the least concern for savings institutions.
   A) Liquidity
   B) Exchange rate
   C) Credit
   D) Interest rate

ANSWER: B

68. From a savings institution's point of view, although adjustable-rate mortgages reduce the adverse impact of _____________ interest rates, they also reduce the favorable impact of _______________ interest rates.
   A) rising; rising
   B) declining; declining
   C) rising; declining
   D) declining; rising
   E) none of the above

ANSWER: C

69. ______________ are not a main source of funds for savings institutions.
   A) Deposits
   B) Borrowed funds
   C) Capital
   D) Mortgages

ANSWER: D

70. Which of the following is not a deposit source of funds for savings institutions?
   A) passbook savings
   B) retail CDs
   C) money market deposit accounts
   D) negotiable order of withdrawal (NOW) accounts
   E) All of the above are deposit sources of funds for savings institutions.

ANSWER: E

71. ______________ is not a main use of funds for savings institutions.
   A) Capital
   B) Mortgages
   C) Consumer and commercial loans
   D) Mortgage-backed securities

ANSWER: A

72. ______________ are the primary asset of savings institutions.
   A) Deposits
   B) Mortgages
   C) Cash
   D) Consumer and commercial loans

ANSWER: B

73. To manage interest rate risk, a savings institution could use
   A) fixed-rate mortgages.
   B) currency options.
   C) interest rate futures contracts.
   D) letters of credit.

ANSWER: C

74. From the perspective of a savings institution, although adjustable-rate mortgages reduce the adverse impact of _____________ interest rates, they also reduce the favorable impact of _______________ interest rates.
   A) rising; rising
   B) rising; declining
   C) declining; rising
   D) declining; declining
   E) none of the above

ANSWER: B

75. Which of the following is not an objective of a credit union?
   A) to satisfy credit union members
   B) to act as an intermediary for members by repackaging deposits
   C) to provide loans to members who are in need of funds
   D) All of the above are objectives of credit unions.

ANSWER: D

76. Federal credit unions are regulated and supervised by the
   A) National Credit Union Administration.
   B) Central Liquidity Facility.

C) Securities and Exchange Commission.
D) Corporate Credit Union Network.
E) none of the above

ANSWER: A

77. Credit unions are technically owned by the
A) shareholders.
B) bondholders.
C) government.
D) depositors.
E) none of the above

ANSWER: D

78. Which of the following is not an advantage of credit unions?
A) They can offer attractive rates to their member savers and borrowers because they are nonprofit and therefore are not taxed.
B) Their noninterest expenses are relatively low, because their labor, office, and furniture are often donated or provided at a very low cost through the affiliation of their members.
C) Their large membership allows them to effectively diversify geographically.
D) All of the above are advantages of credit unions.

ANSWER: C

79. The primary source of funds for credit unions is
A) share certificates.
B) share deposits.
C) share drafts.
D) borrowed funds from the Central Liquidity Facility (CLF).
E) none of the above

ANSWER: B

Chapter 22

Finance Operations

1. ___________ finance companies concentrate on purchasing credit contracts from retailers and dealers.
A) Consumer
B) Sales
C) Commercial
D) none of the above

ANSWER: B

2. Which of the following is not a source of finance company funds to support operations?
   A) loans from banks
   B) commercial paper
   C) federal funds
   D) bonds

   ANSWER: C

3. When a finance company's assets are ___________ interest rate sensitive than its liabilities and when interest rates are expected to ___________, bonds can provide long-term financing at a rate that is completely insulated from rising market rates.
   A) less; increase
   B) less; decrease
   C) more; increase
   D) more; decrease

   ANSWER: A

4. Finance companies differ from commercial banks, savings institutions, and credit unions in that they
   A) normally do not obtain funds from deposits.
   B) focus on financing acquisitions by companies.
   C) focus on providing residential mortgages.
   D) use most of their funds to purchase stocks.

   ANSWER: A

5. Which of the following is not a main source of funds for finance companies?
   A) bank loans
   B) commercial paper issues
   C) bonds
   D) deposits

   ANSWER: D

6. Finance companies are more likely to issue bonds when their assets are presently ______ interest-rate sensitive than their liabilities, and when interest rates are expected to ______.
   A) more; decrease
   B) less; increase
   C) more; increase
   D) less; decrease

   ANSWER: B

7. If finance companies were confident about projections of ______ interest rates, they may consider using the funds obtained from issuing bonds to offer loans with ______ rates.
   A) declining; variable
   B) rising; fixed
   C) rising; variable
   D) A and B

ANSWER: C

8. Finance companies would prefer to increase their long-term debt most once interest rates
   A) have declined.
   B) have increased.
   C) were stable for several years.
   D) were projected to decline.

   ANSWER: A

9. The main competition for finance companies in the consumer loan market comes from
   A) pension funds.
   B) life insurance companies and property and casualty insurance companies.
   C) savings and loan associations.
   D) savings banks.
   E) credit unions and commercial banks.

   ANSWER: E

10. When finance companies purchase a firm's receivables at a discount, and are responsible for processing and collecting the balances of these accounts, they act as a
    A) leasing agent.
    B) lessor.
    C) lessee.
    D) factor.

    ANSWER: D

11. When a finance company purchases equipment for use by another business, the finance company provides financing in the form of
    A) factoring.
    B) leasing.
    C) a bankers acceptance.
    D) a letter of credit.
    ANSWER: B

12. Finance companies are federally regulated when they
    A) are independently owned.
    B) are a subsidiary of a savings institution.
    C) act as bank holding companies, or are subsidiaries of bank holding companies.
    D) do business in more than one location within a particular state.

    ANSWER: C

13. Finance companies are not subject to state regulations on intrastate business.
    A) True
    B) False

    ANSWER: B

14. Finance companies are subject to
    A) a maximum limit on loan size.
    B) ceiling interest rates on loans provided.
    C) a maximum length on loan maturity.
    D) regulations on intra-state banking.
    E) all of the above

    ANSWER: B

15. If finance companies with a greater rate-sensitivity of liabilities than assets wanted to reduce interest-rate risk, they could
    A) shorten their average asset life.
    B) lengthen their average asset life.
    C) shorten the maturity of debt that they issue.
    D) make greater use of fixed-rate loans.

    ANSWER: A

16. Overall, the liquidity risk of finance companies is higher than that of other financial institutions.
    A) True
    B) False

    ANSWER: B

17. Compared to other lending financial institutions, finance companies have a ______ loan delinquency rate, and the average rate charged on loans is ______ on average.
    A) lower; lower
    B) lower; higher
    C) higher; higher
    D) higher; lower

    ANSWER: C

18. A wholly owned subsidiary whose primary purpose is to finance sales of the parent company's products and services, provide wholesale financing to distributors of the parent company's products, and purchase receivables of the parent company is a
    A) captive finance subsidiary.
    B) factor.
    C) leasing agent.
    D) captive factoring agent.

    ANSWER: A

19. Which of the following statements is incorrect?
    A) A captive finance subsidiary's purpose is to finance sales of the parent company's products and services.
    B) An operating agreement between the parent and the captive specifies the type of receivables that qualify for same and specific services provided by the parent.

C) A captive can be used to finance distributor or dealer inventories until a sale occurs.
D) A captive is rarely used to finance products leased to others.

ANSWER: D

20. ______________ provide loans to firms that cannot obtain financing from commercial banks.
A) Consumer finance companies
B) Sales finance companies
C) Commercial finance companies
D) none of the above

ANSWER: C

21. Which of the following is not a use of finance company funds?
A) consumer loans
B) business loans
C) commercial paper
D) real estate loans
E) All of the above are uses of finance company funds.

ANSWER: C

22. Finance companies commonly act as _______________ for accounts receivable; that is, they purchase a firm's receivables at a discount and are responsible for processing and collecting the balances of these accounts.
A) brokers
B) dealers
C) market makers
D) factors
E) none of the above

ANSWER: D

23. Most finance companies are commonly exposed to all forms of risk below except ____________risk.
A) exchange rate
B) interest rate
C) liquidity
D) credit

ANSWER: A

24. Changes in economic growth are __________ related to a finance company's cash flows, and changes in the risk-free rate are __________ related to a finance company's cash flows.
A) positively; negatively
B) negatively; positively
C) negatively; negatively
D) positively; positively

ANSWER: A

25. Finance companies participate in the __________ market to reduce interest rate risk.
   A) Money
   B) Bond
   C) Options
   D) Swap

   ANSWER: D

26. Many consumer finance companies also provide personal loans, directly to individuals to finance purchases of large household items.
   A) True
   B) False

ANSWER: A

27. Business finance companies focus on loans to very large businesses.
   A) True
   B) False

   ANSWER: B

28. Consumer finance companies sometimes provide personal loans directly to individuals.
   A) True
   B) False

   ANSWER: A

29. Although commercial paper is available only for short-term financing, finance companies can continually roll over their issues to create a permanent source of funds.
   A) True
   B) False

   ANSWER: A

30. After interest rates increase, finance companies tend to use more long-term debt to lock in the cost of funds over an extended period of time.
   A) True
   B) False

   ANSWER: B

31. Some finance companies offer credit card loans through a particular retailer.
   A) True
   B) False

   ANSWER: A

32. The main competition for finance companies in the consumer loan market comes from pension funds

and insurance companies.
A) True
B) False

ANSWER: B

33. The value of a finance company can be modeled as the present value of its future cash flows.
A) True
B) False

ANSWER: A

34. Finance companies commonly act as _______________ for accounts receivable; that is, they purchase a firm's receivables at a discount and are responsible for processing and collecting the balances of these accounts.
A) factors
B) brokers
C) dealers
D) market makers
E) none of the above

ANSWER: A

35. Finance companies can probably not build their capital base by
A) retaining earnings.
B) issuing stock.
C) issuing bonds.
D) Finance companies can build their capital base by doing all of the above.

ANSWER: C

36. Finance companies primarily invest in
A) consumer loans.
B) real estate loans.
C) business loans.
D) none of the above

ANSWER: C

37. The greatest risk for finance companies is _____________ risk.
A) settlement
B) interest rate
C) credit
D) exchange rate
E) none of the above

ANSWER: C

38. Finance companies are most likely to compete with which of the following institutions for consumer loans?

A) commercial banks
B) securities firms
C) pension funds
D) insurance companies
E) none of the above

ANSWER: A

Chapter 23

Mutual Fund Operations

1. Which of the following statements is incorrect?
   A) Mutual funds serve as a key financial intermediary.
   B) Managers of mutual funds do not analyze economic and industry trends.
   C) Because of their diversification, management expertise, and liquidity, mutual funds have grown at a rapid pace.
   D) Some mutual funds offer check-writing privileges.

   ANSWER: B

2. No-load mutual funds are normally promoted by ______. Load funds are promoted by ______.
   A) registered representatives of a brokerage firm; registered representatives of a brokerage firm
   B) registered representatives of a brokerage firm; the mutual fund of concern
   C) the mutual fund of concern; registered representatives of a brokerage firm
   D) the mutual fund of concern; the mutual fund of concern

   ANSWER: C

3. To cover managerial expenses, mutual funds typically charge
   A) management fees of 1 to 2 percent of total assets per year.
   B) commissions of typically 8 to 10 percent of transaction market value per year.
   C) management fees of typically more than 10 percent of total assets per year.
   D) commissions of typically 3 to 5 percent of the transaction market value per year.

   ANSWER: A

4. Mutual funds that are willing to repurchase their shares from investors at any time are referred to as
   A) closed-end mutual funds.
   B) load mutual funds.
   C) no-load mutual funds.
   D) open-end mutual funds.

   ANSWER: D

5. Mutual funds that do not repurchase their shares from investors are
   A) closed-end mutual funds.
   B) load mutual funds.
   C) no-load mutual funds.
   D) open-end mutual funds.

   ANSWER: A
6. Most closed-end funds invest in
   A) stock and bonds.
   B) money market securities.
   C) gold.
   D) derivatives.

   ANSWER: A

7. Exchange-traded funds are like open-end funds in the sense that
   A) their shares are traded on an exchange, and their share price changes throughout the day.
   B) they have a fixed number of shares.
   C) they are not actively managed.
   D) none of the above

   ANSWER: D

8. Hedge funds differ from open-end mutual funds in the sense that
   A) they require a much smaller initial investment.
   B) they are open to additional investments at any time.
   C) they do not accommodate investors who want to sell their shares back to the fund.
   D) they invest in very limited set of securities.

   ANSWER: C

9. Investing in mutual funds is different from depositing money in a depository institution in that it represents partial ownership, whereas deposits represent a form of credit.
   A) True
   B) False

   ANSWER: A

10. Mutual funds
   A) are unregulated.
   B) are required to disclose the names of their portfolio managers in the prospectus.
   C) must disclose their performance record over the past 20 years.
   D) are exempt from all taxes.

   ANSWER: B

11. Which of the following is not disclosed in the prospectus?
   A) the minimum amount of investment required
   B) the investment objective of the funds

C) the fees incurred by the mutual fund
D) all of the above are disclosed

ANSWER: D

12. The net asset value of a mutual fund is estimated once every week.
A) True
B) False

ANSWER: B

13. Mutual funds with ___________ expense ratios tend to _____________ others that have a similar investment objective.
A) lower; underperform
B) higher; outperform
C) lower; outperform
D) A and B

ANSWER: C

14. A front-end load is a withdrawal fee assessed when you withdraw money from the mutual fund.
A) True
B) False

ANSWER: B

15. Money market funds invest mostly in
A) stocks.
B) long-term bonds.
C) real estate.
D) short-term securities.

ANSWER: D

16. If investors sell their mutual fund shares after the net asset value of the fund increases, the return is called
A) share price appreciation.
B) capital gains distribution.
C) dividends.
D) split net asset value.

ANSWER: A

17. Mutual funds composed of stocks that have potential for very high growth, but may also be unproven, are called
A) income funds.
B) capital appreciation funds.
C) specialty funds.
D) dividend funds.

ANSWER: B

18. Mutual funds composed of bonds that offer periodic coupon payments are
    A) income funds.
    B) specialty funds.
    C) dividend funds.
    D) growth funds.

ANSWER: A

19. Mutual funds whose bonds have a ______ average time to maturity are ______ sensitive to interest rate fluctuations.
    A) longer; less
    B) shorter; less
    C) shorter; more
    D) A and C

ANSWER: B

20. The net asset value of international stock mutual funds ______ as the dollar strengthens against foreign currencies. (Assume no change in the prices of foreign stocks.)
    A) increases
    B) decreases
    C) is unaffected
    D) can increase or decrease depending on the dollar's degree of strength

ANSWER: B

21. Mutual funds that include some non-U.S. stocks and U.S. stocks are called ______ funds.
    A) global
    B) foreign
    C) combined
    D) mixed

ANSWER: A

22. A mutual fund consisting only of stocks of firms that are in a specific industry is an example of a ______ fund.
    A) specialty
    B) growth
    C) capital appreciation
    D) growth and income

ANSWER: A

23. The majority of mutual fund assets are in the form of
    A) common stocks.
    B) preferred stocks.
    C) U.S. government bonds.

D) municipal bonds.

ANSWER: A

24. If a mutual fund distributes at least ______ percent of its taxable income to shareholders, the fund is exempt from taxes on dividends, interest, and capital gains distributed to shareholders.
A) 25
B) 50
C) 75
D) 90

ANSWER: D

25. When the redemptions of money market mutual fund shares exceeds sales of shares, the fund accommodates the amount of excessive redemptions by
A) selling some of the assets contained in the portfolio.
B) issuing stock.
C) issuing bonds.
D) borrowing from banks.

ANSWER: A

26. Money market fund assets are dominated by
A) commercial paper.
B) repurchase agreements.
C) Treasury bills.
D) CDs.

ANSWER: A

27. If money market funds definitely expect interest rates to increase, they will ______ their average asset maturity.
A) not adjust
B) shorten
C) lengthen
D) shorten (if the expected change is small) or lengthen (if the expected change is large)

ANSWER: B

28. Money market funds are normally perceived to have ______ interest rate risk, and ______ default risk.
A) low; high
B) high; high
C) high; low
D) low; low

ANSWER: D

29. Equity real estate investment trusts invest
A) in mortgage and construction loans.

B) directly in properties.
C) in common stocks issued by construction companies.
D) in common stocks issued by real estate brokerage firms.

ANSWER: B

30. Because ______ real estate investment trusts essentially represent a fixed income portfolio, their market value will ______ as interest rates increase.
A) equity; increase
B) equity; decrease
C) mortgage; increase
D) mortgage; decrease

M) ANSWER: D

31. When interest rates decline, investors who want to earn a high return may tend to ________ in stock mutual funds, and _________deposits in depository institutions.
A) reduce; reduce.
B) reduce; increase.
C) increase; reduce.
D) increase; increase.

ANSWER: C

32. The composition of asset allocation funds
A) is focused completely on one type of security as specified by the particular mutual fund.
B) is fixed and not altered by the mutual fund managers.
C) A and B
D) none of the above

ANSWER: D

33. A mutual fund prospectus does not contain
A) minimum amount of investment required.
B) return on the fund since its inception.
C) investment objective of the mutual fund.
D) exposure of the mutual fund to various types of risk.
E) fees incurred by the mutual fund.

ANSWER: B

34. The __________________ of a mutual fund indicates the value per share.
A) net asset value
B) gross asset value
C) net stock value
D) net bond value
E) none of the above

ANSWER: A

35. Mutual funds whose funds are promoted strictly by the mutual fund of concern are called
A) closed-end mutual funds.
B) load mutual funds.
C) no-load mutual funds.
D) open-end mutual funds.

ANSWER: C

36. Mutual funds that are composed of bonds that offer periodic coupon payments and vary in exposure to risk are called ___________ mutual funds.
A) tax-free
B) income
C) high-yield
D) growth
E) none of the above

ANSWER: B

37. _____________ are most likely to invest in mortgages.
A) Stock mutual funds
B) Bond mutual funds
C) Load funds
D) Closed-end funds
E) none of the above

ANSWER: B

38. Hedge funds that exceed a specified size must register with the
A) Securities and Exchange Commission (SEC).
B) Federal Reserve.
C) Office of Thrift Supervision.
D) Federal Mutual Fund Board.

ANSWER: A

39. According to SEC regulations, the majority of the members on a mutual fund's board of directors must be
A) employed by the fund.
B) outsiders (not employed by the fund).
C) certified public accountants.
D) certified financial analysts.

ANSWER: B

40. An expense ratio represents ___ divided by the fund's ____.
A) annual fees charged to investors; 12b-1 fees
B) annual fees charged to investors; net asset value
C) initial sales charge (load); 12b-1 fees

D) initial sales charge (load); net asset value

ANSWER: A

41. Most closed-end funds invest in
A) derivatives.
B) bonds.
C) money market securities.
D) international equity securities.

ANSWER: B

42. _______________ are the most popular mutual funds when measures according to total assets.
A) Municipal bond funds
B) Growth and income funds
C) International and global funds
D) Money market funds

ANSWER: B

43. When the demand for a particular closed-end fund is ___________, the fund is likely priced at a ______________.
A) high; discount
B) low; discount
C) high; premium
D) B and C are correct

ANSWER: D

44. Which of the following statements is incorrect?
A) Commercial paper is the largest component in money market funds.
B) From an investor's perspective, money market funds usually have a low level of credit risk.
C) If managers are unable to change the asset composition of money market funds, they can still influence performance by changing the maturities of the securities in which they invest.
D) If mutual fund managers expect interest rates to decrease in the future, they should use funds generated from maturing securities to purchase new securities with shorter maturities.

ANSWER: D

45. The number of exchange-traded funds has declined over the last several years because the cost of managing them was excessive.
A) True
B) False

ANSWER: B

46. Exchange-traded funds can be purchased on margin.
A) True
B) False

ANSWER: A

47. Exchange-traded funds can be shorted.
A) True
B) False

ANSWER: A

48. Mutual fund managers seek securities that have much liquidity so that they could easily sell them in the secondary market at any time.
A) True
B) False

ANSWER: A

49. Closed-end funds are closed to new investment but allow redemptions by shareholders.
A) True
B) False

ANSWER: B

50. Closed-end fund managers must hold more cash than mutual fund managers.
A) True
B) False

ANSWER: B

51. Index mutual funds are not traded throughout the day, while exchange-traded funds are.
A) True
B) False

ANSWER: A

52. Venture capital funds commonly invest in stocks of publicly-traded companies.
A) True
B) False

ANSWER: B

53. Many businesses that go public are partially backed by venture capital before the IPO.
A) True
B) False

ANSWER: A

54. Private equity funds use most of their money to invest in stocks of publicly-traded companies.
A) True
B) False

ANSWER: B

55. Vulture funds are a type of private equity fund that purchase distressed assets of a firm that is in or near bankruptcy.
    A) True
    B) False

    ANSWER: A

56. Hedge funds commonly engage in short selling.
    A) True
    B) False

    ANSWER: A

57. _____________ are not exchange-traded funds.
    A) Spiders
    B) Growth mutual funds
    C) Diamonds
    D) Sector Spiders

    ANSWER: B

58. Which of the following statements is incorrect?
    A) ETFs are like index mutual funds because the share price adjusts over time in response to the change in the index level.
    B) Both ETFs and index mutual funds pay dividends in the form of additional shares to investors.
    C) The portfolio management of both ETFs and index mutual funds is very complex.
    D) ETFs can be traded throughout the day.

    ANSWER: C

59. Funds that are designed to mimic particular stock indexes and are traded on a stock exchange are known as
    A) index mutual funds.
    B) exchange-traded funds.
    C) money market funds.
    D) none of the above

    ANSWER: B

60. Exchange traded funds can be
    A) traded throughout the day.
    B) purchased on margin.
    C) sold short.
    D) all of the above

    ANSWER: D

61. ____________________trade at one-tenth the S&P 500 value.
   A) Spiders
   B) Cubes
   C) Diamonds
   D) World Equity Benchmark Shares

   ANSWER: A

62. Mutual funds must register with the U.S. Treasury and provide to interested investors a prospectus that discloses details about the components of the funds and risks involved.
   A) True
   B) False

   ANSWER: B

63. The net asset value (NAV) is estimated each day by first determining the market value of all securities comprising the mutual fund.
   A) True
   B) False

   ANSWER: A

64. Portfolio managers are hired by the mutual fund to invest in a portfolio of securities that satisfies the desires of investors.
   A) True
   B) False

   ANSWER: A

65. The expenses incurred by a mutual fund are billed separately to investors, and are not included in the fund's net asset value (NAV).
   A) True
   B) False

   ANSWER: B

66. A front-end load is a withdrawal fee assessed when you withdraw money from the mutual fund.
   A) True
   B) False

   ANSWER: B

67. Large mutual funds can exert some control over the management of firms because they commonly represent the largest shareholders.
   A) True
   B) False

   ANSWER: A

68. Investors who feel capable of making their own investment decisions often prefer to invest in load funds.
A) True
B) False

ANSWER: B

69. The term “mutual funds” is normally used to represent open-end funds, and does not include closed end funds.
A) True
B) False

ANSWER: A

70. Exchange-traded funds differ from open-end funds in that their share price is adjusted only at the end of every day.
A) True
B) False

ANSWER: B

71. Capital appreciation funds are suited for investors who are more willing to risk a possible loss in value.
A) True
B) False

ANSWER: A

72. The returns on international stock mutual funds are affected only by foreign companies’ stock prices, and are independent of currency movements.
A) True
B) False

ANSWER: B

73. Index funds are becoming increasingly unpopular because most mutual fund managers consistently outperform indexes.
A) True
B) False

ANSWER: B

74. A mutual fund’s performance is usually unrelated to market conditions.
A) True
B) False

ANSWER: B

75. The SEC requires that a majority of the directors of a mutual fund board be independent (not employed
by the fund).
A) True
B) False

ANSWER: A

76. Diversification among types of mutual funds usually does little to reduce the volatility of returns on the
overall investment.
A) True
B) False

ANSWER: B

77. Late trading of mutual funds involves engaging in a trade on prices that are stale or no longer appropriate.
A) True
B) False

ANSWER: A

78. Because money market funds contain instruments with short-term maturities, their market values are not very sensitive to movements in market interest rates.
A) True
B) False

ANSWER: A

79. Equity REITs are sometimes purchased to hedge against inflation, as rents and property values tend to rise with inflation.
A) True
B) False

ANSWER: A

80. Equity REITs essentially represent fixed-income portfolios. Thus, their market values will be influenced by interest rate movements.
A) True
B) False

ANSWER: B

81. Hedge funds are more heavily regulated than mutual funds.
A) True
B) False

ANSWER: B

82. Which of the following is not true regarding mutual funds?
   A) They are a key financial intermediary.
   B) They provide an important service to individual investors seeking to invest funds.
   C) Most mutual funds use experienced portfolio managers, so investors do not have to manage the portfolio themselves.
   D) They provide a way for individual investors to diversify, but most individual investors are unable to afford the purchase of mutual fund shares.
   E) They may offer various services, such as checkwriting privileges.

ANSWER: D

83. Which of the following statements is incorrect?
   A) Exchange-traded funds (ETFs) are designed to mimic particular stock indexes and are traded on a stock exchange.
   B) Unlike a closed-end fund, an ETF has a fixed number of shares.
   C) ETFs differ from most open-end and closed-end funds in that they are not actively managed.
   D) One disadvantage of ETFs is that each purchase of additional shares must be done through the exchange where they are traded.

ANSWER: B

84. A mutual fund prospectus does not contain the
   A) minimum amount of investment required.
   B) investment objective of the mutual fund.
   C) exposure of the mutual fund to various types of risk.
   D) return on the fund since its inception.
   E) fees incurred by the mutual fund.

ANSWER: D

85. The __________________ of a mutual fund indicates the value per share.
   A) gross asset value
   B) net asset value
   C) net stock value
   D) net bond value
   E) none of the above

ANSWER: B

86. Mutual funds with ________ expense ratios tend to _________ others that have a similar investment objective.
   A) higher; outperform
   B) lower; outperform
   C) lower; underperform
   D) a and c are correct.

ANSWER: B

87. ____________ are most likely to invest in mortgages.
   A) Stock mutual funds
   B) Real estate investment trusts (REITs)
   C) Load funds
   D) Closed-end funds
   E) none of the above

   ANSWER: B

88. Mutual funds are not required to disclose which of the following in the prospectus?
   A) the names of the portfolio managers
   B) the length of time that the portfolio managers have been employed by the fund in that position
   C) the performance record over the past 10 years in comparison to a broad market index
   D) the number of investors currently investing in the mutual fund
   E) Mutual funds are required to disclose all of the above in a prospectus.

   ANSWER: D

89. Which of the following is not a way in which mutual funds generate returns for their shareholders?
   A) They can pass on any earned income as dividend payments to shareholders.
   B) They distribute the capital gains resulting from the sale of securities within the fund.
   C) The mutual fund price appreciates.
   D) All of the above are ways in which a mutual fund generates returns to its shareholders.

   ANSWER: D

90. A(n) ____________ mutual fund contains a sales charge.
   A) load
   B) no-load
   C) closed-end
   D) open-end
   E) none of the above

   ANSWER: A

91. _____________ funds are open to investment from investors at any time.
   A) Load
   B) No-load
   C) Open-end
   D) Closed-end
   E) none of the above

   ANSWER: C

92. Which of the following statements is incorrect?
   A) Investors can purchase shares directly from an open-end fund at any time.
   B) The number of shares of an open-end fund is always changing.
   C) Open-end funds typically maintain some cash on hand in case investments exceed redemptions.
   D) There are many different categories of open-end mutual funds.

ANSWER: C

93. _________________ funds focus on a group of companies sharing a particular characteristic.
   A) Specialty
   B) Growth and income
   C) Closed-end
   D) Capital appreciation
   E) none of the above

   ANSWER: A

94. Bond portfolios with some bonds rated below Baa by Moody's or BBB by Standard and Poor's, available for investors desiring high return and willing to incur high risk, are called _______________ funds.
   A) growth
   B) capital appreciation
   C) junk bond
   D) bond
   E) none of the above
   ANSWER: C

95. Which of the following statements is incorrect?
   A) A mutual fund is usually run by an investment company.
   B) Although many mutual funds have grown substantially over time, their expense ratios have generally increased over time.
   C) For each mutual fund, all expenses charged and reflected in the expense ratio are always valid.
   D) The SEC requires that a majority of the directors of a mutual fund board be independent.

   ANSWER: C

96. Money market funds in the aggregate invest primarily in
   A) repurchase agreements.
   B) CDs.
   C) Commercial paper.
   D) U.S. Treasury securities.
   E) none of the above

   ANSWER: C

97. Which of the following is not true with respect to venture capital funds?
   A) They typically invest in young, growing firms that need equity funding but are not ready or willing to go public.
   B) More than half of all VC investing is in businesses that are being created.
   C) Venture capital funds tend to focus on technology firms, which have the potential for high returns but also exhibit a high level of risk.
   D) Because VC funds invest in fairly safe ventures, a low percentage of their ventures fail.
   E) All of the above are correct with respect to venture capital funds.

   ANSWER: D

98. Which of the following is not a reason the expected returns on money market funds (MMFs) are low relative to bonds or stocks?
    A) The credit risk of MMFs is normally perceived to be lower than that of corporate bonds.
    B) MMFs have higher interest rate risk than bond funds.
    C) MMFs consistently generate positive returns over time, whereas bond and stock funds can experience negative returns.
    D) All of the above are reasons the returns on MMFs are low relative to bonds or stocks.

    ANSWER: B

99. _____________ funds sell shares to wealthy individuals and financial institutions and use the proceeds to invest in securities.
    A) Growth
    B) Open-end
    C) Capital appreciation
    D) Hedge
    E) Specialty

    ANSWER: D

Chapter 24

Securities Operations

1. Which of the following is not a service that is commonly performed by an securities firm?
    A) commercial banking
    B) origination
    C) underwriting
    D) distribution

    ANSWER: A

2. Securities firms focus on ______ market services; brokerage firms focus on ______ market services.
    A) primary; primary
    B) secondary; primary
    C) primary; secondary
    D) secondary; secondary

    ANSWER: C

3. The ______ regulates the issuance of securities.
    A) Securities and Exchange Commission
    B) National Association of Securities Dealers
    C) Federal Reserve Board
    D) Securities Investor Protection Corporation

ANSWER: A

4. All information relevant to the security, as well as the agreement between the issuer and the securities firm, must be provided in the
   A) origination.
   B) registration statement.
   C) best-efforts agreement.
   D) none of the above

   ANSWER: B

5. Stock offerings are normally based on a firm commitment, whereby the securities firm does not guarantee a price to the issuing corporation.
   A) True
   B) False

   ANSWER: B

6. Research indicates that securities firms tend to
   A) overprice IPOs.
   B) underprice IPOs.
   C) price IPOs correctly.
   D) none of the above

   ANSWER: B

7. The return to investors who purchase IPO shares at the IPO offer price are _______, and the returns to investors who purchase the shares after the IPO are generally ________.
   A) high; high
   B) high; low
   C) low; high
   D) low; low

   ANSWER: B

8. The ______ determines margin requirements on securities purchased.
   A) Securities and Exchange Commission
   B) National Association of Securities Dealers
   C) Federal Reserve Board
   D) Securities Investor Protection Corporation

   ANSWER: C

9. The ______ can liquidate failing brokerage firms.
   A) Securities and Exchange Commission
   B) National Association of Securities Dealers
   C) Federal Reserve Board
   D) Securities Investor Protection Corporation

   ANSWER: D

10. Which of the following is not a major function of the securities industry?
    A) brokerage
    B) raising new capital
    C) underwriting
    D) decisions regarding open market operations

    ANSWER: D

11. When securities firms raise capital for corporations, their primary role is as a(n)
    A) intermediary.
    B) lender (creditor).
    C) investor.
    D) B and C

    ANSWER: A

12. The price of newly issued stock should be ______ the market price of the firm's outstanding stock.
    A) about the same as
    B) much more than
    C) much less than
    D) B or C, depending on the amount of stock to be issued

    ANSWER: A

13. A(n) ______ discloses relevant financial data on a firm issuing securities, and the provisions applicable to the security.
    A) SEC preferred disclosure form
    B) 1040 disclosure form
    C) shelf-registration
    D) prospectus

    ANSWER: D

14. Under SEC Rule 144A, firms may engage in private placements of stock without filing the extensive registration statement that is required for public placements.
    A) True
    B) False

    ANSWER: A

15. Which of the following statements is incorrect?
    A) A private bond placement avoids the underwriting fee.
    B) Private placements of stocks are more common than private placements of bonds.
    C) The provisions of a privately placed bond issue can be tailored to the desires of the purchaser.
    D) A possible disadvantage of a private placement is that the demand may not be as strong as for a publicly placed issue.

    ANSWER: B

16. Flotation costs as a percentage of the value of securities issued are ______ for ______ issues.

A) lower; small
B) lower; large
C) higher; large
D) A and C

ANSWER: B

17. Competitive bidding by securities firms for underwriting the issue of new bonds is primarily used for
A) federal government bonds.
B) bonds issued by banks.
C) public utility bonds.
D) bonds issued by non-banking financial institution.

ANSWER: C

18. The underwriting spread on newly issued bonds is normally ______ that on newly issued stock.
A) less than
B) greater than
C) about the same as
D) less than (for newly issued preferred stock) but greater than (for newly issued common stock)

ANSWER: A

19. In a ______, a firm places its entire issue of new securities without the underwriting services of an securities firm.
A) market placement
B) public placement
C) shelf-registration agreement
D) private placement

ANSWER: D

20. _________ is motivated by the perception that the sum of the parts is sometimes greater than the whole.
A) Bridging
B) Asset stripping
C) Greenmail
D) none of the above

ANSWER: B

21. As a result of a spinoff, asymmetric information problems between managers and investors may be reduced.
A) True
B) False

ANSWER: A

22. Requests by customers to purchase or sell securities at the price existing when the order reaches the exchange floor are called

A) limit orders.
B) short-selling.
C) stop-loss orders.
D) market orders.

ANSWER: D

23. Requests by customers to purchase or sell securities at a specified price or better are called
A) market orders.
B) limit orders.
C) short-selling.
D) stop-loss orders.

ANSWER: B

24. The value of a securities firm is typically _______ related to interest rate movements.
A) positively
B) not
C) inversely
D) A or B

ANSWER: C

25. When a customer orders the sale of securities when the price reaches a specified minimum, this is a
A) market order.
B) short sale.
C) limit order.
D) stop-loss order.

ANSWER: D

26. Investors sell a security short when they expect the price of the security to
A) increase substantially.
B) decrease.
C) remain perfectly stable.
D) increase slightly.

ANSWER: B

27. Asset-stripping refers to
A) acquiring shares in a firm, causing the firm to repurchase the shares at a premium to prevent a takeover.
B) financing provided by securities firms to help support an acquisition.
C) investing in the shares of a firm that is anticipated to experience a leveraged buyout (LBO).
D) acquiring a firm and selling off individual divisions of the firm separately.

ANSWER: D

28. Greenmail refers to

A) acquiring shares in a firm, causing the firm to repurchase the shares at a premium to prevent a takeover.
B) financing provided by securities firms to help support an acquisition.
C) investing in the shares of a firm that is anticipated to experience a leveraged buyout (LBO).
D) acquiring a firm and selling off individual divisions of the firm separately.

N) ANSWER: A

29. Funds received from a bridge loan are commonly used to
A) purchase junk bonds.
B) purchase high-grade corporate bonds.
C) provide temporary financing for an acquisition.
D) provide financing for individual investors that wish to purchase Treasury bonds.

ANSWER: C

30. Which of the following services do securities firms (IBFs) not provide?
A) origination
B) underwriting stock
C) distribution of stock
D) advising
E) IBFs provide all of the services above

ANSWER: E

31. ____________ is not included in flotation costs.
A) Issue costs
B) Underwriting spread
C) The price at which the stock is sold through the IBF
D) Registration expenses
E) all of the above

ANSWER: C

32. An order placed by an investors seeking to sell stock when the price reaches a specified minimum is a _____________ order.

A) market
B) stop-loss
C) limit
D) none of the above

ANSWER: B

33. The _______________ is not involved in the regulation of the securities industry.
A) Financial Accounting Standards Board
B) National Association of Securities Dealers
C) Securities and Exchange Commission
D) Federal Reserve Board
E) All of the above are involved in the regulation of the securities industry.

ANSWER: A

34. Which of the following is not an SEC rule?

A) Analysts of securities firms underwriting an IPO cannot promote new stock for the first 40 days after the IPO.
B) An analyst's compensation should be directly aligned with the amount of business that the analyst brings to the securities firm.
C) Analysts cannot be supervised by the securities department within the securities firm.
D) An analyst's rating must divulge any recent securities business provided by the securities firm that assigned the rating.

ANSWER: B

35. When the stock market is depressed, tock transactions tend to decline, causing a reduction in business for securities firms. This is an example of _______ risk.
A) interest rate
B) credit
C) market
D) exchange rate

ANSWER: C

36. The insurance limit of the Securities Investor Protection Corporation (SIPC) is $___________.
A) 100,000
B) 200,000
C) 500,000
D) 1,000,000
E) none of the above

ANSWER: C

37. Securities firms
A) tend to overprice IPOs.
B) tend to underprice IPOs.
C) tend to price IPOs correctly.
D) are typically not involved in IPOs.

ANSWER: B

38. As a result of the Financial Services Modernization Act
A) securities firms had to search for loopholes to expand into other types of financial services.
B) firms that formed a special finance holding company were regulated by the SEC.
C) banking, securities activities, and insurance services could be consolidated in a single financial institution.
D) securities firms were prohibited from expanding into other types of financial services.

ANSWER: C

39. One of the main functions of securities firms is raising capital for corporations.
A) True
B) False

ANSWER: A

40. When securities firms facilitate initial public offerings, they attempt to price the stock high enough to satisfy the issuing firm.
A) True
B) False

ANSWER: A

41. The compensation paid to securities firms for raising funds is typically in the form of interest income.
A) True
B) False

ANSWER: B

42. Securities and Exchange Commission (SEC) approval of a registration statement guarantees the quality and safety of the securities to be issued.
A) True
B) False

ANSWER: B

43. Institutional investors that are willing to hold stock for a very short period of time are prime candidates for participating in a private placement.
A) True
B) False

ANSWER: B

44. Even after new stock is issued, a securities firm may continue to provide advice on the timing, amount, and terms of future financing.
A) True
B) False

ANSWER: A

45. Unlike the standardized provisions of a publicly placed issue, the provisions of a privately placed issue can be tailored to the desires of the purchaser.
A) True
B) False

ANSWER: A

46. Which of the following services do securities firms not provide?
A) origination
B) underwriting stock
C) distribution of stock
D) advising
E) securities firms provide all of the services above.

ANSWER: E

47. Research documents that securities firms tend to
  A) overprice IPOs.
  B) underprice IPOs.
  C) price IPOs correctly.
  D) none of the above

ANSWER: B

48. An order placed by an investors seeking to sell stock when the price reaches a specified minimum is a _____________ order.
  A) market
  B) stop-buy
  C) stop-loss
  D) none of the above

ANSWER: C

49. _______________ is not a service a securities firm provides in placing bonds.
  A) Origination
  B) Underwriting
  C) Distribution
  D) Advising
  E) All of the above are services securities firms provide in placing bonds

ANSWER: E

50. Requests by customers to purchase or sell securities at a specified price or better are called ______________ orders.
  A) market
  B) limit
  C) stop-loss
  D) specialist
  E) none of the above

ANSWER: B

Chapter 25

Insurance and Pension Fund Operations

1. Which of the following statements is incorrect?
    A) Insurance provides a payment to the insured under conditions specified by the insurance policy contract.
    B) Individuals who are less exposed to specific conditions that cause financial damage are more likely to purchase insurance against those conditions.

C) Insurance can cause the insured to take more risks because they are protected.
D) Insurance companies employ underwriters to calculate the risk of specific insurance policies.

ANSWER: B

2. The insurance premium is _________ related to the uncertainty about the size of the payments; the premium is also _________ for group plans.
A) higher; lower
B) higher; higher
C) lower; higher
D) lower; lower

ANSWER: A

3. Those insurance companies whose claims are ________ predictable need to maintain _______ liquidity.
A) less; less
B) more; more
C) less; more
D) none of the above

ANSWER: C

4. A ______ life insurance company is owned by its policyholders; most life insurance companies are ______.
A) stock-owned; mutual
B) mutual; mutual
C) stock-owned; stock-owned
D) mutual; stock-owned

ANSWER: D

5. A life insurance policy that protects the policyholder until death, or as long as premiums are promptly paid is a
A) whole life policy.
B) term policy.
C) universal life policy.
D) B and C

ANSWER: A

6. ______ insurance provides insurance for a policyholder only over a specified period.
A) Term
B) Whole life
C) Universal
D) A and C

ANSWER: D

7. Which type of life insurance policy does not build a cash value for policyholders?
   A) whole life
   B) term
   C) universal life
   D) all of the above build a cash value

   ANSWER: B

8. Which type of life insurance policy specifically accommodates the needs of people who need more insurance now than later?
   A) whole life
   B) term
   C) decreasing term
   D) universal life

   ANSWER: C

9. Which type of life insurance policy specifies a limited period of time over which the policy will exist, and builds a cash value for policyholders over time?
   A) whole life
   B) term
   C) universal life
   D) decreasing term

   ANSWER: C

10. Which type of life insurance policy can offer flexibility on the size and timing of premium payments? (The policyholder can decide the size of payments each period.)
    A) whole life
    B) term
    C) universal life
    D) decreasing term

    ANSWER: C

11. Under ______________, the benefits awarded by the life insurance company to a beneficiary vary with the assets backing the policy.
    A) whole life insurance
    B) term insurance
    C) variable life insurance
    D) universal life insurance

    ANSWER: C

12. _______ is not a typical source of funds to life insurance companies.
    A) Deposit insurance premiums
    B) Annuity plans
    C) Investment income
    D) Life and health insurance premiums

ANSWER: A

13. ______ represent the most popular asset of life insurance companies.
   A) Corporate bonds
   B) Treasury securities
   C) Corporate stock
   D) State and local bonds

   ANSWER: A

14. Which of the following is the least common use of funds by life insurance companies?
   A) government securities
   B) corporate bonds
   C) stocks
   D) real estate

   ANSWER: D

15. Which of the following is not a ratio (or group of ratios) commonly used by insurance regulators to detect any problems in time to search for a remedy before the company deteriorates further?
   A) liquidity ratios
   B) operating expense ratios
   C) profitability ratios
   D) all of the above are used by regulators

   ANSWER: D

16. The ratio of an insurance company's net profit to policyholders' surplus is called
   A) liquidity ratio.
   B) return on net worth.
   C) net underwriting margin.
   D) return on assets.

   ANSWER: B

17. Because life insurance companies carry a large amount of ______ securities, the market value of their asset portfolio can be ______ to interest rate fluctuations.
   A) short-term; insensitive
   B) short-term; very sensitive
   C) long-term; insensitive
   D) long-term; very sensitive

   ANSWER: D

18. Life insurance companies can attempt to reduce their exposure to interest rate risk by
   A) increasing their proportion of long-term assets.
   B) diversifying the age distribution of their customer base.
   C) increasing their proportion of short-term assets.

D) concentrating on an older age distribution of their customer base.

ANSWER: C

19. Which of the following is a difference in characteristics between life insurance companies and property and casualty insurance companies?
   A) Property and casualty policies are longer term.
   B) The type of policies offered by life insurance companies are less focused.
   C) Future compensation amounts paid on property and casualty policies are more difficult to forecast.
   D) Life insurance companies need to maintain a more liquid asset portfolio.

   ANSWER: C

20. The most common use of funds for property and casualty insurance companies is
   A) municipal securities
   B) Treasury securities.
   C) corporate stock.
   D) corporate bonds.

   ANSWER: A

21. Which of the following is not a difference between PC insurance and life insurance?
   A) PC policies often last ten years or more, as opposed to the short-term life insurance policies.
   B) PC insurance encompasses a wide variety of activities, while life insurance is more focused.
   C) Forecasting the amount of future compensation to be paid is more difficult for PC insurance than for life insurance.
   D) All of the above are differences between PC insurance and life insurance.

   ANSWER: A

22. _____________ effectively reallocates a portion of an insurance company's return and risk to other insurance companies.
   A) Reinsurance
   B) Cash flow underwriting
   C) Factor insurance
   D) Universal insurance

   ANSWER: A

23. Individuals who are insured under a managed health care plan can usually choose any provider of health care services.
   A) True
   B) False

   ANSWER: B

24. ____________ usually require individuals to choose a primary care physician.
   A) Indemnity plans

B) Health maintenance organizations
C) Preferred provider organizations
D) none of the above

ANSWER: B

25. __________ insurance covers losses due to dishonest employees.
A) Key employee
B) Credit line
C) Malpractice
D) Fidelity bond

ANSWER: D

26. _________ insurance covers losses due to lawsuits by dissatisfied customers.
A) Fidelity bond
B) Credit line
C) Surety bond
D) Business interruption

ANSWER: C

27. Which of the following is not involved in the regulation of the insurance industry?
A) the National Association of Insurance Commissioners (NAIC)
B) the Insurance Regulatory Information System (IRIS)
C) the Federal Deposit Insurance Corporation (FDIC)
D) All of the above are involved in the regulation of the insurance industry.

ANSWER: C

28. All regulation of insurance companies is performed by
A) federal agencies.
B) the National Association of Insurance Commissioners.
C) the Insurance Regulatory Information System.
D) state agencies.

ANSWER: D

29. In a(n) ________________ insurance policy, the benefits awarded by the life insurance company to the beneficiary differ, depending on the assets backing the policy.
A) universal life
B) whole life
C) variable life
D) group life
E) none of the above

ANSWER: C

30. The most common type of mortgage held by life insurance companies are ___________ mortgages.

A) commercial
B) residential
C) farm
D) none of the above

ANSWER: A

31. The ___________________ facilitates cooperation among the various state agencies whenever an insurance issue is a national concern.
A) Securities and Exchange Commission
B) Federal Deposit Insurance Corporation
C) National Association of Insurance Commissioners
D) National Association of Securities Dealers
E) none of the above

ANSWER: C

32. Life insurance companies can reduce their exposure to _________ risk by diversifying the age distribution of their customer base.
A) interest rate
B) market
C) credit
D) liquidity

ANSWER: D

33. Pension funds whose contributions are dictated by the benefits that will eventually be provided are called ______ plans.
A) defined benefit
B) defined contribution
C) beneficiary
D) guarantor-insured

ANSWER: A

34. A pension plan that provides benefits that are determined by the accumulated contributions and return on the fund's investment performance is called a ______ plan.
A) defined benefit
B) defined contribution
C) beneficiary
D) guarantor-insured

ANSWER: B

35. A ______ plan allows a firm to know with certainty the amount of funds to contribute. The ______ plan allows a firm to know with certainty the amount of benefits that must be provided.
A) defined benefit; defined benefit
B) defined contribution; defined contribution
C) defined contribution; defined benefit

D) defined benefit; defined contribution

ANSWER: C

36. There are more defined ______ pension plans; there are more participants in defined ______ plans.
A) benefit; contribution
B) contribution; benefit
C) contribution; contribution
D) benefit; benefit

ANSWER: B

37. If pension fund investment decisions are made with the objective of generating cash flows at the same time as planned outflow payments, the fund follows a ______ strategy. When comparing matched funding and projective funding, ______ is more flexible for portfolio managers.
A) matched funding; matched funding
B) projective funding; matched funding
C) projective funding; projective funding
D) matched funding; projective funding

ANSWER: D

38. Pension funds managed by life insurance companies are normally referred to as
A) trust portfolios.
B) insured plans.
C) matched plans.
D) projective plans.

ANSWER: B

39. Pension portfolios managed by trusts are expected to offer ______ returns than those managed by insurance companies and have a(n) ______ degree of risk.
A) lower; higher
B) lower; lower
C) the same; equal
D) higher; lower
E) higher; higher

ANSWER: E

40. The asset composition of private pension portfolios is most heavily concentrated in
A) corporate bonds.
B) mortgages.
C) common stock.
D) money market securities.

ANSWER: C

41. Investing in a bond index portfolio is an example of a(n) ______ approach. Investing in an equity portfolio that mirrors the stock market is an example of a(n) ______ approach.
    A) passive; active
    B) active; active
    C) active; passive
    D) passive; passive

    ANSWER: D

42. Pension funds managed by life insurance companies concentrate on
    A) common stock.
    B) bonds and mortgages.
    C) preferred stock.
    D) money market instruments.

    ANSWER: B

43. Pension portfolios managed by trusts concentrate on
    A) common stock.
    B) bonds.
    C) mortgages.
    D) money market instruments.

    ANSWER: A

44. To reduce interest rate risk, pension fund managers can
    A) shift from variable-rate to fixed-rate bonds.
    B) increase the average maturity on fixed-rate bonds.
    C) decrease the average maturity on fixed-rate bonds.
    D) reduce the investment in money market securities.

    ANSWER: C

45. Most pension fund contributions are contributed by the
    A) employer.
    B) employee.
    C) state government.
    D) federal government.
    E) none of the above

    ANSWER: A

46. The adverse selection problem as related to the insurance industry means that people who have insurance are less likely to suffer losses than people who do not have insurance.
    A) True
    B) False

    ANSWER: B

47. The moral hazard problem as related to the insurance industry means that some people take more risks once they are insured.
   A) True
   B) False

   ANSWER: A

48. Policyholders who prefer to invest their savings themselves will likely opt for whole life insurance over term insurance.
   A) True
   B) False

   ANSWER: B

49. Group insurance policies are very popular for employers and employees.
   A) True
   B) False

   ANSWER: A

50. Real estate values are very stable over time and usually have little impact on the market value of a life insurance company's asset portfolio.
   A) True
   B) False

   ANSWER: B

51. Property and casualty insurance and life insurance have very similar characteristics.
   A) True
   B) False

   ANSWER: B

52. Public pension funds can be classified by the manner in which contributions are received and benefits are paid.
   A) True
   B) False

   ANSWER: B

53. A defined-benefit plan provides benefits that are determined by the accumulated contributions and the fund's investment performance.
   A) True
   B) False

   ANSWER: B

54. In recent years, defined-contribution plans have commonly been replaced by defined-benefit plans.

A) True
B) False

ANSWER: B

55. Projective funding limits the manager's discretion, allowing only investments that match future payouts.
A) True
B) False

ANSWER: B

56. Taking speculative positions in stock options is generally not considered appropriate for retirement funds because of the high degree of risk involved.
A) True
B) False

ANSWER: A

57. The composition of the stocks in a pension fund's portfolio is determined by the fund's portfolio managers.
A) True
B) False

ANSWER: A

58. The ___________________ facilitates cooperation among the various state agencies whenever an insurance issue is a national concern.
A) Securities and Exchange Commission
B) Federal Deposit Insurance Corporation
C) National Association of Insurance Commissioners
D) National Association of Securities Dealers
E) none of the above

ANSWER: C

59. _________________ insurance protects the policyholders until death or as long as premiums are promptly paid.
A) Whole life
B) Variable life
C) Term life
D) Annuity life
E) none of the above

ANSWER: A

60. _____________ life insurance specifies a period of time over which the policy will exist but also builds a cash value for policyholders over time.
A) Whole

B) Variable
C) Term
D) Universal
E) none of the above

ANSWER: D

61. The primary source of life insurance company income is a result of
A) life insurance premiums.
B) annuity plans.
C) health insurance premiums.
D) investment income.
E) none of the above

ANSWER: B

62. Property and casualty (PC) insurance differs from life insurance in all of the following ways, except
A) PC policies often last one year or less, as opposed to the long-term or even permanent life insurance policies.
B) PC insurance is more focused than life insurance.
C) the amount of future compensation to be paid on PC insurance is more difficult to forecast than that paid on life insurance.
D) All of the above are differences between PC and life insurance.

ANSWER: B

63. With a(n) ______________________ plan, contributions are dictated by the benefits that will eventually be provided.
A) matched funding
B) projective funding
C) defined-benefit
D) defined-contribution
E) none of the above

ANSWER: C

64. In a ________________ strategy, investment decisions are made with the objective of generating cash flows that match planned outflow payments.
A) matched
B) mixed
C) projective
D) none of the above

ANSWER: A

65. Pension portfolios managed by trusts offer potentially _____________ returns than insured plans and have a _____________ degree of risk.
A) higher; lower
B) higher; higher

C) lower; lower
D) lower; higher
E) none of the above

ANSWER: B

66. If a pension fund holds long-term, fixed-rate bonds, the market value of the portfolio will ____________ during periods when interest rates ______________.
A) increase; increase
B) decrease; increase
C) decrease; decrease
D) none of the above

ANSWER: B

67. A pension fund's bond portfolio is not directly affected by
A) general stock market conditions.
B) changes in the risk-free rate.
C) changes in the risk premium.
D) the abilities of the portfolio managers.
E) All of the above are factors affecting the performance of a pension fund's bond portfolio.

ANSWER: A

68. In periods when the risk-free interest rate ____________ substantially, the required rate of return by bondholders ______________, and most bond portfolios managed by pension funds perform ____________.
A) declines; declines; poorly
B) declines; increases; well
C) declines; declines; well
D) declines, increases; poorly
E) none of the above

ANSWER: C

69. Pension funds commonly engage in interest rate swaps to hedge the exposure of their bond and mortgage portfolios to ________________ risk.
A) exchange rate
B) reinvestment rate
C) interest rate
D) credit
E) none of the above

ANSWER: C